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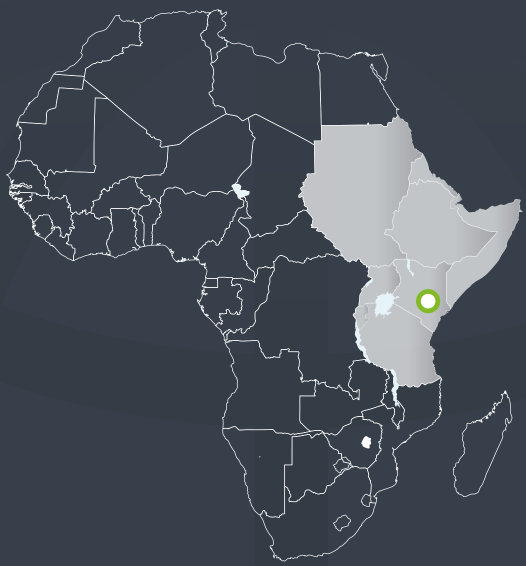
2023

INTEGRATED REPORT & FINANCIAL STATEMENTS



The leading Securities Exchange in East and Central Africa connecting capital to opportunities in the region through provision of a world class trading facility for local and international issuers and investors.

NSE_PLC NSEPLC nse_plc

Nairobi Securities Exchange
55 Westlands Road,

P. O. Box 43633 - 00100
Nairobi, Kenya

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Email: info@nse.co.ke

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OUR COMPANY

BUSINESS REVIEW

FINANCIAL PERFORMANCE

Creating Opportunities in Regional Economies

We offer **investors access to Kenya's and East Africa's economic growth through exposure to leading companies** across various sectors of the economy.

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Email: info@nse.co.ke

CORPORATE INFORMATION

DIRECTORS

Mr. Kiprono Kittony, EBS	Chairman
Mr. Paul Mwai	Vice Chairman
Mr. John Niepold	
Mr. Michael Turner	
Mr. Donald Wangunyu	
Mr. Stephen Chege	
Ms. Risper Alaro	
Ms. Isis Madison	
Ms. Carol Kariuki	
Mr. Geoffrey O. Odundo	Chief Executive Officer - Retired on 1st March 2024
Mr. Frank Mwiti	Chief Executive Officer - Appointed effective 2nd May 2024

SECRETARY

Mr. Kuria Waithaka
P.O. Box 43633 – 00100
Nairobi, Kenya

REGISTERED OFFICE

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P.O. Box 43633 - 00100
Nairobi, Kenya

AUDITOR

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Nairobi, Kenya

BANKERS

KCB Bank Limited
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P.O. Box 30081 – 00100
Nairobi, Kenya

Standard Chartered Bank Kenya Limited
Chiromo Branch
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Nairobi, Kenya

Co-operative Bank of Kenya Limited
Westlands Branch
P.O. Box 48231 – 00100
Nairobi, Kenya

LEGAL ADVISERS

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Maji Mazuri Road, Lavington
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Nairobi, Kenya

Mohammed Muigai LLP
MM Chambers, 4th Floor, K-Rep Centre
Wood Avenue, Off Lenana Road, Kilimani
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Hakika House
Bishops Road
P.O. Box 60680 – 00200
Nairobi, Kenya

KN Law LLP
The Pavilion Westland
Lower Kabete Road
Nairobi, Kenya

ABOUT THIS REPORT

The Nairobi Securities Exchange Plc is pleased to present its integrated report for the period January 1 2023 to December 31 2023. The report is aimed at providing adequate information to our stakeholders, giving a comprehensive overview of how the NSE created value to all its stakeholders in the period under review. It reports on how the NSE leveraged on its various forms of capitals to create and enhance value. The report will offer our stakeholders a deeper understanding of our operations, highlighting our achievements, opportunities as well as challenges faced during the period under review as we seek to become Africa's leading trading and investment platform.

Purpose

This report is an acknowledgement of the critical importance the Group has placed in enhancing its communication with stakeholders through linking financial and non-financial standards in measuring our performance. This report will therefore provide insights into the financial, operational, strategic, social and governance performance as well as outcomes and implications to the Group in the year under review.

Scope of the Report

The scope of this report relates to the NSE, an investment services company as well as material issues arising from its Derivatives Market, its related investments and other business lines. Any reference made to the Group will represent the NSE and its subsidiaries as well as its associate investments. The report will however capture any material issues arising from any related transactions regarding the Group before the publication of this report.

Preparations and Presentation

This integrated report has been prepared in accordance with the International Integrated Reporting Framework. The NSE Board of Directors has applied the fundamental concepts and principles recommended in the framework in the preparation of this report. As a listed company, we have prepared this report in line with the guidelines of the Kenya Companies Act 2015 and specifications issued by the Capital Markets Authority (CMA). The Group Financial Statements were prepared in accordance with International Financial Reporting Standards (IFRS).

Assurance The Group's Financial Statements were audited by Deloitte and Touche LLP to enhance their integrity and reliability.

Frank Mwiti
Chief Executive Officer

NSE Data Services

Access live or intra-day data on Equities,Fixed income and Equity Derivatives (single-stock futures (SSFs) and Index Futures) markets as well as market statistics data generated by the NSE

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ABOUT NSE

Who we are

The NSE is the leading securities exchange in East and Central Africa. We offer a world class trading facility for the trading of various equity and debt securities. In addition, we also provide a platform for the trading and settlement of securities of unquoted companies called the Unquoted Securities Platform (USP).

Our Purpose

The Nairobi Securities Exchange (NSE) is the principal bourse in Kenya, offering an automated platform for the listing and trading of multiple securities. NSE has consistently offered a well-regulated, robust and world class platform for the trading of equities, bonds and derivatives. We offer data and analytics solutions to a wide array of investment clients both locally and internationally. NSE is the market of choice for local and international investors looking to gain exposure to the East African economies.

Vision

To be the leading exchange and the investment partner of choice through providing efficient investment and capital raising services in Africa and globally.

Mission

Linking capital to opportunity to enhance stakeholder value.

Core Values

- Integrity
- Excellence
- Teamwork
- Sustainability
- Accountability

Who we serve

Investors

We serve a wide array of retail and Institutional investors both local and foreign with a discretionary mandate to invest in frontier equities markets and Derivatives Products. Institutional investors make up to 65% of our investors.

Issuers

We offer a capital raising platform for issuers looking to raise debt or equity capital.

Government

We provide an avenue for the Government to list sovereign paper for secondary trading.

Data Clients

The NSE offers data products to a wide variety of domestic and international clients including; Data Vendors, Investment Advisors, Fund Managers, Trading System Developers as Index computing companies.

Training Clients

We offer both basic and specialized training services to a wide variety of market players and the general public. Our training services builds the capacity of market players in an ever-changing environment, ensuring their ability to trade with even the most complex of instruments while keeping up with global trends.

THE NSE'S BUSINESS MODEL IN SUMMARY

Capital Formation

Primary Market (Capital Raising)	Secondary Market (Trading)

- Supporting companies seeking to raise capital through debt or equity.
- Supporting efficient trading and settlement of various securities.

Data and Information Services

Data Services for Investment and Research Purposes

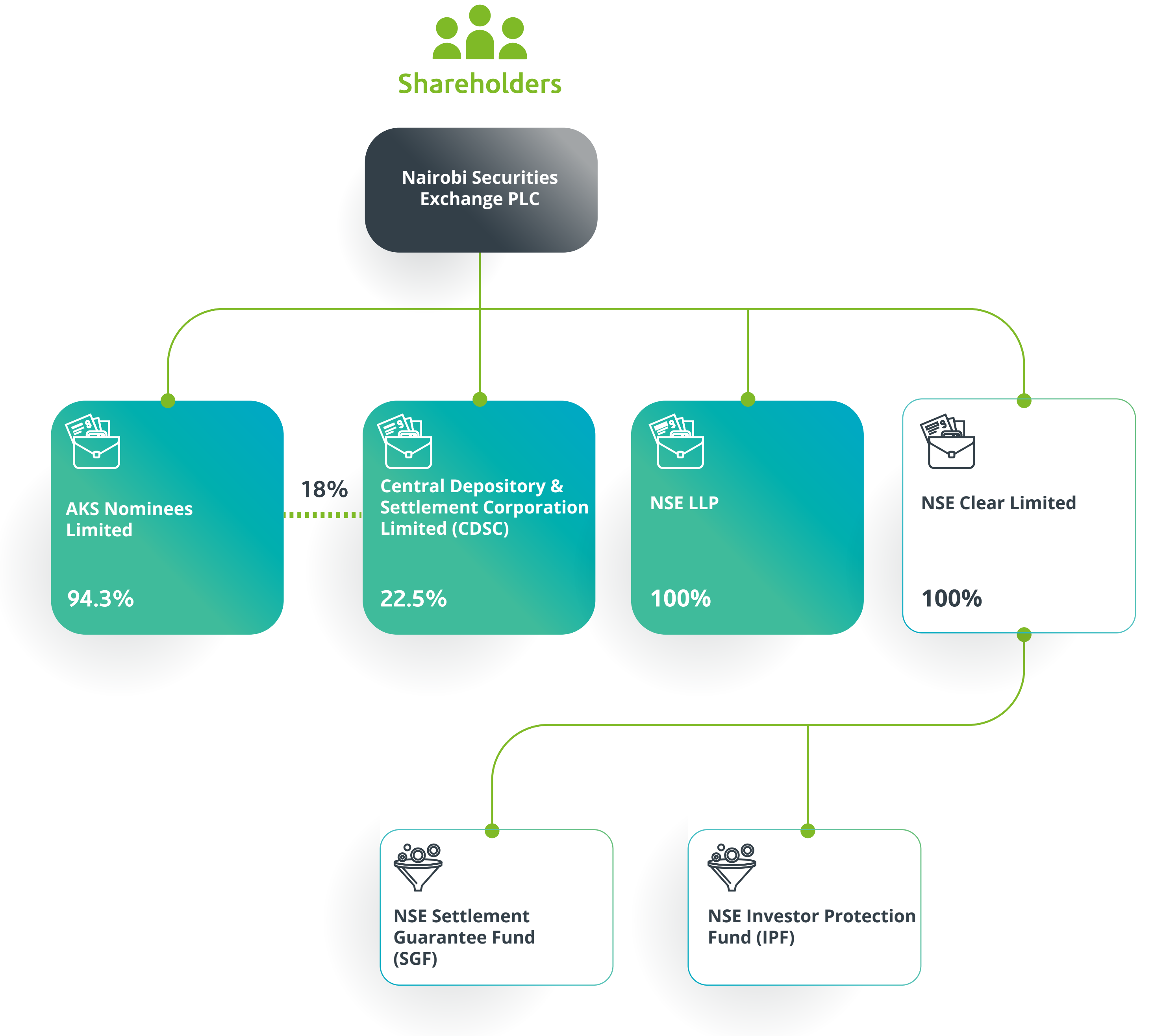
- Provision of a wide range of data and information products for investment purposes

Technology and Consulting

Technology and consulting services to build capacity in and outside Kenya

- Provision of technology solutions to brokers.
- Looking to offer technology solutions to other players such as Fund Managers, custodians etc.
- Consulting and capacity building services in kenya and the region.

NSE STRUCTURE



NSE HISTORY

1920 – 1953

Dealing in shares commenced with trading taking place on a gentleman's agreement. London Stock Exchange (LSE) officials accepted to recognize the setting up of the Nairobi Stock Exchange (NSE) as an overseas stock exchange in 1953.

1921

The NSE was registered as a private company limited by shares. Share trading moved from being conducted over a cup of tea (at the Exchange Bar at the Stanley Hotel), to the floor based open outcry system.

2006

The NSE implemented live trading on its own Automated Trading System (ATS) trading equities. The ATS also had the capability of trading immobilized corporate bonds and treasury bonds.

2008 (April)

The NSE launched the NSE Investment Challenge to promote financial literacy and stock market investments amongst Kenyan youth.

2009

The NSE marked the first day of automated trading in government bonds through the ATS and uploaded all government bonds on the System.

2011 (July)

The Nairobi Stock Exchange Limited changed its name to the Nairobi Securities Exchange Limited. The change of name was a reflection of the 2010 – 2014 strategic plan of the NSE to evolve into a full service securities exchange, which supports trading, clearing and settlement of equities, debt, derivatives and other associated instruments.

2013 (January)

The Nairobi Stock Exchange Limited changed its name to the Nairobi Securities Exchange Limited. The change of name was a reflection of the 2010 – 2014 strategic plan of the NSE to evolve into a full service securities exchange, which supports trading, clearing and settlement of equities, debt, derivatives and other associated instruments.

2019 (February)

The NSE launched revised listing rules incorporating listing requirements for Green Bonds enabling the NSE to offer a new asset class to issuers and investors.

2019 (May)

The East African Securities Exchanges Association (EASEA) in partnership with the Rwanda Stock Exchange hosted the inaugural conference within East Africa Capital Markets Day in Kigali, Rwanda.

2019 (July)

The NSE launched NEXT Derivatives Market, becoming the second Exchange in Africa to offer Exchange traded derivatives. The launch enabled the NSE to commence the trading of Single Stock and Index Futures.

2019 (October)

The NSE launched a new trading system provided by millennium technologies, who are part of the London Stock Exchange group.

2020 (June)

Launched a dynamic and user-friendly mobile app, to enhance investors participation in Kenya's capital market.

2021 (May)

Launched its Unquoted Securities Platform (USP)

2014 (June)

The NSE received formal approval from the Capital Markets Authority (CMA) to operate as a demutualized entity. The NSE also received formal approval from the CMA to offer its shares to the public through an Initial Public Offer (IPO) and to self-list its shares.

2014 (September)

The NSE listed its 194,625,000 issued and fully paid up shares on the Main Investment Market Segment under a new sector - Investment Services of the Bourse after a successful IPO. Following its self-listing, the Exchange became the second African Exchange after the Johannesburg Stock Exchange, to be listed, support trading, clearing and settlement of equities, debt, derivatives and other associated instruments.

2015 (October)

The NSE became the fourth African Bourse to launch the Real Estate Investments Trusts (REITs) market and consequently listed the first REIT, the Stanlib Fahari I-REIT.

2016 (July)

The NSE received formal recognition as a Self-Regulatory Organization (SRO) by the Capital Markets Authority (CMA).

2017 (June)

The NSE became the first Exchange in the East African region to introduce Exchange Traded Funds (ETFs) and subsequently listed the Barclays New Gold ETF.

2018 (January)

The NSE became the first Exchange in East and Central Africa to be admitted as a full member of the World Federation of Exchanges (WFE).

2018 (December)

The NSE launched its incubation and acceleration program dubbed Ibuka (meaning 'emerge' in Swahili) to offer companies the opportunity to grow their businesses and develop scalable and impactful business models.

2021 (August)

Safaricom and Nairobi Securities Exchange announced their partnership to enable customers invest in stocks by redeeming their accrued Bonga points. Customers redeem their points at a rate of KES 1 for every 5 points.

2021 (November)

NSE launched ESG Disclosure Guidance Manual.

2021 (December)

NSE launched Day Trading as part of its strategy to enhance market liquidity.

2022 (May)

The NSE introduced single stock futures onto the NSE derivatives market. The aim was to create a significant step in the development of the NEXT Derivatives Market and the advancement of the Capital Markets ecosystem in Kenya.

2022 (September)

NSE PLC and Risk Insights announced their partnership. The NSE PLC will be using Risk Insights' ESG GPS suite of products to access the underlying ESG reports and leverage on ESG ratings to support companies on their ESG journey to improve their ESG transformation strategies, disclosure and performances.

NSE admitted Private Wealth Capital Limited (PWCL) as an Authorized Securities Dealer (ASD) for fixed income securities listed on the NSE following the firm's approval to operate as an ASD by the Capital Markets Authority.

2022 (October)

NSE and the capital markets stakeholders welcomed the commitment made by His Excellency Hon. Dr. William Samoei Ruto PhD, C.G.H. to revitalize the capital markets by embarking on the privatization of between five to ten State Owned Enterprises over the subsequent 12 months. The commitment was made during the Bell Ringing Ceremony to mark the launch of the enhanced NSE Marketplace.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The NSE Offers Premium Training Services in:
• Trading and Investments
• Trading Systems and Technology
• Corporate Governance
• Risk and Compliance
• Sacco Training
Visit www.nse.co.ke to get the Training Calendar.

USP

Catalyst for growth

Access To Flexible **Quoting** Requirements

The USP will offer issuers a flexible quoting and regulatory requirements whilst enabling them to trade their securities.

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CHAIRMAN'S MESSAGE

Mr. Kiprono Kittony, EBS

"In the year, we marked a critical milestone, admitting **Linzi Sukuk**, the country's **first ever Sukuk Bond**. The Kshs. 3 billion Sukuk was admitted on the Unquoted Securities Platform."

Dear Shareholders,

It gives me great pleasure to present to you the Nairobi Securities Exchange Plc (NSE) Annual Integrated Report and Financial Statements for the period ending 31st December 2023.

This report highlights our performance against the set strategic priorities and our commitment to offer a world class trading facility that enables issuers access financing whilst providing an avenue for efficient deployment of capital by domestic and international investors.

This report also presents the strategies the Board adopted to ensure that the business aligns its priorities with prevailing macro-economic development both locally and internationally.

CHAIRMAN'S MESSAGE (CONTINUED)

Operating Environment

During the year under review, the operating environment remained significantly challenging both at a domestic and international level. At a global level, the tightening monetary policy evidenced by increased interest rates across major economies, a sharp escalation of inflationary pressure and noteworthy adjustments in foreign exchange across major markets posed a significant challenge for most frontier economies.

Domestically, the Kenyan economy also experienced persistent challenges characterised by rising interest rates, elevated inflation and a protracted weakening of the Kenyan Shilling against major currencies in the better part of the year. The Central Bank of Kenya (CBK) raised the reserve rate (CBR) four times in the year to close at 12.5% up from 8.75% at the beginning of the year. Similarly the Kenyan shillings reported a 26% decline against the US Dollar in the year under review.

The challenges were equally compounded by heightened fiscal vulnerabilities on account of maturing liabilities in the year 2024 specifically Kenya's June 2024 Eurobond.

The challenges heightened investor uncertainty and risk aversion, dampening investor sentiment and reducing capital inflows into frontier markets. They also led to investors reallocating capital to developed economies in search of higher yields in fixed income and near cash instruments.

Business and Financial Performance

Despite the challenging operating environment experienced in the year 2023, the Board steered the business during the difficult period to post a 34% increase in profit after tax from Kshs. 13.7 million in 2022 to Kshs. 18.4 million in 2023 a testament of the continued resilience the business has shown over the last two years.

During the year, the Board adopted a diversified strategy aimed at growing revenue from non-trading sources. The Board has adopted this strategy to ensure that the business remains adequately cushioned from market volatility as experienced in the last two financial years

I am pleased to note that the strategy continues to post positive results evidenced by the growth of alternative revenue streams in the business. Income related to the sale of various data products generated by the NSE experienced commendable growth, with revenues increasing from Kshs. 93.5 million in 2022 to Kshs. 116.6 million in 2023. Equally, interest income increased from Kshs. 104.4 million in 2022 to Kshs. 120.9 million during the year under review a testament that our diversification strategy continues to bear fruits.

During the year, we listed one Real Estate Investment Trust (REIT) on the Main Investment Market Segment of the NSE. The Laptrust Imara I-REIT is the first REIT issuance by a pension firm and marked a decisive point in expanding the product to pension funds which could leverage the product to unlock liquidity and reduce their exposure to real estate.

In the year, we marked a critical milestone, admitting Linzi Sukuk, the country's first ever Sukuk Bond. The Kshs. 3 billion Sukuk was admitted on the Unquoted Securities Platform. The admission broadens the products offered at the NSE and unlocks potential for new REIT issuances as well as Islamic products in the country.

The NSE has continued to maintain a strong balance sheet with total assets closing the year at Kshs. 2.0 Billion.

Dividends

The Board of the NSE is keen on distribution of profits to shareholders in form of capital.

Our dividend policy places special focus on growing shareholder returns, maintaining strong capital ratios whilst supporting the company's future growth and expansion strategies.

In line with our dividend policy and resilient financial performance in the year under review, the Board of Directors is pleased to propose an ordinary dividend of Kshs. 0.16 per share in relation to the financial year ending 31st December 2023.

Growth Outlook

The Board is optimistic of a positive performance in the year 2024 and is keen on deploying various strategies to accelerate business recovery and performance in the year.

The recent, partial advanced settlement of Kenya's June 2024 Eurobond in early 2024 sent a positive signal to the market. The move significantly buoyed investor sentiments and strengthened the Kenya Shilling against major currencies, thereby injecting a renewed sense of confidence and optimism into the market.

On the back of this success, the NSE has started to witness improved performance in the equity and bond markets. We are encouraged and hopeful that this trend will continue and that 2024 presents a good opportunity for investors to invest in the Kenyan market due to the attractive valuations across asset classes at the NSE.

The Board has placed special focus on exploring various opportunities for driving growth at an enterprise-wide level. Driven by this focus, we have continued to undertake various initiatives to stimulate the growth of our market. Key is to accelerate the growth of alternative revenue sources as we gear performance in our core business.

CHAIRMAN'S MESSAGE (CONTINUED)

We have continued to maintain productive engagements with the National Government in line with His Excellency President William Ruto's commitment to the growth of Kenya's capital markets. During the year under review, the President accented into law the Privatization Act paving way for an improved privatization process that will accelerate the privatization of state-owned companies.

The NSE is also engaging various private companies to promote listings across various market segments. We are envisaging several listings on the MIMS which in effect will offer more opportunities to our investors and enhance market liquidity.

Appointment of New Chief Executive

I very pleased to inform shareholders that the Board appointed Mr. Frank Mwiti as the Chief Executive of the NSE. Mr. Mwiti's appointment follows a comprehensive, and rigorous recruitment process. He is a dynamic and accomplished business leader with more than two decades of diverse and international professional experience in strategy, governance, business development, risk management, corporate finance, mergers & acquisitions, and performance improvement.

The Board is delighted to welcome Mr. Mwiti to the NSE. I am extremely confident of Mr. Mwiti's strategic capabilities and exceptional experience and confident he will play a critical role in accelerating the next phase of growth of the NSE as well as support the Government's economic growth agenda through capital markets. The Board will accord him the necessary support to implement strategic initiatives that will accelerate the company's growth and enhance Kenya's appeal to international investments.

Appreciation

Our performance and resilience as a business has only been possible due to the hard work and commitment of all our staff. Their ability and willingness to adapt to the ever-changing factors affecting our business and continuously remaining motivated has been critical in supporting this business. I thank the Management team and staff for their dedication to the NSE.

I would like to thank my Board for their guidance and perspective in running the business. The Board has been critical in challenging and inspiring management to view opportunities in entirely new ways and constantly focusing the Group to achieve the overall strategy.

Our shareholders are the cornerstone of our business. I take this opportunity to express my gratitude to you for entrusting us with your capital. I would like to reassure you of our commitment to business growth and delivery of enhanced returns to you our shareholder.

It would be remiss of me not to acknowledge our stakeholders in the capital markets industry, including the Kenya Association of Stockbrokers and Investment Banks and market participants, our listed companies, the Fund Managers Association, various professional membership bodies, multilateral organizations and other business partners in the private and public sectors.

Finally, I would like to express my gratitude to the Government. We have continued to see increased support from the Government through His Excellency President William Ruto. We have also enjoyed the support of relevant Government Ministries and agencies such as the National Treasury, the Capital Markets Authority, the Privatization Authority, amongst others.

We look forward to a better year with improved returns and more impact on our economy as we seek to continue to connect opportunity to capital through offering best-in-class investment services to issuers and investors regionally and around the world.

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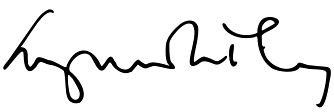

Kiprono Kittony
Chairman


Growing the Region's Financial Services Hub
We provide an all-inclusive trading platform anchored on best-in-class trading technology, wide array of investment products and data dissemination capabilities.
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CEO'S MESSAGE

Frank Mwiti

"To support topline growth, the business will focus on increasing core business revenue lines such as trading income"

Dear Shareholders,

It gives me great pleasure and humility to write my statement to you as the newly appointed Chief Executive Officer of the Nairobi Securities Exchange Plc. As I step into this role, I am deeply honored to lead a significantly important organization in the country's financial ecosystem and extend my gratitude for the trust and confidence bestowed to me to lead the organization in its next phase of growth.

I look forward to working closely with all relevant stakeholders building on the foundation already established to enhance accelerated business growth and development.

CEO'S MESSAGE (CONTINUED)

Business Performance in the year 2023

As highlighted in the Chairmans statement, our business performance in the year 2023 was significantly impacted by various macro-economic developments. The rising interest rates across various development markets and the foreign exchange challenges experienced in the year under review negatively weighed on investor sentiments causing reduced trading activity and reallocation of capital to developed markets.

Despite the challenges, the business remained resilient, a testament of the strength of the business to deliver returns to investors. During the year, year-on-year trading volumes in the equity market increased by 6.4% to settle at 3.2 billion shares up from 3 billion shares recorded in 2022.

However, due to price erosion, the equity market turnover recorded a 6.35% decline to close the year at Kshs. 88.2 billion from Kshs. 94.2 billion posted in 2022. In 2023, the bond market turnover similarly declined by 13.20% to settle at Kshs. 643 billion, from Kshs. 741 billion in 2022, due to reduced valuations on already issued bonds, and as investors choose to hold high yielding bonds, issued in 2023, to maturity.

The Real Estate Investment Trusts (REITs) segment was active with the LAPTRUST Imara I-REIT coming to the market by way of introduction on the main investment market segment (MIMS) in March 2023, signalling a resurgence of listings at the bourse. The listing represented the first REIT issuance by a pension fund in the country.

The NSE also marked a critical milestone, admitting Linzi Sukuk, the country's first-ever Sukuk Bond. The Kshs. 3 billion Sukuk was admitted on the Unquoted Securities Platform. The admission broadens the products offered at the NSE and unlocks potential for new REIT issuances as well as Islamic products in the country.

Near Term Focus Areas as I take Over the Leadership of the NSE

The company is in its final year of the 2020-2024 strategic plan. I am happy to report that, we will soon commenced the strategy development process for the business. As we develop our new strategy, I will focus on various key items some of which will be incorporated into our new strategy.

i. Business Growth and Profitability

As I take over the helm of the organization, I will place special focus on steering our company towards a trajectory of sustained profitability and robust business growth.

I will ensure the new strategy highlights opportunities for the business to optimize operations, streamline processes, and implement a company-wide cost reduction strategy to ensure we maximize our resources and generate healthy returns for our shareholders.

To support topline growth, the business will focus on increasing core business revenue lines such as trading income, listing fees and data income. We will also keenly explore and alternative revenue lines to ensure we remain cushioned against market cycles and volatility.

I believe there remains opportunities to increase trading activity through enhancing market access to both domestic and international investors with renewed commitment to accelerating retail investor participation. Equally, pursuing new listing opportunities from the private sector and through Government privatizations will also enable us to drive the core income for the business.

On cost, I am appreciative of the cost position of the business. I will have a complete review of key cost items and initiate various steps to address the cost position for the business.

ii. Capital Allocation

I will center my efforts in ensuring that as we strategically invest in new opportunities, the business will allocate capital effectively to ensure we have enhanced shareholder returns and protected capital. Going forward, we will carefully asses investment opportunities and prioritize those with the highest potential to deliver value and generate greater returns whilst ensuring initiatives align with our strategic objectives. Equally, we will continuously evaluate our capital allocation strategies to ensure they are reflective of current market dynamics. We will cause-correct with urgency to limit any potential capital erosion and value destruction.

iii. Cross Listings

Through engagements with various international institutional investors, the business was challenged to provide additional oportunities through cross listings. As it take over leadership, I will focus on enhancing our regional leadership. Over the course of the last few years, Kenya has made significant progress in enhancing the investment ecosystem.

By leveraging these developments, the NSE can offer international investors exposure and a gateway to tap into the region's vibrant economy and burgeoning sectors, such as technology, finance, and consumer goods through cross-listings regional companies on the NSE. Cross-listings will provide diversification benefits whilst fostering greater liquidity and depth in the market, ultimately enhancing NSE's attractiveness to global investors. As Kenya continues to position itself as a regional financial hub, cross-listings on the NSE will serve as a testament to its growing significance in the global investment landscape.

CEO'S MESSAGE (CONTINUED)

iv. Human Capital

Our staff are a critical part of supporting business growth and recovery. The growth and development of our staff will be very key to me and paramount to our company's success. I am committed to fostering a culture where our employees feel empowered, supported, and inspired to reach their full potential. By providing avenues for skill enhancement and career advancement, we not only nurture individual growth but also cultivate a high-performing team capable of driving and delivering our strategic priorities.

Outlook

Our expectation on business performance in the year 2024 remains positive and the Board is keen on deploying a multifaceted strategy that will enhance an accelerated recovery of business performance.

The recent, partial advanced settlement of Kenya's June 2024 Eurobond in early 2024 sent a positive signal to the market. The move significantly buoyed investor sentiments and strengthened the Kenya Shilling against major currencies, thereby injecting a renewed sense of confidence and optimism into the market.

On the back of this success, the NSE has started to witness improved performance in the equity and bond markets. We are encouraged and hopeful that this trend will continue and that 2024 presents a good opportunity for investors to invest in the Kenyan market due to the attractive valuations across asset classes at the NSE. Globally, market performance prospects are positive as most economists expect interest rates to drop or, at a minimum, remain steady as inflation improves across many developed economies.

This is expected to prompt increased flows and activity across emerging and frontier market assets including in Kenya. This year, we envisage several listings on the MIMS which in effect will offer more opportunities to our investors and enhance market liquidity.

Conclusion

As we embark on the journey to transform the NSE, I would like to express my gratitude for the warm welcome and support that has been extended to me. I equally express my appreciation to the Board of the NSE for trusting me with this responsibility.

I look forward to engaging and collaborating with all our stakeholders especially our investors as we char the course for the next chapter of NSE's growth and development. I am committed to ensuring the business delivers exceptional value to all our stakeholders and drive sustainable business growth for our company and the Kenyan economy.

Frank Mwiti
Chief Executive Officer


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Financial Services Hub
We provide an all-inclusive trading platform anchored on best-in-class trading technology, wide array of investment products and data dissemination capabilities.
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Phone: +254 20 2831000 / +254 (020) 222 4200
Mobile: +254 0724 253 783 / +254 0733 222 007
Email: info@nse.co.ke

SUSTAINABILITY REPORT

Mr. Frank Mwiti
Chief Executive Officer

> We have made commitments to support our companies align and report on their performance on various aspects of Environment, Social and Governance matters.

Our Approach to Sustainability

Since our inception, the NSE has grown to become a critical part of Kenya's growth and economic development story. Over the years, we have made significant investments aimed at enabling Kenya become the financial services hub for East Africa and a gateway to the continent by providing investors exposure to the fastest growing economies through our trading platform.

As we focused on establishing a world-class market infrastructure, the domestic, regional, and global operating environment changed drastically with investor, issuers and other key stakeholders placing special focus on sustainable business models that are driven by a conscious effort to create positive change within the organizations and the environment in which they operate in.

As a business, we strongly believe that sustainability is critical to the creation of long-term value for businesses. Guided by this, we have placed critical focus on ensuring that we run our business in an environmentally cautious and socially progressive way anchored on strong governance structures. Similarly, we have aligned our initiatives to the United Nations Sustainable Development Goals.

As a frontline regulator of listed companies, we have made commitments to support our companies align and report on their performance on various aspects of Environment, Social and Governance matters. We have advocated for the development of reporting structures that enable companies report their performance on ESG.

We believe by enabling Kenyan companies to publicly disclose their most significant impacts to the economy, environment, and people including on their human rights, we will have enabled the country leapfrog on sustainability reporting and provided information required by various stakeholders.

This abridged sustainability report aims at highlighting the efforts that the NSE has undertaken to embed sustainability internally and the initiatives that are key to our sustainability agenda. The report also profile our key stakeholders, our proposed engagement with the stakeholders and the material topics that the NSE will focus on.

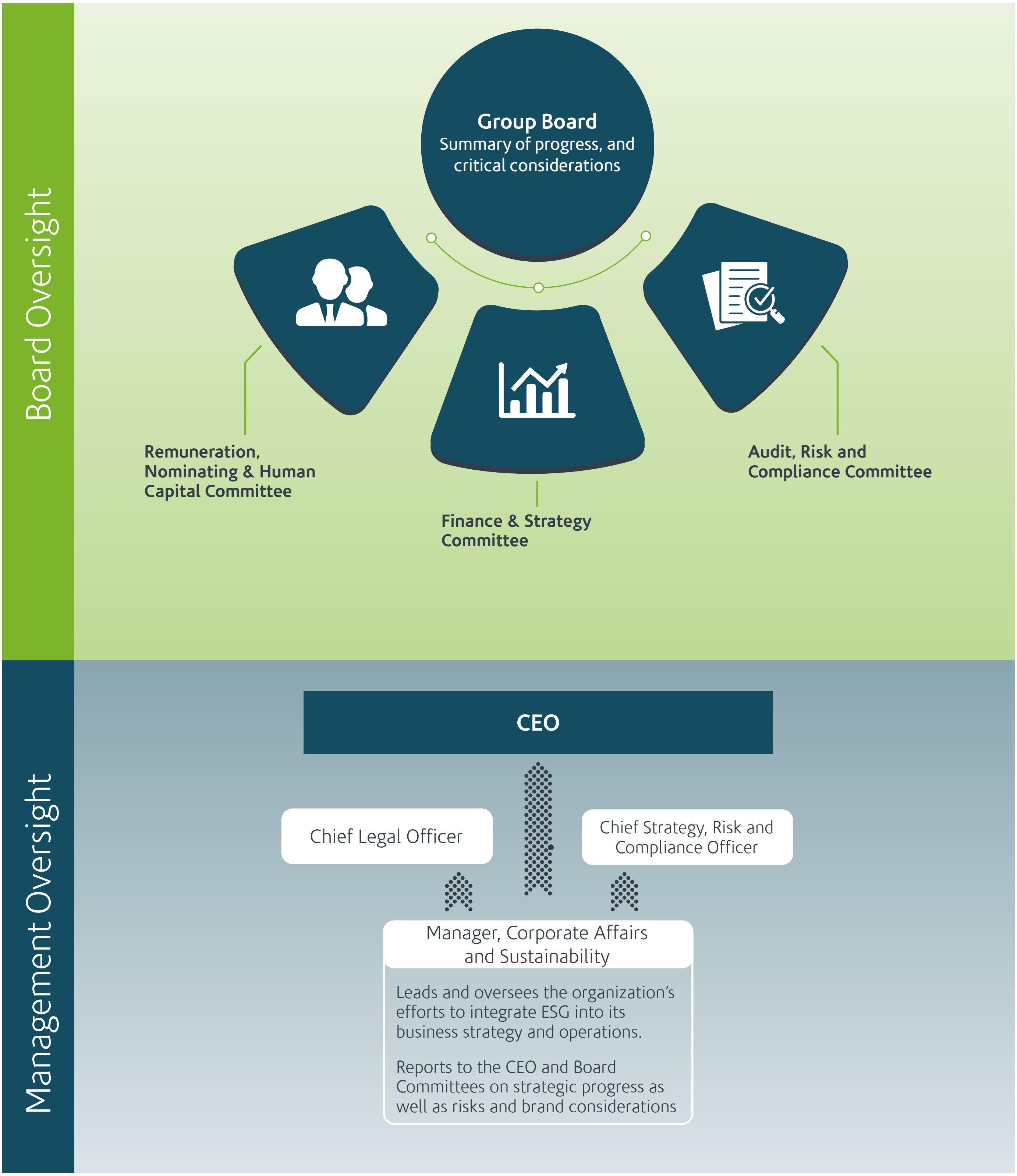
We are committed to enhancing our performance against key metrics and addressing positive and negative impacts of our business.

Frank Mwiti
Chief Executive Officer

SUSTAINABILITY REPORT (CONTINUED)

ESG Governance at the NSE

Actualising NSE's ESG Strategy: GOVERNANCE



SUSTAINABILITY REPORT (CONTINUED)

Board of Directors	Overall responsibility of providing oversight on the implementation of the sustainability strategy
Remuneration, Nominating and Human Capital Committee	Committee in charge of sustainability on the NSE. Oversees progress against various performance indicators on various aspects on inclusion and diversity.
Finance and Strategy Committee	Oversees progress against performance on ESG and sustainable finance products
NSE Sustainability Strategy Steering Committee (Chief Executive Officer, Chief Legal Officer, Chief Strategy, Risk and Compliance Officer)	Working at corporate level to ensure sustainability is upheld by the organization. Leads and oversees the organization's efforts to integrate ESG into its business strategy and operations. Reports to the CEO and Board Committees on strategic progress as well as risks and brand considerations
NSE Sustainability Champions	Supporting implementation of sustainability at Divisional level in the organization.

Stakeholder Engagement

a) Identifying and Selecting Stakeholders

As part of our focus on ensuring our sustainability report reflects our impacts on the economy, environment and people including on their human rights, we engaged various stakeholders over the course of the year and the development of the process.

Stakeholder engagement plays a significant role in ensuring we maintain strong relationships with our stakeholders to adequately and effectively identify material topics for the NSE. Equally, engaging our stakeholders plays a pivotal role in enabling us foster transparency, accountability, and credibility, in our sustainability reporting.

In an era where environmental, social, and governance (ESG) factors are increasingly shaping our business practices and investor decisions, engaging with stakeholders ensures our reporting reflects a comprehensive view of an organization's impacts and performance.

We have developed a stakeholder engagement framework that supports our engagement with various stakeholders on a regular basis to understand their needs and our impacts.

Stakeholders engaged include;

1) Investors (Domestic and international retail and institutional investors);
2) Issuers (Current and prospective equity, debt and other potential issuers);
3) Employees;
4) Regulators;
5) Trading participants; and
6) State agencies.

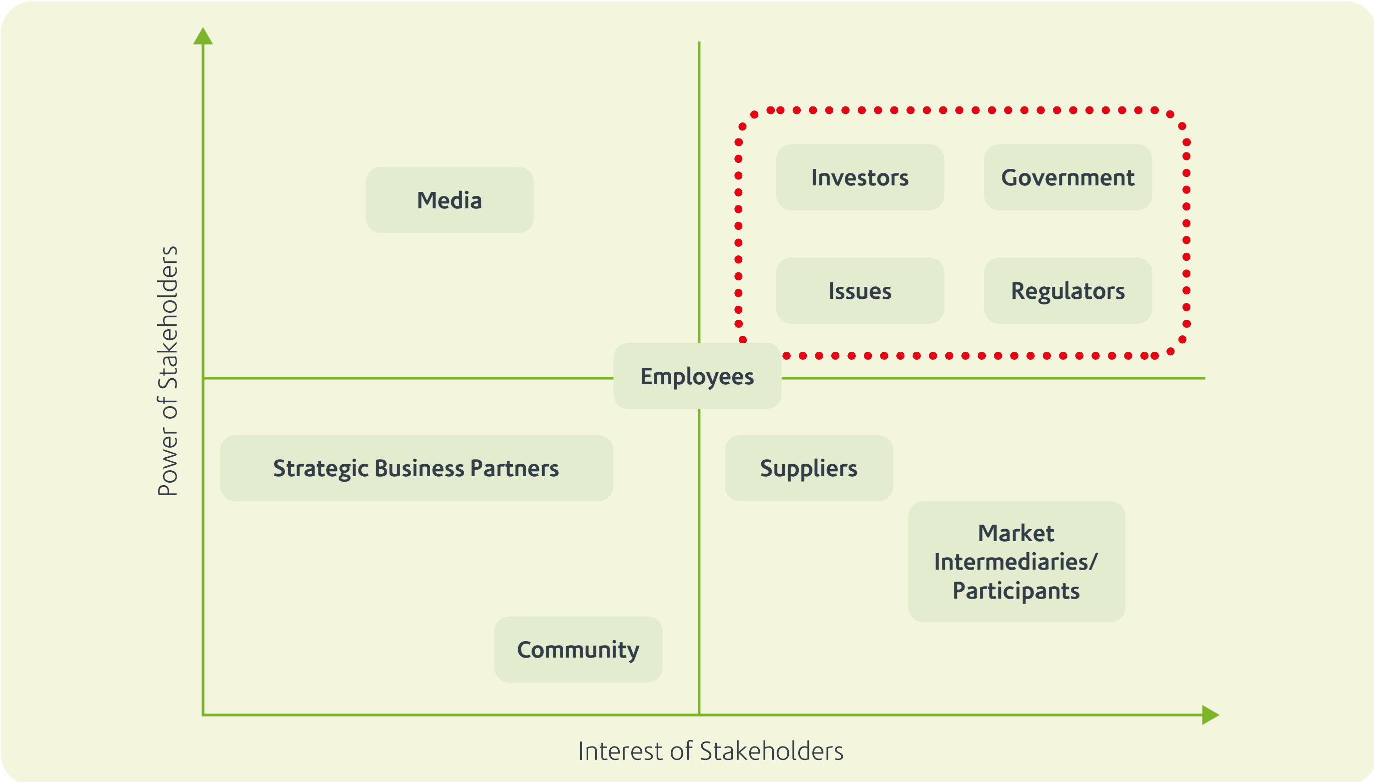
b) Approach to Stakeholder Engagement

1) Being receptive to stakeholders concerns;
2) Sharing proposed material topics with stakeholders for alignment;
3) Receiving feedback and incorporating it in our strategic initiatives; and
4) Leveraging on various stakeholder engagement platforms and channels to engage various companies.

SUSTAINABILITY REPORT (CONTINUED)

c) Our Stakeholder Map

Our high priority stakeholders include **Investors, Government** and **State Agencies, Issues** and **Regulators**.



List of Stakeholders and Our Engagement Practices

Stakeholder	Reasoning	How we Engage
Shareholders and other Investors	Investors are increasingly interested in sustainable investing. Demand for companies' performance on ESG has significantly grown over the last few years.	• Annual General Meetings of shareholders • Investor briefings • Half-Year and Full Year Financial Reports • Company website • Domestic and international investor roadshows • Response to information requests • Semi-annual investor calls • Direct investor communications • External disclosures • Conferences and non-deal roadshows
Issuers	These are the entities whose securities (equity or debt) are traded on the Exchange. They are directly affected by any sustainability requirements or reporting standards imposed by the Exchange.	• One on engagements with listed companies • Chief Executive Officer Forums • Chief Financial Officer Forums • Press Releases and other market notifications • Surveys • Direct meetings

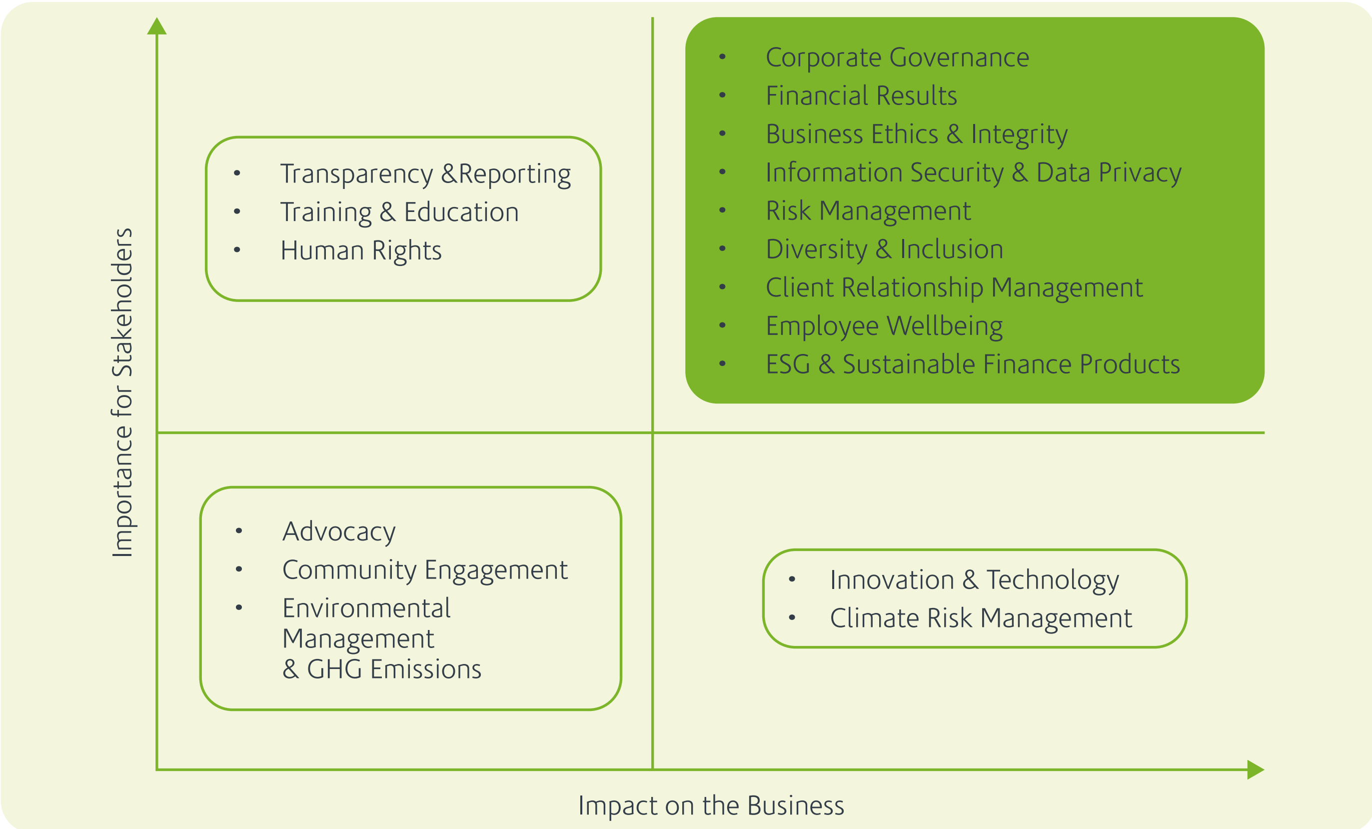
SUSTAINABILITY REPORT (CONTINUED)

Trading Participants	This includes brokers, nominated advisors, investment banks and other market participants who facilitate the trading of securities on the NSE. Their perspectives on sustainability initiatives and their impact on market dynamics are valuable.	• One on engagements with various trading participants • Capital markets stakeholders forums • Workshops • Surveys
Employees	Employees of the NSE are an important stakeholder. Engaging them in the development and implementation of the sustainability initiatives is key in promoting success.	• Employee engagement surveys • Quarterly performance dialogues • CEO townhalls • Staff meetings • Annual staff retreats • Training • Intranet • Senior Leadership meetings
Regulators and State Agencies	Regulatory bodies oversee the operations of the NSE and may mandate certain sustainability reporting standards or guidelines. Collaborating with regulators is essential to ensure compliance and alignment with broader sustainability goals.	• One on one meetings • Regulators Forums • Participation across various working groups • Regulatory working groups
Media	The media plays a significant role in shaping public opinion and perception. Nagging with the media is key in enabling the NSE to communicate sustainability initiatives to a broader audience, increasing transparency and accountability. Additionally, media coverage can influence investor sentiment and market dynamics making them a key stakeholder of the NSE.	• Media briefings • Press releases • Social media handles • Media interviews
Strategic Business Partners	Partner organizations play a key role in shaping sustainability standards and practices. Collaborating with them can help ensure that the NSE sustainability strategy is comprehensive and aligned with industry best practices.	• Partnership initiatives • Working groups
Suppliers	Suppliers provide various goods and services that are essential for the operations of the NSE. Engaging with suppliers on sustainability issues can help ensure that the Exchange's supply chain is environmentally and socially responsible. This may include promoting sustainable sourcing practices, reducing carbon footprint, and fostering fair labor practices among suppliers.	• Contracts • Performance evaluations

SUSTAINABILITY REPORT (CONTINUED)

Material Topics

Our material topics represent those that have the most significant impacts on the economy, the environment and people including on their human rights. In 2022, we conducted a materiality assessment process that which included a thorough desktop review. Our research illuminated a total of 17 impact topics that we selected for examination and prioritisation with the entire organisation through a quantitative survey. Our material topics include the below;



Performance Against United Nations Sustainable Development Goals (SDGs)

The NSE is a believer that global challenges require global collaboration and working together to accelerate the attainment of core development goals. In line with this, we have committed to supporting various initiatives that contribute directly or indirectly in the achievement of various sustainable development goals.

The NSE identified key areas of need in which the Group held expertise and had the opportunity to create a greater impact. These areas which included Gender Equality and women empowerment, Financial Inclusion, Financial Education, Conservation and Community Engagement were then embraced as we seek to promote the attainment of the United Nations Sustainable Development Goals.

To enhance implementation, we joined like-minded institutions and together, we leveraged on synergies to enhance our impact among communities. This included joining the United Nations Global Compact, a voluntary initiative that seeks to implement universal sustainability principles and to take steps to support the UN Global Goals. Equally, in March 2016, we signed the Women Empowerment Principles (WEPS) committing to a set of ideologies offering guidance on how to empower women in the workplace, marketplace and community.

SUSTAINABILITY REPORT (CONTINUED)

4 QUALITY EDUCATION

Financial Education

Goal: *Ensure inclusive, equitable and quality education and promote lifelong learning opportunities for all.*

NSE's Commitment: *Promote financial literacy for economic empowerment amongst Kenyans from all walks of life for*

As a leading Securities Exchange, we have taken a conscious effort to enhance financial literacy for economic growth and development. Core to this endeavour is a commitment to nurture the next generation of NSE Investors.

Financial Literacy has the potential to increase demand for formal financial services in developing economies. We are confident that our interventions to promote Financial Literacy have the capacity to enhance Kenyans' ability to access formal financial services thus ultimately boosting savings and investments in the country.

We have been at the forefront of educating the youth on investments through the annual stock challenge. The flagship program is an online simulation of trading of various securities listed on the NSE. Through the competition, the youth get a practical investing experience in the stock market using virtual capital and real time stock information provided by the NSE through the Automated Trading System.

The NSE also trains young people on investment opportunities through schools exposure visits. Young people across various secondary schools, universities and colleges get an opportunity to interact with NSE staff and representatives through sensitization visits to the NSE. The training sessions on the stock market provide the NSE with an opportunity to mould our next generation of Investors. The NSE also promotes expert training aimed at enhancing the skills, expertise and proficiency among players in the market.

Students attending a training session at the NSE

SUSTAINABILITY REPORT (CONTINUED)

13 CLIMATE ACTION

Climate Action

Goal: *Urgent action to combat climate change and minimize its disruptions.*

NSE's Commitment: *Create and Promote investment products that promote awareness or mobilize capital earmarked to support projects with benefits to the environment.*

Climate change continues to pose a threat to economic growth and development. As a country, a majority of our value chain and GDP is directly or indirectly affected by climatic conditions.

Climate change has evolved to become a credit problem to countries prone to extreme weather patterns and natural disasters propelled by global warming as leading credit rating agencies weigh on climate change risks in evaluating credit worthiness. As a market, we have committed to creating a platform to facilitate public and private sector investments in sustainable environment. We are aligning our market with sustainable development through the provision of asset classes that provide investors an opportunity to balance financial returns with environmental benefits. Additionally, these new instruments will offer investors a unique ability to hedge against climate policy risk.

We are in the process of the development of a carbon exchange that will facilitate the trading of carbon credits in Kenya.

5 GENDER EQUALITY

Gender Equality

Target: *Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision making in political, economic and public life. Ensure accessibility of capital markets services to female entrepreneurs and investors.*

NSE's Commitment: *Promote Gender Equality in the country and among listed companies.*

The NSE has continued to pursue a leadership role in spearheading gender equality among listed companies. Inspired by the promise of sustainable development Goal 5, we are at the forefront in ensuring both women and men in the Kenyan capital markets enjoy the same opportunities and are accorded equal rights and obligations.

We have also placed special focus on enhancing women's access to both leadership and management positions in Kenya's largest enterprises listed on the NSE. This has been achieved through highlighting financial, risk management and profitability benefits that companies stand to benefit by leveraging on women's unique abilities to enhance business growth.

In 2023, the NSE joined other Exchanges globally to Ring the Bell for Gender Equality in commemoration of International Women's Day. The event is aimed at raising awareness on the importance of Gender Equality to both business and sustainable development.

SUSTAINABILITY REPORT (CONTINUED)

Employee Development

8 DECENT WORK AND ECONOMIC GROWTH

SDG 8: *Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all*

Target: *Protect labour rights and promote safe and secure working environments for all workers, including migrant workers, in particular women migrants, and those in precarious employment. Substantially reduce the proportion of youth not in employment, education or training*

NSE's Commitment: *Promote a progressive, inclusive and respectful working environment for all whilst offering the youth employment opportunities.*

As a group, we are cognizant of the fundamental role our employees play in supporting the Group to achieve its strategic priorities. Skilled, valued and engaged workers are the key to exponential growth in our market.

In 2023, we continued to enable our employees succeed both in their personal lives and professional lives. We provided training and capacity building opportunities for various staff members during the year.

nairobi securities exchange
Discover Opportunity

MATERIAL ISSUES

OPERATIONS DIVISION REPORT

David Wainaina
Chief Operating Officer

The Operations and Information Technology department is tasked with ensuring that the NSE continues to fulfill its primary mandate of facilitating trading in listed securities and providing accurate and reliable data to the public.

To achieve this goal, the department operates by delivering top-tier trading and broker back-office systems, alongside preparing market data for consumption by various stakeholders, both locally and globally, to enable informed investment decisions.

The financial year 2023 presented numerous opportunities for the growth of the market. Notably, the department amended its Equity Trading Rules to permit block trading through a Block Board. This move is aimed at providing a mechanism where large investors can have flexibility in price range as the block providess for a 30% price band as opposed to the 10% limit. This move resulted in a block transaction of Ksh. 22.7 billion. Moreover, the department continued to maintain a world-class equities infrastructure provided by Millennium IT, a subsidiary of the London Stock Exchange Group, ensuring exceptional resilience and system availability throughout the year.

In the Fixed Income Market segment, in collaboration with the Central Bank of Kenya (CBK), the department witnessed the launch of the ***Dhow CSD*** system that facilitates seamless investing in government fixed-income securities. The department successfully integrated with the ***Dhow CSD*** system to facilitate the secondary trading of bonds. This initiative has positioned the NSE to support a transparent secondary market for all listed fixed-income securities.

Furthermore, the department focused on promoting the dissemination of reliable and credible market data held by the NSE, resulting in a 24% growth in data revenue from Ksh. 93 million to Ksh. 116 million. The increased demand for market data underscores its importance in facilitating investment decisions, with distribution channels including licensed data vendors, and the NSE website.

In conclusion, building upon the foundation laid in 2023, the department is optimistic of an improved performance in 2024, particularly as the economy rebounds from external shocks experienced during the year under review. The department has embarked on a journey to upgrade its Equity Automated Trading System and its bonds and derivatives infrastructure to further facilitate robust trading in the securities market.

CASH AND DERIVATIVES MARKET REPORT

OPERATING ENVIRONMENT IN 2023

Mbithe Muema
Chief Business Officer

The capital markets has continued to benefit from the Government's goodwill, with H.E. Dr. William Samoei Ruto CGH visiting the Exchange on two occasions where he presided over the bell ringing ceremony of the LAPTRUST Imara I-REIT listing and the 2023 African Securities Exchanges Association (ASEA) Conference.

The LAPTRUST Imara I-REIT listed by introduction on the Main Investment Market Segment (MIMS) in March 2023, ending the dearth of listings at the bourse. The listing represented the first REIT issuance by a pension fund in the country. This could spur similar issuances by pension schemes who are heavily invested in physical assets, in a bid to unlock liquidity via the capital markets. To further support REITs, NSE in collaboration with the REITs Association of Kenya (RAK) launched the REITs toolkit and incubator program. The program is aimed at providing requisite tools and access to industry professionals to accelerate the listing journey of upcoming REITs.

The division also continued to focus on enhancing SME capital raising via the capital markets and officially launched the NSE Connect Platform. NSE Connect is a digital diagnostic screening tool designed to bridge the gap between companies seeking capital with potential investors providing debt and equity capital to the enterprises, via prequalified transaction advisors. Management curated and continuously engaged with the NSE Connect ecosystem to onboard the numerous opportunities within the SME sector on to the platform.

Main Board Listings

Management continued to engage both the private and public sector in an effort to seek new quality listings.

We continued to promote listings by introduction as a market entry strategy owing to the prevailing low price to earning ratios observed. Private sector pipeline for listing presents a promising outlook for 2024 based on ongoing engagements with multiple corporates and MSME's.

In addition, Management through continuous engagements with the National Treasury and County governments sought to support the government's privatization agenda through the capital markets.

Corporate Bond Market

In the financial year, the Capital Markets Authority and Nairobi Securities Exchange Plc granted approval for the issuance of the country's first-ever Sukuk Bond, named Linzi Sukuk. Proceeds of the Sukuk will be used for the financing, design, construction, and commissioning of 3,069 residential accommodations for the Kenya Defense Forces. The KShs 3 billion Sukuk has received approval from the NSE for quoting on the unquoted securities platform (USP) which is NSE's automated over the counter (OTC) platform for private issuers and existing share registars.

Management also engaged various County governments over the year on potential green bond issuances to support suitable infrastructure developments.

The Ibuka Program Strategy

The NSE launched the NSE Connect platform which is a digital diagnostic screening tool designed to bridge the gap between companies seeking capital, transaction advisors and potential investors providing debt and equity capital to the enterprises.

Management engaged with and signed collaboration agreements with leading industry associations including the Kenya Private Sector Alliance (KEPSA), Kenya Association of Manufacturers (KAM), Retail Traders Association of Kenya (RETRAK), and Kenya Investment Authority (KenInvest) to build a pipeline of quality SME issuances. The NSE invited enterprises from these associations to participate in the NSE Ibuka Capital Raising Program and received more than forty applications. The program was delivered by the NSE and market intermediaries with a view to provide a dual understanding of the capital market fund raising journey as well as to appreciate the actual process from professional advisors who have facilitated these transactions in the capital markets. Twenty-seven SMEs graduated from the program and expressed a funding need in excess of Kshs. 4 billion via the NSE Connect platform.

CASH AND DERIVATIVES MARKET REPORT (CONTINUED)

Real Estate Investment Trusts (REITs)

Real Estate Investment Trusts (REITs) experienced momentum in the year under review. Kenya's oldest pension scheme, LAPTRUST listed the first I-REIT by a pension fund – LAPTRUST Imara I-REIT - in March 2023. There remain further opportunities for similar pension schemes that are heavily invested in physical assets to unlock liquidity via the capital markets for the benefit of their pensioners.

Fahari I-REIT undertook a conversion process from an unrestricted to a restricted REIT and subsequently received approval to be quoted on the USP.

NSE in collaboration with the REITs Association of Kenya launched the REITs toolkit and incubator, to guide upcoming REITs through the listing process.

Derivatives

The market turnover stood at Kshs. 64 million with a total of 2,941 contracts traded compared to Kshs. 125 million and 4,101 contracts traded the previous year. This performance was closely correlated with the turnover of the underlying equities market that also saw a decline in trading.

The Exchange received regulatory approval for an NSE 10 index futures contract that would allow investors to hedge against the market volatility. The NSE 10 index was structured to better represent the equities portfolios of investors in the market.

Outlook for the year 2024

There remain significant opportunities for a rebound of frontier markets' listed equities, owing to expected favorable macroeconomic conditions particularly on inflation, interest rates, and currency stability.

Management will continue engagements with the Government of Kenya to accelerate the privatization of State-owned Enterprises.

Management is also keen on increasing the number of companies raising equity and debt via the capital markets.

Management notes the increasing demand of listed alternative investment opportunities including REITs, ETFs, derivatives, green and social finance products, and will continue to facilitate their listings.

DIRECTORS' REPORT

The directors present their annual report together with the audited financial statements of Nairobi Securities Exchange PLC (NSE/the "Company"/the "Exchange") and its subsidiaries and structured entities (together, the "Group") for the year ended 31 December 2023, which show the state of affairs of the Company and the Group.

PRINCIPAL ACTIVITIES

The Company is the sole securities exchange licensed by the Capital Markets Authority to promote, develop, support and carry on the business of a securities exchange and to discharge all the functions of a securities exchange in Kenya.

NSE Clear Limited is a wholly owned subsidiary of the NSE. The principal objectives of NSE Clear Limited are to carry on the business of a clearing house and as such, to provide clearing and settlement services for transactions in derivative securities whether carried out on or off a securities exchange, to act as a central counterparty in derivative securities transactions and to carry out all activities that pertain to a clearing house.

The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF) are trusts whose main purpose is to strengthen the financial integrity of the derivatives market, ensure settlement of transactions in derivatives securities in case of default by a clearing member and satisfy specified claims by the investing public arising out of non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of the trading members. The Board of Directors of the NSE Clear Limited appoints Trustees of the SGF and IPF who manage and administer these funds.

The Company's holding in AKS Nominees Ltd (AKS) is 94% (2022: 89%). AKS holds an 18% shareholding in the ordinary shares of the Central Depository & Settlement Corporation (CDSC) (2022: 18%). The principal activity of the subsidiary is holding equity shares in CDSC in trust for its members who are authorised to operate as stockbrokers and investment banks in the Nairobi Securities Exchange (NSE).

The NSE Limited Liability Partnership (NSE LLP) was set up to run the Unquoted Securities Platform. The Partners of the NSE LLP are the NSE PLC, the Chief Executive Officer and the Chief Operating Officer of the NSE PLC. The LLP has a Management Committee that oversees the day to day activities of the LLP. As per the Partnership Deed, NSE PLC shall contribute 100% of the capital of the NSE LLP and is allocated all the profits and losses of NSE LLP.

BUSINESS REVIEW

The year-on-year trading volumes in the equity market increased by 6.4% during the year under review to settle at 3.2 billion shares up from 3 billion shares recorded in 2022. However, due to price erosion, the equity market turnover recorded a 6.35% decline to close the year at Sh 88.2 billion from Sh 94.2 billion posted in 2022. In 2023, bond market turnover similarly declined by 13.20% to settle at Sh 643 billion, from Sh 741 billion in 2022, due to reduced valuations on already issued bonds, and as investors choose to hold high yielding bonds, issued in 2023, to maturity.

The Real Estate Investment Trusts (REITs) segment experienced activity with the LAPTRUST Imara I-REIT coming to the market by way of introduction on the main investment market segment (MIMS) in March 2023, signalling a resurgence of listings at the bourse. The NSE also marked a critical milestone, admitting the country's first-ever ***Sukuk*** Bond, named Linzi ***Sukuk***. The Sh 3 billion ***Sukuk*** was admitted on the Unquoted Securities Platform. The admission broadens the products offered at the NSE and unlocks potential for new REIT issuances as well as Islamic products in the country.

The Group reported an increase in profit after tax by 34% from Sh 13.7 million in 2022 to Sh 18.4 million in 2023. This growth is attributed to the non-trading income growth strategy adopted by the Board during the year under review. Data income experienced commendable growth, with revenues increasing from Sh 93.5 million in 2022 to Sh 116.6 million in 2023. Equally, interest income was a growth line, increasing from Sh 104.4 million in 2022 to Sh 121.0 million during the year under review.

Equity transaction levy reduced from Sh 225.8 million in 2022 to Sh 211.1 million in 2023 as a result of the decrease in equity turnover in the year under review. Bond levy also decreased by 19% from Sh 79.4 million in 2022 to Sh 64.4 million in 2023.

Total expenses increased by 8% from Sh 551 million in 2022 to Sh 596 million in 2023. This was mainly driven by inflationary pressures as well as the impact on the weakening of the Kenya shilling against major currencies.

Share of loss of associate (CDSC) improved from a loss of Sh 46.5 million in 2022 to a loss of Sh 19.4 million in 2023 on the associate's improved performance in 2023.

DIRECTORS' REPORT (CONTINUED)

BUSINESS REVIEW (CONTINUED)

Other comprehensive income in 2023 includes mainly a fair value gain of Sh 26.3 million on the share price appreciation in our equity investment in the Dar-es-salaam Stock Exchange.

Total assets decreased marginally from Sh 2.034 billion in 2022 to Sh 2.028 billion in 2023.

Cash flow from investing activities increased on reduced net investment on Government securities in 2023 as compared to 2022. Cash and cash equivalents increased by Sh 64 million. Total investable assets stood at Sh 850.4 million inclusive of the regulatory restricted funds amounting to Sh 317.2 million.

DIVIDEND

The Group profit for the year of Sh 18,404,000 (2022: Sh 13,724,000) has been added to retained earnings. The Directors recommend the approval of final dividend of Sh 0.16 per share amounting to Sh 42 million (2022: Sh 0.20 per share amounting to Sh 52 million).

DIRECTORS

Mr. Geoffrey O. Odundo retired as a Director of the Company upon the expiry of his contract as Chief Executive Officer of the Company, on 1st March 2024. Mr. Frank Mwiti was appointed as Chief Executive Officer to take up the role on 2nd May 2024 and became a Director of the Company from that day.

In the interim period, the Chief Operating Officer, Mr. David Wainaina, was appointed as the Acting Chief Executive Officer of the Company with effect from 2nd March 2024 up to 1st May 2024.

The current members of the Board of Directors are as shown on page 6.

DISCLOSURES TO AUDITOR

The directors confirm that with respect to each director at the time of approval of this report:

(a) there is, as far as each director is aware, no relevant audit information of which the Company's auditor is unaware; and

(b) each director has taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

TERMS OF APPOINTMENT OF AUDITORS

Deloitte & Touche LLP, having expressed their willingness, continue in office in accordance with the provisions of section 719 (2) of the Kenyan Companies Act, 2015.

The directors monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

By order of the Board

Mr. Kuria Waithaka
Company Secretary

28th March 2024

BOARD MEMBERS PROFILES

BOARD MEMBERS PROFILES (CONTINUED)

Mr. Kiprono Kittony, EBS

Chairman

Nationality Kenyan
Background Law, Commerce
Appointment May 30, 2018

Mr. Kittony holds both a Bachelor of Commerce (BCom) degree and a Bachelor of Laws (LL.B) degree from the University of Nairobi and a Global Executive MBA from the United States International University (USIU).

Mr. Kittony was appointed Chairman of the NSE Board on July 13, 2020 and as a Board Director of the NSE on May 30, 2018. He is the immediate former National Chairman of the Kenya National Chamber of Commerce & Industry (KNCCI), the premier business membership organization in Kenya.

He is an established entrepreneur and business leader having served in several capacities including being the immediate past Chairman of the Media Owners Association and AAR Insurance Limited. During his seven-year tenure at the KNCCI, he was widely credited with revitalizing the organization through a series of transformative initiatives that placed the Chamber at the forefront in terms of shaping national trade and general economic policy.

He serves as the chair of the CreditInfo CRB Kenya Limited, Mtech Limited and Radio Africa Group (which he co-founded in 2000). He sits on the advisory council of the International Fund for Health in Africa (IFHA), an Amsterdam based private equity fund and is one of two representatives from Africa in the Global Council of the World Chambers Federation.

Mr. Paul Mwai

Vice-Chairman

Nationality Kenyan
Background Investment Banking
Appointment May 30, 2018

Mr. Mwai possesses an MBA from Strathmore University and a Bachelor of Business from the University of Southern Queensland. Additionally, he holds an Investment Management Certificate from the UK Society for Investment Professionals and is an Associate Member of the Chartered Institute of Bankers. He is a member of the Institute of Chartered Investment and Financial Analysts (ICIFA) and is an authorized Representative for the Growth Enterprise Market Segment (GEMS) of the NSE.

Appointed as a Board Director of the NSE on May 30, 2018, Mr. Mwai currently holds the position of Chief Executive Officer at AIB-AXYS Africa Ltd. He is also the Immediate Past Chairman of the Kenya Association of Stockbrokers and Investment Banks (KASIB). With an extensive career spanning over thirty years in the financial services industry, his expertise encompasses fund management and investment banking.

Mr. Mwai's professional journey includes various roles within the Barclays Group, including Barclays Merchant Finance Ltd (BMFL) and Barclays Dealing Centre. He later transitioned to the Barclaytrust Investment Services Group in 1998, assuming the role of Fund Manager. Following the acquisition of Barclaytrust by Old Mutual in October 2002, he served as a Senior Portfolio Manager at Old Mutual Asset Managers and as an Asset Allocation Strategist. Mr. Mwai joined AIB-AXYS Africa Ltd in February 2012 after his tenure as Chief Executive Officer at African Alliance Investment Bank.

Geoffrey Odundo

Nationality Kenyan
Background Economics and Investment Banking
Appointment CEO since March 3, 2015 to March 1, 2024

Mr. Odundo served as the Chief Executive Officer of the Nairobi Securities Exchange Plc (NSE), a position he held for the past nine (9) years. He is an accomplished Investment Banker and has been in the financial services sector for the last 31 years holding senior roles in the asset management, corporate finance and securities trading.

Prior to this, he was the Managing Director of Kingdom Securities Limited and Chief Manager, Merchant and Investment Banking at the Co-operative Bank of Kenya Group.

Mr. Odundo served as a Director of the Central Depository and Settlement Corporation Limited; NSE Clear Limited and Trustee of the NSE Fidelity Funds. He is the Vice Chairman of the REITs Association of Kenya (RAK) and a past Director of the Association of Stock Exchanges of Africa (ASEA) as well as an Executive Committee member of EASEA.

Mr. Odundo is a Council Member of the Africa Financial Industry Summit (AFIS), a Council Member of the Institute of Certified Financial Analysts (ICIFA), member of Working Committee of the World Federation of Exchanges (WFE) and a member of the Central Bank of Kenya's Consolidated Fund for Debt Management (CFDDM) Committee.

He holds an undergraduate degree in mathematics and economics, a master's degree in strategic management and is an Advanced Management Program (AMP) graduate from Strathmore/IESE (Spain) Business School. He is currently a Doctorate Student at University of Nairobi.

BOARD MEMBERS PROFILES (CONTINUED)

Mr. Michael Turner

Independent Non-Executive Director

Nationality British
Background Finance, Accounting
Appointment March 21, 2014

Mr. Turner holds a first-class degree in Civil Engineering. He is a Fellow of the Institute of Chartered Accountants in England & Wales.

Mr. Turner was appointed a Board Director of the NSE on March 26, 2015. He is the Managing Director of Actis Limited in East Africa and is responsible for Actis's USD 300 million Private Equity Fund with investment in Energy and Real Estate in East Africa.

He has extensive experience in private equity having served as the Manager of the Actis Africa Agribusiness Fund and the founder manager of the first Small and Medium Sized Enterprises (SME) Private Equity fund in East Africa – the Acacia Fund.

Mr. Turner has a deep understanding of Private Equity investment in agribusiness, financial services, real estate and infrastructure throughout Sub Saharan Africa. Prior to joining Actis, Michael worked in investment banking in London for Lehman Brothers and Kleinwort Benson, having started his career with Price Waterhouse.

Mr. Donald Wangunyu

Non-Executive Director representing Trading Participants

Nationality Kenyan
Background Finance & Investment
Appointment June 3rd, 2020

Mr. Wangunyu serves as the Chairman of the Board of the Kenya Association of Stockbrokers and Investment Banks (KASIB).

He also serves on the Board of Standard Investment Bank (SIB), chairs the risk and compliance committee of this Board and is the Chairman's representative for Shariah products of the Investment bank.

Donald initiated the Capital Markets round-table, which consists of the Chairpersons and Chief Executives of the capital markets ecosystem of the country, where he is also a member and further serves on the Board of the Kenya National REITS.

Donald further conceived and initiated the KASIB County Government Financing Program with a goal to deliver an ecosystem for alternative financing for counties, working closely with the respective County governments.

Donald's management experience includes being the Founder and Chief Executive Officer of FourFront Management, the first and only fully licensed Robo-Advisor in the Country, pioneering robo-advisory, high frequency trading (HFT) and short selling on the NSE, having pioneered mobile/SMS share trading in Kenya in 2008.

His experience further includes being a member of the Capital Markets 10-year Master Plan implementation group and chairing the industry committee that oversaw the removal of capital gains tax from the Exchange.

Further, he served as a member of the Central Depository and Settlement Corporate's (CDSC) Market Operations committee, as well as the system selection committees of the stockbrokers and investment banks, as well as the systems selection committee of the CDSC.

Further, his experience includes leading hybrid and remote teams in different time zones and he has extensive experience in AGILE project management framework, as well as business process automation (BPA) and he is a management 3.0 practitioner.

BOARD MEMBERS PROFILES (CONTINUED)

Mr. Stephen Chege

Non-Executive Director representing Listed Companies

Nationality Kenyan
Background Law
Appointment June 3rd, 2020

Mr. Chege has over 20 years' experience in policy, legal and regulatory affairs and Environmental Social and Governance (ESG) matters, primarily within the telecommunications and ICT industry. He is the Chief Regulatory & External Affairs Officer at Vodacom Group, where his role entails safeguarding and growing Vodacom Group's reputation, Government & stakeholder engagement, shaping the policy, legal and regulatory environment and overseeing the growth of Vodacom's ESG agenda. He has held other roles at Safaricom including Chief External Affairs, Head of Regulatory and Public Policy, Senior Manager – Public Policy and Market Regulation and Principal In-house counsel. He was also the Public Policy Manager, Vodafone Group Public Policy in the UK.

He holds a Master of Laws (LLM) degree in International Trade and Investment Law from the University of Nairobi and a Bachelor of Laws from the same University. He is also a Certified (Company) Secretary.

Ms. Risper Alaro

Non-Executive Director representing listed companies

Nationality Kenyan
Background Finance, Accounting
Appointment May 30, 2018.

Ms. Alaro holds an MBA in Finance from the United States International University Africa (USIU) and a Bachelor's Degree in Business Management from Moi University. She is a fellow of the Association of Certified Chartered Accountants (FCCA), a member of the Institute of Certified Public Accountants of Kenya (ICPAK), an International Coach Federation Professional Certified Coach (PCC), and a Certified Executive Leadership Coach. She is a fellow of the Archbishop Desmond Tutu Africa Leadership Fellowship.

Ms. Alaro was appointed as a Non-Executive Director on the Board of NSE on May 30, 2018. She also serves as a Non-Executive Director on the Boards of Bank of Kigali PLC, Kenya Climate Ventures Ltd and Population Services Kenya (PSK). She is currently serves as the Group Finance Director at Centum Group PLC.

Isis Nyong'o

Independent Non-Executive Director

Nationality Kenyan
Background E-Commerce & IT
Appointment May 30, 2019

Isis brings deep experience in navigating the Africa business landscape. As a Partner at Asphalt & Ink, she advises leading global foundations, investors, and technology companies on their Africa strategies. She is well established in Africa's technology ecosystem having played an instrumental role in shaping Africa's digital economy through notable leadership positions at Google, InMobi, and MTV Networks. With a background that includes partnership development, early-stage venture building and board service (public and private), she possesses a nuanced understanding of how to scale organizations across the continent. She is involved in various initiatives to improve gender equality including co-founding WomenWork, a digital network of entrepreneurial women through which she has a direct grasp of the challenges and opportunities in the women's entrepreneurship ecosystem in Africa. Isis is a graduate of Stanford University & Harvard Business School and also serves on the board of LGT Venture Philanthropy.

BOARD MEMBERS PROFILES (CONTINUED)

Mr. John Niepold

Independent Non-Executive Director

Nationality American
Background Economics
Appointment June 3, 2022

Mr. Niepold has over 25 years of experience in frontier investing in Africa and the Middle East. In addition to the Nairobi Securities Exchange where he serves as an Independent Director, Mr. Niepold is on the Board of Directors of the Integra MENA Fund and is a Senior Advisor to All Africa Partners, a UK based fund manager focused on listed equity investments in Africa. In 2010, he founded SQM Frontier Management LLP and served as the Managing Partner and Portfolio Manager for the firm's Frontier Africa Fund until 2020. Prior to founding SQM, Mr. Niepold was a Portfolio Manager and Partner at Emerging Markets Management (EMM) where he launched and managed The Africa Emerging Markets Fund, the first fund dedicated to investing in Africa's frontier stock markets in 1993 as well as the Emerging Markets Middle East Fund in 2004.

Prior to joining EMM, Mr. Niepold served as an equity analyst in Southeast Asia for Crosby Securities and as an independent consultant covering frontier markets. Mr. Niepold has a Bachelor of Arts degree in Economics from Davidson College and a Master of Business Administration degree from the Kenan-Flagler Business School at the University of North Carolina/Chapel Hill.

Ms. Carole Kariuki

Independent Non-Executive Director

Nationality Kenyan
Background Economics
Appointment June 3, 2022

Carole Kariuki holds a Bachelor of Arts Degree in Economics and Sociology from the University of Nairobi and a Masters Degree in Public Administration from Bowling Green State University, Ohio, USA. She has also pursued several professional courses on Stakeholder Management, Leadership and Private Sector Development among others.

Carole before joining KEPSA, did work briefly for Barclays Bank of Kenya, Nairobi Chapel and Sagamore Institute for Public Policy Research, Indianapolis – Indiana, where she acted as a liaison between Kenya Private Sector Alliance (KEPSA) and the Institute before formally joining KEPSA. She worked for several years at KEPSA before being appointed KEPSA CEO.

Ms. Kariuki is credited for transforming KEPSA from a little known Business Organisation to one of the most influential Organisations in Kenya and Globally. KEPSA is the Apex body of the private sector in Kenya, galvanizing the private sector through public-private dialogue and influencing the economic and development agenda.

BOARD MEMBERS COMMITTEES MEMBERSHIP

Mr. Paul Mwai

Member - Finance and Strategy Committee,
Trading Technology Committee
Derivatives Market Oversight Committee.

Mr. Michael Turner

Chairman - Finance and Strategy Committee,
Member - Audit, Risk & Compliance Committee
Self Regulatory Organisation and Listing Committee.

Ms. Risper Alaro-Mukoto

Member - Audit, Risk & Compliance Committee
Remuneration, Nominating and Human Capital Committee.

Ms. Isis Nyong'o Madison

Chairperson - Self Regulatory Organisation and Listing Committee,
Member - Audit, Risk & Compliance Committee
Remuneration, Nominating and Human Capital Committee.

BOARD MEMBERS COMMITTEES MEMBERSHIP (CONTINUED)

Mr. Donald Wangunyu

Chairman - the Trading Technology Committee, Member - Remuneration, Nominating and Human Capital Committee.

Mr. Stephen Chege

Member - Finance and Strategy Committee, Trading Technology Committee, Remuneration, Nominating and Human Capital Committee.

Mr. John Niepold

Chairman - Audit, Risk & Compliance Committee, Finance and Strategy Committee, Self Regulatory Organisation and Listing Committee.

Ms. Carole Kariuki

Chairperson - Remuneration, Nominating and Human Capital Committee Member of the Self Regulatory Organisation and Listing Committee, Finance and Strategy Committee.

EXECUTIVE COMMITTEE MEMBERS

Frank Mwiti

Chief Executive Officer

Kuria Waithaka

Company Secretary &
Chief Legal Officer

David Wainaina

Chief Operating Officer

Jane Kiarie

Chief Finance Officer

Mbithe Muema

Chief Business Officer

Irungu Wagemma

Chief Officer, Strategy,
Risk & Compliance

Fredrick Okong'o

Chief Internal Audit

Titus Kiilu

Chief Officer, Regulatory Affairs

Lucy Kamar

Chief Officer, HR & Admin

Jackson Kiminje

Chief Officer, Investor Education &
Capacity Development

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NSE 2023 HIGHLIGHTS

2023 HIGHLIGHTS

1 H.E PRESIDENT DR. WILLIAM RUTO, C.G.H OFFICIATES THE HISTORIC LISTING OF THE LAPTRUST IMARA I-REIT AT THE BOURSE

The President, (4th from the left) is joined by government officials and capital markets stakeholders during the listing ceremony

On Wednesday, March 22, 2023, Kenya's oldest pension scheme, the Local Authorities Pension Trust (LAPTRUST) listed the first Income- Real Estate Investment Trust (I-REIT) by a pension fund on the NSE at a ceremony officiated by His Excellency Dr. William Samoei Ruto, C.G.H., President of the Republic of Kenya and Commander-in-Chief of the Defence Forces.

Dubbed the 'LAPTRUST Imara I-REIT', the listing of the Income REIT marked an important milestone for the LAPTRUST scheme and the Kenyan capital markets as a whole as it provided investors with a unique opportunity to invest in a diversified portfolio of income-generating real estate assets. The listing also also sought to spur other pension schemes heavily invested in physical assets to unlock liquidity for the benefit of pensioners .

Speaking during the bell ringing ceremony, H.E Dr. William Ruto, C.G.H noted "I am delighted to be part of this historic moment in the Kenyan capital markets. The listing of the LAPTRUST Imara I-REIT is a significant milestone, and I commend the Board of Trustees of the LAPTRUST scheme, the scheme's corporate administrator, CPF Financial Services, the NSE, the CMA and all stakeholders involved in this landmark transaction."

"The listing of the LAPTRUST Imara I-REIT is a significant achievement for CPF Financial Services, and we are proud to be part of this historic moment in the Kenyan capital markets. We believe that the Income REIT offers investors a unique opportunity to invest in a diversified portfolio of income-generating real estate assets, while also benefiting from the potential capital appreciation of these assets," said CPF Group Managing Director/CEO, Hosea Kili, OGW, during the listing ceremony.

2 The NSE LAUNCHES TWO NEW INDICES AND REVIEWS THE NSE 20 SHARE INDEX CONSTITUENT COMPANIES

On September 4, 2023, the NSE launched two new market indices, NSE 10 Share Index (N10) and the NSE Bond Index (NSE-BI). The two indices track the performance of the equities market and bonds market respectively. This development followed extensive engagements with various stakeholders including potential issuers of structured products like the Exchange Traded Funds (ETF).

The N10 Index is based on a set of 10 companies, namely, Safaricom Plc, Equity Group Holdings Plc, KCB Group Plc, The Co-operative Bank of Kenya Limited, ABSA Bank Kenya Plc, East African Breweries Plc, NCBA Group Plc, Kenya Electricity Generating Company Plc, Kenya Re Insurance Corporation Limited, Centum Investment Co Plc. The constituent companies list will be reviewed semi-annually.

One of the key elements of this index is that its based on market capitalization float adjusted methodology and will be distributed on a daily basis.

On the other hand, the NSE Bond Index (NSE-BI) will be a weekly index which will be distributed together with the NSE Yield curve. The index will be based on the benchmark Government bonds listed on the Nairobi Securities Exchange. It is expected that this index will form part of a fixed rate future contracts that will be issued on the NSE derivatives market.

In line with best practices in respect of indices management, the NSE has reviewed the NSE 20 Share index, replacing WPP Scan Group Plc, Nairobi Securities Exchange Plc, and Diamond Trust Bank Kenya with CIC Insurance Group Plc, Bank of Kigali Group Plc and I&M Holdings Plc respectively, on the list of constituent companies.

NSE 2023 HIGHLIGHTS (CONTINUED)

3 Vivo Fashion Group Limited Embarks on a New Journey of Growth with NSE's Ibuka Program

Vivo Fashion Group Ltd CEO, Ms. Wandia Gichuru addressing the congregation at the bell ringing ceremony for joining the Ibuka program.

On October 18 2023, Vivo Fashion Group Limited joined Ibuka, NSE's premium incubation and acceleration program for high-growth companies in Kenya. Founded in 2011, Vivo Fashion Group is the largest ladies' Made in Africa fashion brand designing and manufacturing 100% on the African continent. The company's focus is on creating economic opportunities in Africa through fashion. With a vision to see "Africa dress herself, and the world" Vivo designs and produces affordable, widely accessible and good-quality clothing specifically for women of colour. The company currently boasts 24 retail stores across Kenya, Rwanda and Uganda and employs over 360 employees, of which over 70% are women. The group, which also includes Shop Zetu, East Africa's fastest-growing online fashion marketplace www.ShopZetu.com, aims to inspire the next generation of African fashion entrepreneurs to aim high and dream big. Shop Zetu hosts over 350 international and local fashion, beauty, and accessory brands.

Speaking during the admission ceremony, Mr. Paul Mwai, NSE vice-chairman noted, "The admission of Vivo Fashion Group Limited onto the NSE Ibuka Program is a testament to the firm's commitment to exploring fundraising opportunities in the capital markets to enhance the company's growth and development".

"The Ibuka Program will enable Vivo Fashion Group to restructure its business in line with its short and long-term vision and strategic priorities, thus positioning it well to pursue debt or equity capital market transactions," he added.

Commenting on the admission, Vivo Fashion Group Managing Director Ms Wandia Gichuru noted that Vivo is keen on tapping into Kenya's capital markets for financing.

"We believe the capital markets have the ability to enable our business to access cheap and long-term capital that will be critical in financing our next phase of growth as we target to become the largest ladies' fashion brand on the continent".

Ibuka is a premium incubation and acceleration program aimed at promoting companies' development by preparing them as they pursue various equity or debt capital markets transactions in Kenya.

4 The REITS Association of Kenya (RAK) Hosted Its Flagship Conference, The 2023 RAK Annual Conference (1st November 2023).

The REITs Association of Kenya (RAK) hosted its 2023 RAK Annual Conference, aimed at building momentum and unlocking the power of REITs in East Africa. The conference, which covered topics such as legal and regulatory frameworks, market development, investment opportunities, innovations, investor education, public-private partnerships, sustainable and impact investing. The conference brought together over 200 industry experts, policymakers, investors, and real estate professionals to explore opportunities to grow REITs in East Africa.

The NSE Chairman, Mr. Kiprono Kittony, EBS making remarks to the audience at the RAK Conference 2023.

NSE 2023 HIGHLIGHTS (CONTINUED)

5 THE NSE PLC approves the admission of the Kshs. 3,000,000,000.00 islamic secured residential lease based security (LINZI SUKUK) on the unquoted securities platform

On November 7, 2023 the NSE approved the admission of the Linzi Sukuk on the NSE Unquoted Securities Platform (USP) making the product the first Shari'ah compliant product to be admitted on the platform.

The Linzi Sukuk, issued by Linzi FinCo Trust, a common law unincorporated trust, is a Kshs. three billion (Kshs. 3,000,000,000.00) Islamic secured residential based security with a maturity period of 15 years offering an internal rate of return of 11.13%. The proceeds from the issue will be used in the financing, design, construction, and commissioning of 3,069 institutional houses.

Commenting on the approval, Mr. Kiprono Kittony, Chairman, NSE noted, "*We congratulate Linzi FinCo Trust for this historic milestone of pioneering an Islamic finance product to the market. Kenya holds huge potential in Shari'ah compliant instruments that can play a significant role in bridging the vast financing needs, across various priority sectors such as infrastructure and housing in the country*".

The Unquoted Securities Platform (USP) is an automated solution for the issuance and trading of securities of unquoted companies and currently hosts the Acorn Student Accommodation Development Real Estate Investment Trust (D-REIT) and the Income Real Estate Investment Trust (I-REIT). The platform is used for value discovery, capital raising and trading experience by small and medium enterprises before graduating to the listing segments offered by the NSE. The Linzi Sukuk brings the total number of admitted securities on the USP to three.

7 His Excellency Dr. William Ruto Officiated the 26th African Securities Exchanges Association (ASEA) Annual Conference and 30th Anniversary Celebrations in Nairobi, Kenya. (23rd November 2023).

H.E President Dr. William Ruto, C.G.H witnessing the live cross-border trade between BRVM Cote d'Ivoire and Nairobi Securities Exchange.

On November 23, 2023 His Excellency Dr. William Ruto officiated the opening ceremony of the 26th African Securities Exchanges Association (ASEA) Annual Conference and its 30th Anniversary Celebrations at the Villa Rosa Kempinski Hotel in Nairobi.

The two day conference themed; "*Unlocking Africa's Stock Exchange Potential for Sustained Economic Development*" brought together the most influential stakeholders across African stock markets to develop concrete solutions to the challenges facing the sector and build a more inclusive and robust pan-African financial markets ecosystem.

The conference also sought to enhance opportunities for collaboration to accelerate the continent's sustained economic growth.

Speaking during the conference, His Excellency Dr. William Ruto noted that, "Stock exchanges play a significant role in mobilizing domestic resources and international capital critical to Africa's economic growth and development".

Making his address at the Conference, Mr. Thapelo Thseole, President, African Securities Exchanges Association noted," The 2023 ASEA Annual Conference builds on the Association's strategic initiatives aimed at repositioning the place for Stock Exchanges on the continent to offer more value for the continent's economic growth".

"The African Securities Exchanges Association remains well positioned to further discussions aimed at building robust stock markets and leveraging the opportunities that Africa's economic prospects present", he added.

Reiterating his remarks, Mr. Kiprono Kittony, Chairman NSE said " African Stock Exchanges have a critical role to play in accelerating growth. The evolution of African stock markets holds the potential to catalyse domestic savings, increase both the quantity and quality of investments, and elevate the overall functionality of domestic financial systems.

The Annual ASEA Conference is a flagship initiative that seeks to enhance knowledge mining and sharing, networking as well as building collaborations for growth.

ENTERPRISE RISK (ERM) FRAME WORK

Macros

Global economic growth in 2023 was below expectations at 3.0%, as the world continued with a recovery trajectory. The conflicts in Europe and the Middle East weighed on economic activity and central banks around the world kept strict fiscal policies in place to stem the rise in inflation. Due to reduced commodity prices, global headline inflation in 2023 was 6.9%, while core inflation decreased at a slower pace.

The Kenyan economy grew by 5.9% in the third quarter of 2023, majorly due to improved weather conditions that bolstered the agricultural sector. The Central Bank of Kenya actively battled to keep inflation down and hiked the rate by 375 basis points to 12.50% by the end of 2023 to cushion against the country's rising inflationary pressure, that would have an undesired effect on the economy. By the end of 2023, inflation had decreased from a peak of 9% at the beginning of the year to 6.9%.

In 2023, the average value of the Kenya Shilling against the US dollar was Kshs. 139.60, indicating a decline in supply and an increase in demand for US dollars.

Enterprise Risk Management

The year 2023 presented the Nairobi Securities Exchange (NSE) with both opportunities and challenges. In this dynamic landscape, our Enterprise Risk Management (ERM) framework proved instrumental in navigating uncertainties and safeguarding shareholder value. This report outlines the key pillars of our ERM framework and highlights its contributions throughout the year.

Aligning with Best Practices:

The NSE's ERM framework adheres to internationally recognized standards like ISO 31000 and COSO Enterprise Risk Management 2017. This ensures our approach is comprehensive, robust, and aligns with global best practices. Additionally, we remain compliant with all relevant laws and regulations governing the Kenyan capital markets.

Adapting to a Changing Landscape:

The NSE recognized the potential impact of several emerging risks on market stability and investor confidence throughout 2023. These risks included:

- **Global Economic Slowdown:** Concerns about a potential global slowdown due to rising inflation, tightening monetary policies, and the global tensions potentially dampened investor sentiment and potentially led to a decrease in foreign investments in the Kenyan market.
- **Rising Interest Rates:** The Central Bank of Kenya›s (CBK) interest rate hikes in 2023 to combat inflation, while beneficial for long-term economic stability, could have made stocks less attractive compared to fixed-income instruments offering higher returns in a rising interest rate environment.

ENTERPRISE RISK (ERM) FRAME WORK (CONTINUED)

Responding to the Challenges:

In response to these emerging risks, the NSE proactively adjusted its risk management strategies:

- **Investor Education and Communication:** The NSE prioritized investor education by organizing workshops and seminars to equip investors with the knowledge to navigate challenging market conditions and make informed decisions during periods of domestic economic pressure and political uncertainty.
- **Product Innovation and Diversification:** To cater to changing investor preferences in a rising interest rate environment, the NSE explored the development and introduction of new investment products offering competitive returns and risk-mitigation features like the ETF.
- **Collaboration with Regulatory Authorities:** The NSE actively collaborated with regulatory bodies to ensure a coordinated approach to mitigating risks associated with rising interest rates and potential regulatory changes.
- **Promoting Sustainable Investment Practices:** Recognizing the long-term economic and market stability implications of climate change, the NSE encouraged listed companies to adopt and disclose sustainable business practices, potentially attracting environmentally conscious investors and mitigating long-term climate-related risks.

These adjustments reflect the NSE's commitment to proactive risk management. By adapting its strategies to the evolving landscape, the NSE aimed to maintain market integrity, protect investor interests, and foster a more resilient and sustainable capital market environment for Kenya.

Key Players in Risk Management:

1. NSE Board and Risk Committee

- **Oversight and Guidance:** Provides strategic direction and guidance on the overall risk management framework, ensuring it aligns with the NSE›s long-term objectives and risk tolerance.
- **Monitoring and Evaluation:** Actively monitors the implementation of the risk management framework, evaluating its effectiveness in identifying, assessing, and mitigating risks.
- **Corrective Action:** Drives corrective actions based on reported risks, ensuring timely and appropriate response to potential threats and vulnerabilities.

2. NSE Management

- **Enterprise Risk Management (ERM) Framework Implementation:** Holds responsibility for effectively implementing the ERM framework across all organizational functions and departments.
- **Risk Integration:** Ensures that risk management principles are integrated into all business operations, fostering a culture of risk awareness throughout the organization.
- **Reporting and Communication:** Regularly reports risk information to the NSE Board and Risk Committee, facilitating informed decision-making and promoting transparency.

3. Chief Executive Officer

- **Leadership and Championing:** Champions and leads the implementation of ERM, emphasizing its importance as a cornerstone of sustainable growth and responsible business practices.
- **Process Definition and Training:** Spearheads the definition of robust risk management processes and facilitates training programs to equip all employees with the necessary skills and knowledge to identify, assess, and manage risks effectively.
- **Stakeholder Communication:** Presents risk reports and insights to relevant stakeholders, including the Board, investors, and regulators, fostering understanding and building trust in the NSE's risk management capabilities.

ENTERPRISE RISK (ERM) FRAME WORK (CONTINUED)

Beyond Compliance: A Strategic Tool:

At the NSE, risk management transcends its role as a mere reporting or compliance obligation. It is embedded within our management culture, serving as a strategic tool for informed decision-making. This approach allows us to:

- Identify and mitigate potential risks before they impact our operations, safeguarding financial performance and market stability.
- Proactively manage risks associated with new initiatives and ventures, enabling calculated growth and innovation.
- Optimize resource allocation by focusing on the most critical risks, ensuring efficient utilization of resources.

Looking Ahead: Continuous Improvement:

We remain committed to continuously refining and strengthening our ERM framework. Key areas of focus for the future include:

» Investing in ongoing training and development to equip our workforce with the necessary skills and knowledge for effective risk management.

» Leveraging technology to enhance risk identification, assessment, and monitoring processes, allowing for real-time data analysis and proactive risk mitigation.

» Maintaining open communication with all stakeholders regarding our risk management practices and approach, fostering transparency and trust.

By prioritizing proactive and strategic risk management, the NSE is well-positioned to navigate the uncertainties of today's dynamic market landscape. Through continuous improvement and adaptation, we remain confident in our ability to deliver sustainable value to our stakeholders and contribute to the growth and stability of the Kenyan capital markets.

Driving Economic Growth Through Value Creation

Introduction:

The Nairobi Securities Exchange (NSE) serves as a critical engine for economic development by facilitating the efficient flow of capital and enabling businesses to access the resources they need to grow and innovate. Our value creation process is deeply intertwined with our core mission. Let's explore how we continuously seek to enhance value for our stakeholders.

Core Areas of Value Creation:

Our ability to create long-term value for our stakeholders is dependent upon strategic investments and sound management across various key areas:

» **Finances:** Robust financial performance ensures long-term sustainability and the opportunity to reinvest in the exchange's future. In 2023, we saw enhancements such as increased profitability, growth in shareholder value and expanded revenue streams. These financial resources enable us to drive innovation, modernize our infrastructure, and increase the attractiveness of our marketplace.

» **Strategic Partnerships and Relationships:** Collaborations with entities like the Capital Markets Authority-Kenya, Kenya Association of Stockbrokers and Investment Banks (KASIB), The Central Bank of Kenya and the Kenyan Government, and other market stakeholders are crucial to our success. These collaborations foster a robust and well-functioning capital market ecosystem.

» **Innovation:** The NSE remains committed to innovative solutions that address evolving market needs. In 2023, we launched the NSE Connect, a platform that aims to that brings together enterprises in need of capital, financiers looking for investing opportunities and advisors to bridge the gap between the two. These initiatives enable greater efficiency, expand market access, and attract new investors, ultimately enhancing value creation for all stakeholders.

» **Brand and Reputation:** The strength of our brand builds trust and confidence among market participants. We are committed to maintaining a reputation for transparency, integrity, and adherence to global best practices.

» **Talent:** Our skilled and experienced workforce drives the NSE's vision forward. We continued to invest in attracting, developing, and retaining high talent to ensure optimal performance and long-term sustainability.

ENTERPRISE RISK (ERM) FRAME WORK (CONTINUED)

Our dedication to value creation is ongoing. We anticipate even greater opportunities to leverage our resources, partnerships, brand reputation, and talent to generate value for our stakeholders and contribute to Kenya's economic development in the years to come.

NSE 2020-2024 Strategy

The Nairobi Securities Exchange (NSE) continued implementation of the five-year strategic plan in 2023, focusing on four key pillars i.e. Sustainable Business Growth, Strategic Partnerships, Operational Excellence, and People. This report details the progress made in implementing these strategies during 2023.

- The exchange prioritized initiatives to enhance market liquidity and attract new listings. Although no listings were secured in 2022, 2023 saw a renewed focus on increasing the number of listed entities. This included: Collaboration with the government, resulting in a commitment to list at least three large state-owned enterprises by year-end. Focusing on private sector issuances and leveraging technology partnerships and Targeting the affordable housing sector, with four listings expected by year-end.
- Efforts to expand the investor base and enhance financial literacy included Partnering with Telcos, banks, and the Integrated Population Registration Services (IPRS) to facilitate easier market access, promoting independent research on illiquid counters and implementing findings to improve market liquidity. Public education and social media engagement campaigns.
- The NSE actively pursued partnerships to broaden its reach and foster market development Engaging in strategic alliances with other exchanges. Leveraging memberships in international organizations like the World Federation of Exchanges (WFE) and the African Stock Exchange Association (ASEA).
- The NSE maintained close collaboration with regulatory authorities like the Capital Markets Authority (CMA) and the Ministry of ICT to Advocate for policy changes that support market growth and investor protection. Enhance joint public education initiatives. Collaborate on identifying and listing technology startups.
- The NSE prioritized continuous system upgrades and security enhancements. Development and implementation of a Business Continuity Plan (BCP) and a cyber-security policy. Establishing an Innovation Committee to explore and implement new ideas for market improvement.
- The exchange aimed to strengthen market integrity and transparency through implementing a robust market oversight framework. Collaborating with the CMA to access their multi-asset surveillance system. Developing a corporate governance, social responsibility, and sustainability index for listed entities.
- The NSE invested in developing its workforce by cascading the corporate strategy to individual levels and linking individual performance to organizational goals. Implementing a performance management framework with 360-degree feedback. Conducting training needs assessments and developing targeted training programs. Fostering a culture of diversity and inclusion through policy reviews and awareness campaigns.

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ANNUAL REPORT AND FINANCIAL STATEMENTS

for the Year Ended 31 December 2023

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FINANCIAL PERFORMANCE

CORPORATE GOVERNANCE STATEMENT

Overview

Corporate governance is at the heart of the structures and processes guiding the leadership of the Group. The Group has instituted systems to ensure that high standards of corporate governance are maintained at all levels of the organization and is in compliance with the requirements of all applicable laws and regulations including but not limited to the Capital Markets Act and regulations, rules and guidelines thereunder on Corporate Governance and the Nairobi Securities Exchange (NSE) regulations, rules, policies and procedures.

The Role of the Board

The Board is collectively responsible to the Group's shareholders for the long-term success of the Group and its strategic direction, its values and governance. It provides the leadership, integrity, enterprise and good judgment necessary to meet its business objectives within the framework of its internal controls while also discharging the Group's obligations to its shareholders.

The Key Responsibilities of the Board include:

- To define and chart out the Group's vision and mission. The Board has ultimate responsibility for the attainment of the Group's vision;
- To set the strategy, approve business plans and annual budgets and any subsequent material changes in strategic direction;
- To monitor Management's implementation of the strategic plans and financial objectives as defined by the Board;
- To define levels of materiality, reserving specific powers to itself and delegating other matters with the necessary written authority to Management;
- To ensure that the Group is managed with a view to ensuring that the Group is ethical in all its dealings and has put in place sustainable business practices;
- To ensure that procedures and processes are in place to protect the Group's assets and reputation;
- To ensure compliance by the Group with all relevant laws and regulations, audit and accounting principles, and such other principles as may be established by the Board from time to time;
- To approve Terms of Reference of Board Committees and make appointments and changes in the composition of such Committees as are established from time to time;
- To identify key risks for the Group and establish mechanisms for managing or mitigating them;
- To set policies on internal controls and obtain regular assurance that the system is functioning effectively and is effective in managing risks;
- To appoint the Chief Executive Officer and senior management staff;
- To procure suitable external auditors for shareholder: and
- To exercise such other powers as are necessary to enforce the requirements of the Capital Markets Act and regulations and guidelines thereunder, the NSE's Articles of Association and the internal regulations and rules governing the Group.

Division of Responsibilities

The Chairman and the Chief Executive Officer are responsible for the sustainable operations of the Group. Their roles are separate, with each having distinct and clearly defined roles and responsibilities. The Chairman directs the Board's business and acts as it's facilitator and guide ensuring that the Board is effective in its tasks of setting and implementing the Group's direction and strategy. The Chairman is responsible for leadership of the Board, for ensuring its effectiveness on all aspects of its role and for facilitating the productive contribution of all Directors. The Chairman sets the agenda for the Board meetings in consultation with the Chief Executive Officer. The Chairman is accountable to the Board for leading the direction of the Group's corporate and financial strategy and for the overall supervision of the policies, rules and regulations governing the Group.

The Chief Executive Officer has overall responsibility for the business of the Group. The Chief Executive Officer enforces the provisions of the Capital Markets Act (the "Act") and the rules of the Group and immediately reports any violations to the Board and the Capital Markets Authority ("CMA/Authority") and ensures compliance with the requirements of the Act, and rules in operations, transactions and all affairs of the Group including listings and continuous reporting obligations of listed companies.

The Chief Executive Officer is also responsible for the supervision of the trading activities of the Group and takes all necessary steps to maintain orderly and efficient trading and functioning of facilities, in accordance with the Group's rules and as prescribed by the Act.

The Chief Executive Officer reports periodically to the Board on all matters concerning the operation and affairs of the Group, attends all meetings of the Committees and provides

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Division of Responsibilities (continued)

technical input where necessary and promotes the objectives and functions of the Group. The Chief Executive Officer also liaises with the Authority and its representatives in respect of administrative, regulatory and technical matters of the Group. The Chief Executive Officer is also responsible for the stewardship of the Group's assets and, jointly with the Chairman, for representation of the Group externally.

Board Composition

As at the date of this Annual Report, the Board of the Nairobi Securities Exchange Plc is constituted as follows:

(a) Five (5) Independent and Non-Executive Directors;

(b) Two (2) Directors appointed to represent Trading Participants;

(c) Two (2) Directors appointed to represent Listed Companies; and the

(d) One (1) Chief Executive Officer.

Below is the current composition of the Board:

Mr. Kiprono Kittony, EBS	Chairman/Independent Non-Executive Director
Mr. Paul Mwai	Vice Chairman/Trading Participant/Non-Executive Director
Mr. John Niepold	Independent Non-Executive Director
Mr. Michael Turner	Independent Non-Executive Director
Mr. Stephen Chege	Listed Companies/Non-Executive Director
Mr. Donald Wangunyu	Trading Participant/Non-Executive Director
Ms. Risper Alaro	Listed Companies/Non-Executive Director
Ms. Isis Madison	Independent Non-Executive Director
Ms. Carol Kariuki	Independent Non-Executive Director
Mr. Frank Mwiti	Chief Executive Officer

Board Committees

The Board established six (6) Board Committees with delegated authority to assist the Board effectively carry out its obligations. These Board Committees are:

a)	Finance and Strategy Committee
b)	Trading and Technology Committee
c)	Audit, Risk and Compliance Committee
d)	Self-Regulatory Organization and Listing Committee (SROLC)
e)	Remuneration, Nominating and Human Capital Committee
f)	Derivatives Market Oversight Committee

Other than the Derivatives Market Oversight Committee and Trading and Technology Committee, both which have external resource persons, all other Committees are composed of Board members only.

At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Board Committees (continued)

The Board reviews the Committee composition every year to ensure that the Committees have suitable, appropriate and relevant skills required to effectively discharge the mandate of the Committees and the Board as a whole. The review also aids in incorporating into Committees any members who may have retired from the Board and also those who may join the Board in the course of the year. The Committee membership review took place in June 2023.

The Committee Terms of Reference are also reviewed on an annual basis to ensure that they are up to date to factor in any developments in the organizations strategic direction, operations, industry practice and global best practices. The annual review in 2023 took place in June 2023.

Below is a summary of the mandates, functions, membership and activities of the various committees:

- ### *Finance and Strategy Committee*

  The mandate of the Finance and Strategy Committee is to oversee the implementation of the NSE Strategy and strategic business development initiatives of the NSE, including training and to deal with all matters relating to the prudent financial management of the Group, which includes NSE PLC subsidiaries, including reviewing and advising on the financial statements and management accounts. The Committee also evaluates and advises on potential investment opportunities and also oversees procurement at the NSE to ensure compliance with the Procurement manuals and procedures.

- ### *Trading and Technology Committee*

  The Trading and Technology Committee's mandate is to assist the Board in relation to trading and markets operations, information technology infrastructure, data service provision and dissemination of market information to capital markets stakeholders and the general public. The Committee also monitors the state of technology capabilities within NSE and identifies and manages the associated risks and opportunities that could have significant impact on the organization's operations.

- ### *Audit, Risk and Compliance Committee*

  The mandate of the Audit, Risk and Compliance Committee is to monitor, review and make recommendations to the Board on the adequacy of NSE's internal control, internal and external audit programs, risk management and compliance monitoring systems and to monitor the organization's Corporate Governance practices including compliance with relevant laws, regulations and rules in respect of the Group's business.

- ### *Self-Regulatory Organization and Listing Committee (SROLC)*

  The mandate of the Self-Regulatory Organization and Listing Committee is to enforce the NSE Market Participants Business Conduct and Enforcement Rules, 2014, the Listing Rules, Continuous Listing Obligations Regulations, the Derivatives Rules, the NSE Trading Rules and any other Regulations or Rules of the NSE as are in force, as may be necessary for the maintenance of a fair and orderly market and to ensure compliance with any other capital market legislation and the enforcement powers of which have been delegated to the SROLC function of the NSE.

- ### *Remuneration, Nominating and Human Capital Committee*

  The Remuneration, Nominating and Human Capital Committee advises and assists the Board in effective discharge of its responsibilities in relation to the composition of the Board and its remuneration, and to establish a plan of continuity for the Chief Executive Officer as appropriate. The Committee also advises, implements and assists the Board in effective discharge of its responsibilities in relation to Human Capital Management.

- ### *Derivatives Market Oversight Committee*

  The Derivatives Market Oversight Committee advises the Board on the oversight of, and strategic issues relating to the NSE's Derivatives Market and the Derivatives Clearing House including addressing conflict of interest matters regarding futures brokers, issues arising in the design of derivatives contracts and undertaking trading and surveillance functions.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

BOARD & BOARD COMMITTEES' MEMBERSHIP AND NUMBER OF MEETINGS HELD AND ATTENDED IN 2023

Director	Classification	Designation		Board	Finance & Strategy Committee	Trading and Technology Committee	Audit, Risk & Compliance Committee	Self-Regulatory Organization and Listing Committee	Remuneration, Nominating & Human Capital Committee	Derivatives Market Oversight Committee
K Kittony, EBS	Non-executive	Chairman - Board	Membership	✓						
			Attendance	6/6						
P Mwai	Non-executive	Vice Chairman - Board	Membership	✓	✓	✓				✓
			Attendance	6/6	5/5	4/4				4/4
J Niepold	Non-executive	Chairman - Audit, Risk & Compliance Committee	Membership	✓	✓		✓	✓		
			Attendance	6/6	5/5		4/4	4/4		
M Turner	Non-executive	Chairman - Finance & Strategy Committee	Membership	✓	✓		✓	✓		
			Attendance	6/6	5/5		4/4	4/4		
D Wangunyu	Non-executive	Chairman – Trading and Technology Committee	Membership	✓		✓			✓	✓
			Attendance	6/6		4/4			6/6	4/4
S Chege	Non-executive		Membership	✓	✓	✓			✓	
			Attendance	6/6	4/5	4/4			5/6	
C Kariuki	Non-executive	Chairperson - Remuneration Nominating & Human Capital Committee	Membership	✓	✓			✓	✓	
			Attendance	5/6	4/5			3/4	6/6	
R Alaro	Non-executive		Membership	✓			✓		✓	
			Attendance	4/6			3/4		5/6	
I Madison	Non-executive	Chairperson – Self-Regulatory Organization & Listing Committee	Membership	✓			✓	✓	✓	
			Attendance	6/6			3/4	4/4	6/6	
G Odundo*		Chief Executive Officer	Membership							
			Attendance	6/6	5/5	4/4	4/4	4/4	5/6	4/4

*Retired as a Director of the Company upon the expiry of his contract as Chief Executive Officer of the company on 1st March 2024.
The Chief Executive Officer does not form the quorum for Board Committee meetings and attends by invitation.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

BOARD COMMITTEES' MEMBERSHIP AND NUMBER OF MEETINGS HELD AND ATTENDED IN 2023

BOARD COMMITTEES WITH EXTERNAL RESOURCE PERSONS

1) ***Derivatives Market Oversight Committee***

Name	**Nature of Participation**	**Attendance**
J Swai	Chairperson	4/4
E Kigen	Member	3/4
A Mulisa	Member	3/4

2) ***Trading and Technology Committee***

Name	Nature of participation	Attendance
J Waiguru	Member	4/4
E Kihanda	Member	3/4

NAIROBI SECURITIES EXCHANGE CORPORATE GOVERNANCE FACT SHEET

Number of Board Members	9
Number of Independent Non-Executive Directors	5
Number of Non-Executive Directors representing Trading Participants	2
Number of Non-Executive Directors representing Listed Companies	2
Number of Executive Directors	1
Number of women on the Board	3
Separate Chairman and CEO	YES
Terms of Reference for Board Committees	YES
Independent Audit Committee	YES
Number of financial experts on Audit Committee	3
Number of Board Meetings held in 2023	6
Number of Annual General Meetings in 2023	1
Re-election of Directors in accordance with Articles of Association	YES
Board Induction Programs conducted	YES

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

CAPITAL STRUCTURE

(a) ***Share capital***

The authorized and issued share capital of Nairobi Securities Exchange PLC consists of only ordinary shares as disclosed in note 25 to the financial statements.

(b) ***Top 20 Shareholders at 31 December 2023***

No Shareholder	Number of shares	%
1. Standard Chartered Kenya Nominees Ltd A/C KE004468	41,764,400	16.04%
2. Standard Chartered Kenya Nominees Ltd A/C KE22446	20,329,830	7.81%
3. Standard Chartered Kenya Nominees Ltd A/C KE003414	14,356,494	5.51%
4. Stanbic Nominees Ltd A/C NR1030823	12,997,399	4.99%
5. Stanbic Nominees Ltd AC NR1031436	12,071,233	4.63%
6. The Investor Compensation Fund Board	8,750,000	3.36%
7. The Permanent Secretary to The Treasury	8,750,000	3.36%
8. Standard Chartered Kenya Nominees Ltd A/C KE22816	7,247,499	2.78%
9. Sterling Capital Limited	7,000,000	2.69%
10. Nyaga Stock Brokers Ltd	7,000,000	2.69%
11. Discount Securities Limited	7,000,000	2.69%
12. ABC Capital Limited	7,000,000	2.69%
13. Kingdom Securities Limited	7,000,000	2.69%
14. Renaissance Capital (Kenya) Limited	7,000,000	2.69%
15. Stanbic Nominees Ltd A/C NR1031142	6,879,090	2.64%
16. Standard Chartered Kenya Nominees Limited A/C 063123501897	6,786,143	2.61%
17. Dyer & Blair Investment Bank Limited	4,300,000	1.65%
18. Africa Allied investors Ltd	4,236,300	1.63%
19. Stanbic Nominees Limited A/C - C.4536-NR1031453	4,179,000	1.60%
20. NCBA Investment Bank Limited	3,500,000	1.34%
Top 20 shareholders	198,147,388	76.09%
Others	62,305,013	23.91%
Total issued shares	260,452,401	100%

(c) ***Distribution of Shareholders at 31 December 2023***

	Number of Shareholders	Number of shares	%
Less than 500	3,397	578,167	0.22%
501 – 5,000	9,005	12,063,461	4.63%
5,001 – 10,000	626	4,547,598	1.75%
10,001 – 100,000	668	17,312,263	6.65%
100,001 – 1,000,000	53	14,139,991	5.43%
Above 1,000,000	29	211,810,921	81.32%
Total	13,778	260,452,401	100%

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

CAPITAL STRUCTURE (CONTINUED)

(d) ***Shareholder Analysis by Domicile at 31 December 2023***

	Number of Shareholders	Number of shares	%
Individual investors			
Local	12,961	37,748,649	14.49%
East African	86	275,971	0.11%
Foreign	117	4,521,754	1.74%
	13,164	42,546,374	16.34%
Institutional investors			
Local	594	86,660,803	33.27%
East African	4	3,735	0.00%
Foreign	16	131,241,489	50.39%
	614	217,906,027	83.66%
Total	13,778	260,452,401	100.00%

(e) ***Directors Holding Shares at 31 December 2023***

	Number of shares	%
Mr. Geoffrey Odundo	174,082	0.00%
Mr. Stephen Chege	15,467	0.00%
Total	189,549	0.00%

DIRECTORS' REMUNERATION REPORT

INFORMATION NOT SUBJECT TO AUDIT

Statement of Group's policy on directors' remuneration

(a) **Nairobi Securities Exchange PLC**

The Board establishes and approves formal and transparent remuneration policies to attract and retain both executive and non-executive Board members. These policies clearly state remuneration elements such as Directors' fees and attendance allowances that are competitive and in line with the industry. Non-Executive Directors are paid a sitting allowance for every meeting attended. They are not eligible for provident fund membership. The Company does not grant any personal loans, guarantees, share options or long-term incentives to its non-executive Directors. The company has taken out insurance covers for the non-executive Directors covering Directors and Officers liability insurance cover and group personal accident covering death, permanent total disability and medical expenses.

The Chief Executive Officer is the only executive director on the Board and the company has in place a remuneration policy which is aimed at ensuring compensation is competitive and aligned to the company's strategic objectives. The Executive Director's remuneration and benefits consists of: -

» A monthly salary determined on appointment.

» An annual bonus based on the performance of the company, individual performance and general inflation considerations.

» Contributory staff provident scheme

» Non-cash benefits relating to a company-maintained vehicle and insurance cover.

There were no substantial changes to the Director's remuneration policy during the year 2023.

(b) **NSE Clear Limited**

A managing director or other executive officer shall receive such remuneration (whether by way of salary, commission or participation in profits, or partly in one way and partly in another) as the directors may determine.

There were no substantial changes to the Director's remuneration policy during the year 2023.

(c) **The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)**

In accordance with the Trust Deed of the Funds, the Board of Directors of NSE Clear Limited appoints the trustees of the Fund subject to approval by the CMA. The number of trustees is set at a minimum of Three (3). Any person, whether or not domiciled, resident or carrying on business or in the case of a body corporate carrying on business in Kenya may be appointed and hold office as a trustee.

There were no substantial changes to the trustees' remuneration policy during the year 2023.

Contract of service

(a) **Nairobi Securities Exchange PLC**

In accordance with Article 93 of the Articles of Association of the Company, unless and until otherwise from time to time determined by an ordinary resolution of the Company, but always subject to the provisions of the Kenyan Companies Act (the Act) and the Capital Markets Act (CMA) regulations, the number of Directors (including the Chief Executive Officer and excluding alternates) shall not be less than Seven (7) and not more than Eleven (11) in number and shall be elected in accordance with the Act, the Capital Markets Act and the Company's Articles of Association.

Two Directors are elected by the members from among or to represent the trading participants and a further two Directors are elected by the members from among nominees of companies listed on the Nairobi Securities Exchange to represent the said listed companies. Any other directors are elected by the members in accordance with the Companies Act provided that at all times at least one third of the Directors must be non-executive Directors.

If at any time the number of Directors falls below the minimum number fixed by or in accordance with the Company's Articles of Association, the remaining Directors may act for the purpose of convening a general meeting or for the purpose of bringing the number of Directors to such minimum, and for no other purpose.

The Non-Executive Directors are not under contract but are subject to retirement by rotation at the Annual General Meeting (AGM). CMA regulations provide for fixed terms of office for the company's Chairman and Chief Executive Officer, which shall include a maximum

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION NOT SUBJECT TO AUDIT (CONTINUED)

Contract of service (Continued)

(a) **Nairobi Securities Exchange PLC (Continued)**

term of office of two consecutive years for the Chairman and four years renewable once for the Chief Executive Officer. The Chairman's term of office was extended for two years with effect from 13 July 2023.

The Chief Executive Officer's contract within the period under review is for the second term for a Four (4) year's period running from 1 March 2021. Under the terms of the contract, either party may, not less than six months to the expiry of this contract, notify the other of their intention not to extend the contract, otherwise the contract shall be automatically renewed for a further final period of four years. Either Party may also terminate the Agreement without assigning any reasons, at any time, by giving to the other not less than six months' notice in writing, or six months' salary in lieu of notice, at the end of which the Agreement shall determine. The Chief Executive Officer's contract was renewed for one more year from 2 March 2023.

(b) **NSE Clear Limited**

In accordance with the Company's Articles of Association (the Articles), the directors have power at any time, and from time to time, to appoint any person to be a director, either to fill a casual vacancy, or as an addition to the existing directors, but so that the total number of directors shall not at any time exceed the number fixed in accordance with the Articles. Any director so appointed shall hold office until he is removed or his office is vacated, in each case in accordance with these Articles.

The Directors may from time to time appoint one or more of their body to the office of Managing Director, or to any other executive office under the Company, for such period and on such terms as they think fit, and, subject to the terms of any agreement entered into in any particular case, may revoke such appointment. The appointment of such Managing Director or other executive officer shall be automatically determined if he ceases from any cause to be a director.

Other than the Managing Director, the Directors are subject to retirement by rotation at every Annual General Meeting (AGM).

(c) **The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)**

The Trustees are not under contract. The office of a trustee becomes vacant if: the trustee resigns with a one month's notice; becomes mentally or physically incapacitated; or by removal by the Board of NSE Clear Limited by a resolution. A trustee can also retire at any time by giving three (3) months written notice to the Board. In the event of the number of trustees falling below three, the Board shall, subject to the approval of the CMA, appoint such additional trustees as shall be necessary to make their number up to three, save where there is appointed a sole corporate trustee.

Statement of voting on the Directors' remuneration report at the Previous Annual General Meeting

(a) **Nairobi Securities Exchange PLC**

During the Annual General Meeting held on 30th May 2023, the shareholders approved the fees paid to the Directors fees for the year ended 31st December 2022 by show of hands.

At the Annual General Meeting to be held on 29th May 2024, approval will be sought from shareholders for the fees paid to the Directors for the financial year ended 31st December 2023.

(b) **NSE Clear Limited**

During the Annual General Meeting held on 10th May 2023, the shareholders approved the fees paid to the Directors for the year ended 31st December 2022 by show of hands.

At the Annual General Meeting to be held on 8th May 2024, approval will be sought from shareholders for the fees paid to the Directors for the financial year ended 31st December 2023.

(c) **The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)**

The Funds do not hold annual general meetings. The fees for the Trustees are approved by the NSE Clear Limited Board.

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION SUBJECT TO AUDIT

The following table shows a single figure remuneration for the Chairman, Non-Executive Directors and Executive Director in respect of qualifying services for the year ended 31st December 2023 together with the comparative figures for 2022.

Year ended 31 December 2023

Name	Category	Fees	Sitting allowances	Gross pay + other allowances	Provident scheme contribution	Total
		Kshs	Kshs	Kshs	Kshs	Kshs
Kiprono Kittony, EBS	Non-Executive	1,200,000	565,714	-	-	1,765,714
Paul Mwai	Non-Executive	960,000	1,028,571	-	-	1,988,571
Isis Nyongo	Non-Executive	720,000	1,085,714	-	-	1,805,714
Michael Turner	Non-Executive	720,000	1,100,000	-	-	1,820,000
Risper Alaro*	Non-Executive	720,000	914,286	-	-	1,634,286
Donald Wangunyu	Non-Executive	720,000	1,128,571	-	-	1,848,571
Stephen Chege	Non-Executive	720,000	1,028,571	-	-	1,748,571
John Niepold	Non-Executive	720,000	1,085,715	-	-	1,805,715
Carole Kariuki	Non-Executive	720,000	1,035,715	-	-	1,755,715
Geoffrey Odundo	Executive	-	-	28,943,300	2,805,649	31,748,949
		7,200,000	**8,972,857**	**28,943,300**	**2,805,649**	**47,921,806**

*Included in the Director's fees for the year ended 31 December 2023 is amounts relating to fees earned for services rendered in other NSE Group Companies as tabulated below:

	Sitting Allowances			
	NSE Clear	IPF	SGF	Total
	Kshs	Kshs	Kshs	Kshs
Risper Alaro	85,714	85,714	85,714	257,143
	85,714	**85,714**	**85,714**	**257,143**

Geoffrey O. Odundo was provided with a company car during the year (non-cash benefit).

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION SUBJECT TO AUDIT (CONTINUED)

Year ended 31 December 2022

Name	Category	Fees	Sitting allowances	Gross pay + other allowances	Provident scheme contribution	Total
		Kshs	Kshs	Kshs	Kshs	Kshs
Kiprono Kittony	Non-Executive	1,200,000	660,000	-	-	1,860,000
Paul Mwai*	Non-Executive	960,000	1,450,000	-	-	2,410,000
Isis Nyongo	Non-Executive	720,000	1,335,714	-	-	2,055,714
Michael Turner	Non-Executive	720,000	1,085,714	-	-	1,805,714
Risper Alaro	Non-Executive	720,000	1,128,571	-	-	1,848,571
Paul Vollant	Non-Executive	360,000	571,429	-	-	931,429
Donald Wangunyu	Non-Executive	720,000	957,143	-	-	1,677,143
Stephen Chege	Non-Executive	720,000	821,429	-	-	1,541,429
John Niepold	Non-Executive	360,000	521,429	-	-	881,429
Carole Kariuki	Non-Executive	360,000	442,857	-	-	802,857
Geoffrey Odundo	Executive	-	-	28,913,130	2,561,435	31,474,565
		6,840,000	**8,974,286**	**28,913,130**	**2,561,435**	**47,288,851**

*Included in the Director's fees for the year ended 31 December 2022 is amounts relating to fees earned for services rendered in other NSE Group Companies as tabulated below:

	Sitting Allowances			
	NSE Clear	IPF	SGF	Total
	Kshs	Kshs	Kshs	Kshs
Paul Mwai	85,714	85,714	85,714	257,143
	85,714	85,714	85,714	257,143

Geoffrey O. Odundo was provided with a company car during the year (non-cash benefit).

Mr. Kuria Waithaka
Company Secretary

28th March 2024

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Company and Group as at the end of the financial year and of its profit or loss for that year. The directors are responsible for ensuring that the Company and Group keep proper accounting records that are sufficient to show and explain the transactions of the Company and Group; disclose with reasonable accuracy at any time the financial position of the Company and Group; and that enables them to prepare financial statements of the Company and Group that comply with International Financial Reporting Standards (IFRS) and the requirements of the Kenyan Companies Act, 2015. They are also responsible for safeguarding the assets of the Company and Group and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

(i) Designing, implementing and maintaining internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;

(ii) Selecting suitable accounting policies and then apply them consistently; and

(iii) Making judgments and accounting estimates that are reasonable in the circumstances.

Having made an assessment of the Company's and Group's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Company's and Group's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

Approved by the Board of Directors on 28th March 2024 and signed on its behalf by:

Mr. Kiprono Kittony, EBS

Chairman

Mr. John Niepold

Director

Deloitte.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF THE NAIROBI SECURITIES EXCHANGE PLC

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Nairobi Securities Exchange PLC (the Group and Company) set out on pages 74 to 139, which comprise the consolidated and separate statements of financial position as at 31 December 2023, and the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of the Nairobi Securities Exchange Plc as at 31 December 2023 and of its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and company financial statements section of our report.

We are independent of the Group and the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated and company financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. We have determined that there are no key audit matters to report.

Other information

The directors are responsible for the other information. The other information comprises the corporate information, Directors' report, corporate governance statement, statement of Directors' responsibilities and Directors' remuneration report which we obtained prior to the date of this auditor's report and the rest of the other information in the Annual Report, which are expected to be made available to us after that date but does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the consolidated and company financial statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and the Company's ability to continue as a going

Report on the audit of the consolidated and separate financial statements (Continued)

Responsibilities of the Directors for the consolidated and company financial statements (Continued)

concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for overseeing the Group's financial reporting process.

Auditors' responsibilities for the audit of the consolidated and company financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

» Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

» Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's or Company's internal control.

» Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

» Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group or Company to cease to continue as a going concern.

» Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

» Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Group's financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF THE NAIROBI SECURITIES EXCHANGE PLC (CONTINUED)

Report on other matters prescribed by the Kenyan Companies Act, 2015

Report of the Directors

In our opinion, the information given in the directors' report on page 38 to 39 is consistent with the financial statements.

Directors' remuneration report

In our opinion, the auditable part of the directors' remuneration report on pages 68 to 69 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Freda Mitambo,** Practising certificate **No. 2174.**

Freda Mitambo

For and on behalf of Deloitte & Touche LLP
Certified Public Accountants (Kenya)
Nairobi
28th March 2024

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2023

	Notes	Group 2023	Group 2022	Company 2023	Company 2022
		Sh'000	Sh'000	Sh'000	Sh'000
Transaction levy - equity	6	211,094	225,838	211,094	225,838
Transaction levy - bond	6	64,395	79,380	64,395	79,380
Data vending income	6	116,569	93,548	116,569	93,548
Annual, initial and additional listing fees	6	69,838	71,175	68,338	71,175
Interest income computed on effective interest rate	9	120,950	104,376	101,562	90,300
Broker back-office subscription	6	27,944	29,656	27,944	29,656
Unquoted securities platform fees	6	2,439	6,463	-	-
Dividend from equity investment		8,013	6,047	8,013	6,047
Market access fees	6	-	694	-	694
Other income	10	41,079	25,587	66,686	32,470
Share of surplus - NSE LLP	17	-	-	1,716	7,154
Total income		662,321	642,764	666,317	636,262
Staff costs	8(a)	176,452	177,359	176,452	177,359
System maintenance costs		61,847	56,001	61,847	56,001
Depreciation and amortization	12,14	37,720	48,512	37,513	48,511
Building and office costs		41,914	43,193	38,615	41,473
Directors' emoluments	33(a)	47,922	47,289	47,665	47,032
Revaluation loss on property		27,500	17,222	27,500	17,222
Other expenses	8(b)	202,683	161,413	195,664	153,447
Total expenses		596,038	550,989	585,256	541,045
Profit before ECL and fair value movements		66,283	91,775	81,061	95,217
Provision for expected credit losses (ECL)	36(b)(iii)	5,145	(62)	4,334	(929)
Unrealised loss on bond mark to market valuation		(9,673)	(7,370)	(9,673)	(7,370)
Share of loss of associate	15(b)	(19,429)	(46,544)	(10,794)	(25,806)
Profit before income tax	7	42,326	37,799	64,928	61,112
Tax expense	11(a)	(23,922)	(24,075)	(20,482)	(21,791)
Profit after tax for the year		**18,404**	**13,724**	**44,446**	**39,321**

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

		Group		Company	
	Notes	2023	2022	2023	2022
		Sh'000	Sh'000	Sh'000	Sh'000
Profit after tax for the year		**18,404**	**13,724**	**44,446**	**39,321**
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Fair value gain on equity instruments at fair value through other comprehensive income	18	26,292	31,496	26,292	31,496
Fair value adjustment from associate on investment in Government securities	15(b)	(2,695)	(1,933)	(1,497)	(1,074)
Total items that will not be reclassified to profit or loss		23,597	29,563	24,795	30,422
Total comprehensive income for the year		42,001	43,287	69,241	69,743
Profit for the year attributable to:					
Ordinary equity holders of the parent	32	18,403	13,876	44,446	39,321
Non-controlling interest	16(d)	1	(152)	-	-
		18,404	13,724	44,446	39,321
Total comprehensive income for the year attributable to:					
Ordinary equity holders of the parent		42,000	43,439	69,241	69,743
Non-controlling interest	16(d)	1	(152)	-	-
		42,001	43,287	69,241	69,743
		Sh	**Sh**	**Sh**	**Sh**
Earnings per share - Basic and diluted	32	0.07	0.05	0.17	0.15

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2023

	Notes	2023	2022
		Sh'000	Sh'000
ASSETS			
Non-current assets			
Property and equipment	12	116,176	141,837
Investment property	13	288,481	305,791
Intangible assets	14	108,048	108,360
Investment in associate	15 (b)	166,151	188,275
Financial assets at fair value through other comprehensive income – Quoted equity instruments	18	133,121	106,829
Long-term restricted investments	19	143,382	145,314
Government securities at amortised cost	20 (a)	201,973	202,615
Deferred income tax	21	10,247	10,438
		1,167,579	1,209,459
Current assets			
Trade and other receivables	22 (a)	113,770	91,489
Financial assets at fair value through profit or loss - Government securities	20 (b)	241,324	256,375
Tax recoverable	11 (c)	98,309	94,135
Fixed deposits	23	-	6,964
Short-term restricted cash and investment	23	317,171	296,470
Cash and cash equivalents	23	89,911	78,797
		860,485	824,230
TOTAL ASSETS		2,028,064	2,033,689

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2023 (CONTINUED)

	Notes	2023	2022
		Sh'000	Sh'000
EQUITY AND LIABILITIES			
Equity			
Share capital	25	1,041,810	1,041,567
Share premium	26	279,489	279,459
Revaluation reserve		60,221	33,929
Other reserves		(4,628)	(1,933)
Retained earnings		492,979	526,654
Equity attributable to the owners of the parent		1,869,871	1,879,676
Non-controlling interest	16(d)	6,860	17,366
Total equity		1,876,731	1,897,042
Non-current liabilities			
Settlement Guarantee Fund members contributions	28	11,750	11,750
Tenant deposits	29(a)	2,215	2,215
		13,965	13,965
Current liabilities			
Trade and other payables	29(b)	74,947	63,573
Dividends payable	30	60,221	57,109
Trading members' contributions		2,200	2,000
		137,368	122,682
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		2,028,064	2,033,689

The financial statements on pages 74 to 139 were approved and authorised for issue by the Board of Directors on 28th March 2024 and were signed on its behalf by:

Mr. Kiprono Kittony, EBS

Chairman

Mr. John Niepold

Director

COMPANY STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2023

	Notes	2023	2022
		Sh'000	Sh'000
ASSETS			
Non-current assets			
Property and equipment	12	115,393	141,836
Investment property	13	288,481	305,791
Intangible assets	14	108,048	108,360
Investment in associate	15 (b)	73,448	85,739
Investment in subsidiaries and structured entities	16	248,899	241,899
Investment in NSE LLP	17	7,442	5,842
Financial assets at fair value through other comprehensive income – Quoted equity instrument	18	133,121	106,829
Government securities at amortised cost	20 (a)	201,973	202,615
Deferred income tax	21	10,246	10,433
		1,187,051	1,209,344
Current assets			
Trade and other receivables	22 (a)	113,012	89,931
Due from related party	33 (f)(i)	30,267	12,913
Financial assets at fair value through profit or loss - Government securities	20 (b)	241,324	256,375
Tax recoverable	11 (c)	90,753	87,888
Short-term restricted cash and investments	23	317,171	296,470
Cash and cash equivalents	23	59,759	57,091
		852,286	800,668
TOTAL ASSETS		2,039,337	2,010,012

COMPANY STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2023 (CONTINUED)

	Notes	2023	2022
		Sh'000	**Sh'000**
EQUITY AND LIABILITIES			
Equity			
Share capital	25	1,041,810	1,041,567
Share premium	26	279,489	279,459
Revaluation reserve		60,221	33,929
Other reserves		(2,571)	(1,074)
Retained earnings		533,153	540,785
Shareholders' funds		1,912,102	1,894,666
Non-current liabilities			
Tenant deposits	29 (a)	2,215	2,215
Current liabilities			
Trade and other payables	29 (b)	65,617	55,947
Dividends payable	30	59,237	57,109
Due to NSE LLP	33 (f)(i)	166	75
		125,020	113,131
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		2,039,337	2,010,012

The financial statements on pages 74 to 139 were approved and authorised for issue by the Board of Directors on 28th March 2024 and were signed on its behalf by:

Mr. Kiprono Kittony, EBS

Chairman

Mr. John Niepold

Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

	Share capital	Share premium	Other reserves	Revaluation reserves	Retained earnings	Due to owners of the parent	Non-controlling	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
Year ended 31 December 2022								
At start of year	1,040,017	278,579	536	2,433	746,246	2,067,811	17,518	2,085,329
Profit for the year	-	-	-	-	13,876	13,876	(152)	13,724
Other comprehensive income for the year	-	-	(2,469)	31,496	536	29,563	-	29,563
Total comprehensive income for the year	-	-	(2,469)	31,496	14,412	43,439	(152)	43,287
2021 dividend declared in the year	-	-	-	-	(130,002)	(130,002)	-	(130,002)
2022 first special dividend declared in the year	-	-	-	-	(104,002)	(104,002)	-	(104,002)
Issue of shares to employees share ownership plan (note 27)	1,550	880	-	-	-	2,430	-	2,430
At end of year	1,041,567	279,459	(1,933)	33,929	526,654	1,879,676	17,366	1,897,042
Year ended 31 December 2023								
At start of year	1,041,567	279,459	(1,933)	33,929	526,654	1,879,676	17,366	1,897,042
Profit for the year	-	-	-	-	18,403	18,403	1	18,404
Other comprehensive income for the year	-	-	(2,695)	26,292	-	23,597	-	23,597
Total comprehensive income for the year	-	-	(2,695)	26,292	18,403	42,000	1	42,001
2022 dividend declared in the year	-	-	-	-	(52,078)	(52,078)	-	(52,078)
Reduction in NCI on increase in shareholding in AKS Nominees Limited (note 16(d))	-	-	-	-	-	-	(9,523)	(9,523)
Issue of shares to employees share ownership plan (note 27)	243	30	-	-	-	273	-	273
2023 dividend declared by AKS Nominees Limited	-	-	-	-	-	-	(984)	(984)
At end of year	1,041,810	279,489	(4,628)	60,221	492,979	1,869,871	6,860	1,876,731

The revaluation reserve relates to the valuation of equity instruments through other comprehensive income.
Other reserves relate to the Company's share of the fair value adjustments of the associate through other comprehensive income.

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

	Share capital	Share premium	Other reserves	Revaluation reserves	Retained earnings	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
Year ended 31 December 2022						
At start of year	1,040,017	278,579	3	2,433	735,465	2,056,497
Profit for the year	-	-	-	-	39,321	39,321
Other comprehensive income for the year	-	-	(1,077)	31,496	3	30,422
Total comprehensive income for the year	-	-	(1,077)	31,496	39,324	69,743
2021 dividend declared in the year	-	-	-	-	(130,002)	(130,002)
2022 first special dividend declared in the year	-	-	-	-	(104,002)	(104,002)
Issue of shares to employee share ownership plan (note 27)	1,550	880	-	-	-	2,430
At end of year	1,041,567	279,459	(1,074)	33,929	540,785	1,894,666
Year ended 31 December 2023						
At start of year	1,041,567	279,459	(1,074)	33,929	540,785	1,894,666
Profit for the year	-	-	-	-	44,446	44,446
Other comprehensive income for the year	-	-	(1,497)	26,292	-	24,795
Total comprehensive income for the year	-	-	(1,497)	26,292	44,446	69,241
2022 dividend declared in the year	-	-	-	-	(52,078)	(52,078)
Issue of shares to employee share ownership plan (note 27)	243	30	-	-	-	273
At end of year	1,041,810	279,489	(2,571)	60,221	533,153	1,912,102

The revaluation reserve relates to the valuation of equity instruments through other comprehensive income.
Other reserves relate to the Company's share of the fair value adjustments of the associate through other comprehensive income.

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2023

	Notes	Group 2023	Group 2022	Company 2023	Company 2022
		Sh'000	Sh'000	Sh'000	Sh'000
Cash flows from operating activities					
Profit before income tax		42,326	37,799	64,928	61,112
Adjustments for non-cash items	31	(38,504)	12,112	(29,672)	(557)
Working capital changes	31	(17,369)	13,482	(34,774)	13,575
Cash (used in)/generated from operations	31	(13,547)	63,393	482	74,130
Tax paid	11(c)	(27,905)	(97,362)	(23,044)	(94,583)
Net cash used in operating activities		(41,452)	(33,969)	(22,562)	(20,453)
Cash flows from investing activities					
Purchase of property and equipment	12	(2,076)	(7,564)	(1,087)	(7,564)
Purchase of intangible assets	14	(19,861)	(5,201)	(19,861)	(5,201)
Interest received		112,003	104,376	90,705	90,300
Proceeds on disposal of equipment		6	1,098	6	1,098
Investment in treasury bonds		21,166	(93,392)	21,166	(93,392)
Investment in fixed deposits		51,689	(86,791)	44,722	(95,660)
Investment in long term restricted investments		(439)	1,160	-	-
Investment in AKS Nominees Limited		(7,000)	-	(7,000)	-
Cash generated from/(used in) investing activities		155,488	(86,314)	128,651	(110,419)
Cash flows from financing activities					
Dividends paid	30	(49,950)	(243,965)	(49,950)	(243,339)
Cash used in financing activities		(49,950)	(243,965)	(49,950)	(243,339)
Increase/(decrease) in cash and cash equivalents		64,086	(364,248)	56,139	(374,211)
Cash and cash equivalents at the start of year		250,234	613,095	228,688	601,512
Effect of foreign exchange rate changes		4,486	1,387	4,486	1,387
Cash and cash equivalents at the end of year	23	318,806	250,234	289,313	228,688

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023

1 REPORTING ENTITY

The Nairobi Securities Exchange Plc (NSE/the "Company"/the "Exchange"), formerly known as the Nairobi Securities Exchange Limited, was incorporated in Kenya under the Companies Act and is domiciled in Kenya. The NSE is licensed as an exchange by the Capital Markets Authority (CMA) of Kenya and obtained a license on 19 October 2015 to operate a derivatives exchange. The NSE currently has the primary market services as a main line of business. The consolidated financial statements of the Group at and for the year ended 31 December 2023 comprise the Company and subsidiaries and controlled structured entities (collectively referred to as the "Group") and reflect the Company's interest in an associate company.

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION

The material accounting policies applied in the preparation of these consolidated and separate financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a. Statement of compliance

The consolidated and separate financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS). The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The consolidated and separate financial statements are presented in Kenya Shillings (Sh), rounded to the nearest thousand.

The preparation of the consolidated and separate financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the Directors to exercise judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the consolidated and separate financial statements, are disclosed in Note 4.

b. Basis of preparation

The financial statements comprise a profit and loss account (statement of profit or loss and other comprehensive income), balance sheet (statement of financial position), statement of changes in equity, statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income (OCI), are recognised in the profit or loss. Other comprehensive income is recognised in other comprehensive income and comprises items of income and expense (including reclassification adjustments) that are not recognised in the profit or loss as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to the profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity

i. Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

Under the historical cost basis, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or, in some cases, at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible.

If the fair value of an asset or a liability is not directly observable, it is estimated by the Group using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)

b. Basis of preparation (Continued)

i. Basis of measurement (Continued)

or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset/liability that market participants would take into account.

ii. Use of estimates and judgment

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise their judgment in the process of applying the Group's and Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

c. Adoption of new and revised International Financial Reporting Standards (IFRS)

(i) Relevant new standards and amendments to published standards effective for the year ended 31 December 2023

Several new and revised standards and interpretations became effective during the year. The Directors have evaluated the impact of the new standards and interpretations and none of them had a material impact on the Group's financial statements.

The following revised IFRSs were effective in the current year and the nature and the impact of the relevant amendments are described below:

Amendments to IAS 1 Presentation of Financial Statements and IFRS Practice Statement 2 Making Materiality Judgements - Disclosure of Accounting Policies

The amendments change the requirements in IAS 1 with regard to disclosure of accounting policies. The amendments replace all instances of the term 'significant accounting policies' with 'material accounting policy information'. Accounting policy information is material if, when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements.

The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Accounting policy information may be material because of the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is itself material.

Amendments to IAS 12 - Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The amendments introduce a further exception from the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal taxable and deductible temporary differences.

Depending on the applicable tax law, equal taxable and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination and affects neither accounting nor taxable profit. For example, this may arise upon recognition of a lease liability and the corresponding right-of-use asset applying IFRS 16 at the commencement date of a lease.

Following the amendments to IAS 12, an entity is required to recognise the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability criteria in IAS 12.

The amendments apply to transactions that occur on or after the beginning of the earliest comparative period presented. In addition, at the beginning of the earliest comparative period an entity recognises:

» A deferred tax asset (to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilised) and a deferred tax liability for all deductible and taxable temporary differences associated with:

  – Right-of-use assets and lease liabilities

  – Decommissioning, restoration and similar liabilities and the corresponding amounts recognised as part of the cost of the related asset

» The cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at that date.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)

c. Adoption of new and revised International Financial Reporting Standards (IFRS) (Continued)

(i) Relevant new standards and amendments to published standards effective for the year ended 31 December 2023 (Continued)

Amendments to IAS 8 - Definition of Accounting Estimates

The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty".

The definition of a change in accounting estimates was deleted. However, the Board retained the concept of changes in accounting estimates in the Standard with the following clarifications:

» A change in accounting estimate that results from new information or new developments is not the correction of an error.

» The effects of a change in an input or a measurement technique used to develop an accounting estimate are changes in accounting estimates if they do not result from the correction of prior period errors.

(ii) Impact of new and amended standards and interpretations in issue but not yet effective

At the date of authorization of these financial statements, the Group has not yet applied the following new and revised IFRS Standards that have been issued but are not yet effective. The Directors do not expect any material impact on the Group's financial statements.

New and Amendments to standards	*Effective for annual periods beginning on or after*
Amendments to IFRS 10 and IAS 28 – Sale or contribution of assets between Investor and its Associate or Joint Venture	Yet to be set, with earlier application permitted
Amendment to IFRS 16 - Lease Liability in a Sale and Leaseback	Annual periods beginning on or after 1 January 2024 with earlier application permitted
Amendments to IAS 7 and IFRS 7 - Supplier Finance Arrangements	Annual periods beginning on or after 1 January 2024 with earlier adoption permitted
Amendments to IAS 1 - Non-current Liabilities with Covenants	Annual periods beginning on or after 1 January 2024
IFRS S1 - General Requirements for Disclosure of Sustainability-related Financial Information	Annual periods beginning on or after 1 January 2024
IFRS S2 - Climate-related Disclosures	Annual periods beginning on or after 1 January 2024
Amendments to IAS 1 - Classification of liabilities as current or non-current	Annual periods beginning on or after 1 January 2024
Amendments to IAS 21 - Lack of exchangeability	Annual periods beginning on or after 1 January 2025

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)

c. Adoption of new and revised International Financial Reporting Standards (IFRS) (Continued)

(ii) Impact of new and amended standards and interpretations in issue but not yet effective (Continued)

Amendments to IFRS 10 and IAS 28 – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

The amendments to IFRS 10 and IAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognised in the parent's profit or loss only to the extent of the unrelated investors' interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary (that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognised in the former parent's profit or loss only to the extent of the unrelated investors' interests in the new associate or joint venture.

The effective date of the amendments is yet to be set by the Board; however, earlier application of the amendments is permitted. The directors of the Group anticipate that the application of these amendments may have an impact on the Group's consolidated financial statements in future periods should such transactions arise.

Amendment to IFRS 16 - Lease Liability in a Sale and Leaseback

The amendments add subsequent measurement requirements for sale and leaseback transactions that satisfy the requirements in IFRS 15 Revenue from Contracts with Customers to be accounted for as a sale. The amendments require the seller-lessee to determine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognise a gain or loss that relates to the right of use retained by the seller-lessee, after the commencement date. The amendments do not affect the gain or loss recognised by the seller-lessee relating to the partial or full termination of a lease.

Without these new requirements, a seller-lessee may have recognised a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, following a lease modification or change in the lease term) applying the general requirements in IFRS 16.

This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate.

Amendments to IAS 7 and IFRS 7 - Supplier Finance Arrangements

The amendments add a disclosure objective to IAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows and the entity's exposure to liquidity risk.

Supplier finance arrangements are characterised by one or more finance providers offering to pay amounts an entity owes its suppliers and the entity agreeing to pay according to the terms and conditions of the arrangements at the same date as, or a date later than, suppliers are paid.

These arrangements provide the entity with extended payment terms, or the entity's suppliers with early payment terms, compared to the related invoice payment due date. Supplier finance arrangements are often referred to as supply chain finance, payables finance or reverse factoring arrangements.

Arrangements that are solely credit enhancements for the entity (for example, financial guarantees including letters of credit used as guarantees) or instruments used to settle directly with a supplier the amounts owed (for example, credit cards) are not supplier finance arrangements.

The amendments include as an additional factor whether the entity has accessed, or has access to, supplier finance arrangements that provide the entity with extended payment terms or the entity's suppliers with early payment terms. The amendments add that concentrations of liquidity risk and market risk may arise from supplier finance arrangements resulting in the entity concentrating with finance providers a portion of its financial liabilities originally owed to suppliers.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)

c. Adoption of new and revised International Financial Reporting Standards (IFRS) (Continued)

(ii) Impact of new and amended standards and interpretations in issue but not yet effective (Continued)

Amendments to IAS 7 and IFRS 7 - Supplier Finance Arrangements (Continued)

The Group did not have any business transactions for which supplier finance arrangements would materially impact these financial statements.

Amendments to IAS 1 - Non-current Liabilities with Covenants

The IASB amends IAS 1 to specify that only covenants an entity must comply with on or before the reporting period should affect classification of the corresponding liability as current or non-current.

An entity is required to disclose information in the notes that enables users of financial statements to understand the risk that non-current liabilities with covenants could become repayable within twelve months.

The amendments are applied retrospectively (applying IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors) and are effective for annual reporting periods beginning on or after 1 January 2024. Earlier application is permitted.

IFRS S1 - General Requirements for Disclosure of Sustainability - related Financial Information

IFRS S1 sets out overall requirements for sustainability-related financial disclosures with the objective to require an entity to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general purpose financial reports in making decisions relating to providing resources to the entity.

IFRS S1 requires an entity to disclose information about all sustainability-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, its access to finance or cost of capital over the short, medium or long term. The standard refers to these risks and opportunities as 'sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects'.

An entity whose sustainability-related financial disclosures comply with all the requirements of IFRS Sustainability Disclosure Standards is required to make an explicit and unreserved statement of compliance. An entity is not permitted to describe sustainability-related financial disclosures as complying with IFRS Sustainability Disclosure Standards unless they comply with all the requirements of IFRS Sustainability Disclosure Standards; that is:

a. Conceptual foundation - the usefulness of related financial information is enhanced if the information is comparable, verifiable, timely and understandable;

b. Fair presentation - requires disclosure of relevant information about sustainability related risks and opportunities that could reasonably be expected to affect the entity's prospects, and their faithful representation in accordance with the principles set out in IFRS S1. To achieve this an entity is required to provide a complete, neutral, and accurate depiction of those sustainability-related risks and opportunities;

c. Materiality - information is material if omitting, misstating or obscuring that information could reasonably be expected to influence decisions that primary users of general purpose financial reports make on the basis of those reports, which include financial statements and sustainability-related financial disclosures and which provide information about a specific reporting entity;

d. Reporting entity and connected information - an entity is required to provide information in a manner that enables users of general purpose financial reports to understand:

- The connections between the items to which the information relates - such as connections between various sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects;
- The connections between disclosures provided by the entity-within its sustainability related financial disclosures such as connections between disclosures on governance, strategy, risk management, and metrics and targets or: across its sustainability-related financial disclosures and other general purpose financial reports published by the entity such as its related financial statements; and
- An entity is required to identify the financial statements to which the sustainability-related financial disclosures relate.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)

c. Adoption of new and revised International Financial Reporting Standards (IFRS) (Continued)

(ii) Impact of new and amended standards and interpretations in issue but not yet effective (Continued)

IFRS S1 General Requirements for Disclosure of Sustainability - related Financial Information (Continued)

e. Core content - an entity is required to make disclosures about:

- » Governance - the governance processes, controls and procedures the entity uses to monitor and manage sustainability-related risks and opportunities;
- » Strategy - the approach the entity uses to manage sustainability-related risks and opportunities, including:
  - – Business model and value chain
  - – Strategy and decision making
  - – Financial position, financial performance and cash flows
  - – Resilience of the entity's strategy and its business model
- » Risk management - the processes the entity uses to identify, assess, prioritise and monitor sustainability-related risks and opportunities.
- » Metrics and targets - the entity's performance in relation to sustainability-related risks and opportunities, including progress towards any targets the entity has set, or is required to meet by law or regulation.

IFRS S2 - Climate-related Disclosures

IFRS S2 sets out the requirements for identifying, measuring and disclosing information about climate-related risks and opportunities that is useful to primary users of general purpose financial reports in making decisions relating to providing resources to the entity.

Amendments to IAS 1 - Classification of liabilities as current or non-current

The amendment was to clarify the classification criteria for liabilities as current or non-current. The most significant changes are listed below.

i. A clarification has been added to both IAS 1:69 and 73 to emphasise that for a liability to be classified as non-current, the entity's right to defer settlement must exist 'at the end of the reporting period'. This was previously illustrated in the examples but not explicitly stated.

ii. The IASB specifies that for a liability to be non-current an assessment is required of whether an entity has the right to defer settlement of a liability and not whether the entity will exercise that right. The reference to an entity's expectations in IAS 1:73 has been deleted and a new paragraph has been added to state explicitly that classification is unaffected by management intentions or expectations.

iii. The word 'unconditional' has been removed from IAS 1:69 and a new paragraph has been added to clarify that if the right to defer settlement is conditional on the compliance with covenants the right exists if the conditions are met at the end of the reporting period, even if the lender does not test compliance until a later date.

iv. A definition of the word 'settlement' has been added that states "For the purpose of classifying a liability as current or noncurrent, settlement refers to a transfer to the counterparty that results in the extinguishment of the liability." This transfer could be of cash, goods and services or the entity's own equity instruments.

v. The IASB also clarifies the scope of when counterparty conversion options affect classification as current or non-current. Applying the amendment, if a liability has terms that could, at the option of the counterparty, result in its settlement by the transfer of the entity's own equity instruments, these terms do not affect its classification as current or non-current if the entity recognises the option separately as an equity instrument applying IAS 32 Financial Instruments: Presentation.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2 STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)

c. Adoption of new and revised International Financial Reporting Standards (IFRS) (Continued)

(ii) Impact of new and amended standards and interpretations in issue but not yet effective (Continued)

Amendments to IAS 21 - Lack of exchangeability

The IASB has published amendments to IAS 21 that specify how to assess whether a currency is exchangeable and how to determine the exchange rate when it is not.

Applying the amendments, a currency is exchangeable when an entity is able to exchange that currency for the other currency through market or exchange mechanisms that create enforceable rights and obligations without undue delay at the measurement date and for a specified purpose. However, a currency is not exchangeable into the other currency if an entity can only obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose.

When a currency is not exchangeable at the measurement date, an entity is required to estimate the spot exchange rate as the rate that would have applied to an orderly exchange transaction at the measurement date between market participants under prevailing economic conditions. In that case, an entity is required to disclose information that enables users of its financial statements to evaluate how the currency's lack of exchangeability affects, or is expected to affect, the entity's financial performance, financial position and cash flows.

(iii) Early adoption of standards

The Group did not early-adopt any new or amended standards in the year ended 31 December 2023.

3 MATERIAL ACCOUNTING POLICIES

3.1 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Nairobi Securities Exchange Plc and its subsidiaries, controlled structured entities, a limited liability partnership and interest in associate company made up to 31 December 2023. These have all been fully consolidated.

(i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the group has control. The group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

The group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IFRS 9 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.1 Basis of consolidation (Continued)

(i) Subsidiaries (Continued)

bargain purchase, the difference is recognised directly in the profit or loss.

The Group financial statements incorporate the assets, liabilities and results of the operations of the NSE Clear Limited, a company formed to act as a central counterparty in all the derivative transactions and AKS Nominees Ltd. Investments in subsidiaries are carried at cost less accumulated impairment losses in the Company's separate financial statements. Details of NSE's subsidiary are set out in Note 16.

The accounting policies of the subsidiaries have been changed where necessary to align them with the policies adopted by the Group.

(ii) Structured entities

The NSE Derivatives Settlement Guarantee Fund and the NSE Derivatives Investor Protection Fund are trusts established under the Trustee Act (Cap. 167) pursuant to the statutory obligations imposed on the NSE, as a licensed exchange, by the provisions of the Capital Markets (Derivatives Markets) Regulations, 2015 and clause 1.90 and 1.10 of the NSE Derivatives Rules. Clause 1.90 requires that the NSE, shall by itself or through a clearing house, establish and maintain a Settlement Guarantee Fund to strengthen the financial integrity of the derivatives market and ensure settlement of transactions in derivatives securities in case of default by a clearing member (CM). Clause 1.10 requires that the NSE shall establish and maintain an Investor Protection Fund to satisfy specified claims by the investing public arising out of non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of the trading members up to an amount specified in the rules.

Management and administration of the assets and operations of these trusts is done by a management committee formed by the NSE Clear Board of Directors. The Trustees of the funds act as the custodians and trustees of the assets of these Funds as defined in the trust deeds and rules of these Funds. The Fund's assets are segregated from the assets of the NSE and the NSE Clear Limited but are effectively controlled by NSE Clear Limited. The NSE, by virtue of its role as the parent company of the clearing house, NSE Clear Limited, has to consolidate the results of these funds in its annual financial statements.

The subsidiary and structured entities are stated at cost less accumulated impairment losses in the separate financial statements of the Company. Separate financial statements are prepared for the subsidiary and the structured entities, and independent external audits performed.

(iii) Investment in associate

Associates are those entities which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% to 50% of the voting power of another entity. The results and assets and liabilities of associates are incorporated in these financial statements using the equity method of accounting. Under the equity method, investments in associates are carried in the statement of financial position at cost as adjusted for post-acquisition changes in the Group's share of the net assets of the associate, less any impairment in the value of individual investments. Losses of an associate in excess of the Group's interest in that associate are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

(iv) Partnership

The NSE Limited Liability Partnership (NSE LLP) was set up to run the recently launched Unquoted Scripts Platform. The Partners of the LLP are the Chief Executive Officer and the Chief Operating Officer of the NSE PLC. The LLP also has a Management Committee that oversees the day to day activities of the LLP. The Management Committee of the LLP reports to the Board of Directors of NSE PLC. As per the Partnership Deed, NSE PLC shall contribute 100% of the capital of the NSE LLP, and all profit and losses of the NSE LLP shall be allocated to NSE PLC. Separate financial statements are prepared for the NSE LLP and independent external audit performed.

NSE LLP is stated at cost less accumulated impairment losses in the separate financial statements of the Company. The results of NSE LLP are incorporated in the statements of profit or loss in the Company's financial statements. Separate financial statements are prepared for the Partnership, and independent external audits performed.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.2 Transactions eliminated on consolidation

Intra-group balances and transactions and any unrealized income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

Unrealized gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Groups' interest in the investee. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

3.3 Foreign currencies

i) Functional and Presentation currency

The financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "Functional Currency"). The financial statements are presented in Kenya Shilling which is the Group's and the Company's Functional and Presentation Currency. Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

ii) Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the respective functional currencies of the operations using the exchange rates prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Foreign currency exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as financial assets through other comprehensive income are included in other comprehensive income.

3.4 Income recognition

The Group recognises income as and when it satisfies a performance obligation by transferring control of a service to a customer. The amount of income recognised is the amount the Group expects to receive in accordance with the terms of the contract, and excludes discounts and amounts collected on behalf of third parties, such as Value Added Tax.

Transaction levy income is based on a percentage of the value of shares traded and is recognised on the dates of the transactions. The transaction levy on equity is computed at the rate of 0.12% of the value of all equity transactions executed while that for bonds is computed at a rate of 0.0035% of the value of all fixed income transactions executed. The levy fees are computed on both the buy and sell side.

Data vending income is fees charged for the sale of trading data statistics. This is charged either on a lumpsum, monthly, quarterly or annual basis depending on the contract provision and how the how the performance obligation is satisfied throughout the contract.

Data vending income that is not charged on a monthly but on a lump sum basis is recognized in income based on the contract value. Where the contract value is below 5% of the budgeted total data vending income for that year, then all the data income is booked in full within the year the income is contracted. Where the contract value is above 5% of the budgeted total data income then only the portion for the year is recognized within income for that year.

Annual listing fee is computed on the basis of the daily weighted average capitalisation value of the listed securities for the 11 months period between 1 January and 30 November. This fee is generally paid in advance on the first day of the membership or subscription period. The Group recognises revenue on a straight-line basis over the period to which the fee relates, as this reflects the extent of the Group's progress towards completion of the performance obligation under the contract.

Initial listing income is recognized in the year in which the listing company makes the flotation. Additional listing income is recognized during the year in which the issuing company makes announcement of the bonus/ rights issues. The initial listing and additional listing fees represent one performance obligation and are billed to the issuing company at the time of admission to trading and become payable when invoiced.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.4 Income recognition (Continued)

Interest income from a financial asset is recognised on a time basis by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

The Unquoted Securities Platform (USP) is an automated solution for the issuance and trading of securities of unquoted companies. The platform offers world class trading infrastructure and information services as well as enables company's access capital markets for long term funding through private placements and restricted offers. Unquoted securities platform fee is charged on the issuer application fees based on the approved rates for initial admission, annual service, secondary transfer per transaction, fund raising fee, financier admission fee and settlement custodian fee and is recognized in income on the date of the transaction.

Dividend income is recognised in profit or loss when the right to receive payment is established, which is the date the dividend is declared.

Market access fees are fees charged on the admission of a market participant as a member of the Group and are recognised over a period of three years.

Other income comprises income charged on the broker back office, rental income, net foreign exchange gains, profit on sale of property and equipment, investor protection levy, management fee, surplus distribution by Settlement Guarantee Fund, training fee and miscellaneous income.

Broker back office (BBO) subscription is the fee charged on a monthly basis to trading firms that have signed on to use the BBO trading system as provided in the contract.

Rental income from investment property is recognised in profit or loss on a straight line basis over the term of the lease.

Management fee is charged by the NSE to the subsidiaries and structured entities to cater for expenses attributable to investment and treasury management services, staff costs and other general and administrative overheads.

Surplus distributed by the Settlement Guarantee Fund (SGF) is income charged to compensate the Clearing Members who have contributed to the SGF. This is computed at 80% of the total surplus for the year for SGF and distributed to the members based on their capital contributions. Since contributions from the clearing members are refundable at any point on exit of the member, the computed surplus for the clearing members is expensed while that of the NSE is offset against retained earnings.

An investor protection levy of 0.01% is charged on the transaction value/notional value (or such other amount as may be determined by the NSE in consultation with the CMA), for all transactions in derivative securities which levy is remitted to the Investor Protection Fund.

3.5 Property and equipment

The building is carried at revaluation less any subsequent accumulated depreciation. Revaluations are performed with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the end of the year. The frequency of valuation is annual.

Motor vehicles and equipment are stated at cost less accumulated depreciation and any impairment losses.

Professional valuations on buildings are carried out in accordance with the Group policy. The fair value is determined based on the market comparable approach that reflects recent transaction prices for similar properties. In estimating the fair value of the properties, the highest and best use of the properties is their current use. There has been no change to the valuation technique during the year.

Increases in the carrying amounts of property resulting from revaluation is recognized in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognized in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in carrying amount arising on the revaluation of buildings is recognized in profit or loss to the extent that it exceeds the balance, if any, held in the properties revaluation reserve relating to a previous revaluation of that asset.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.5 Property and equipment (Continued)

Depreciation is calculated on the straight-line basis to write down the cost of each asset to its residual value over its estimated useful life as follows:

Motor vehicles	4 years
Furniture and fittings	8 years
Office equipment	4 years
Computer equipment	4 years
Buildings	46 years

An asset's carrying amount is written down immediately to its estimated recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of equipment are determined as the difference between the sales proceeds and the carrying amount of the asset at the date of disposal and taken into account in determining operating profit. Gains or losses arising from changes in fair value of the building are included in other comprehensive income in the period in which they arise net of deferred taxes.

3.6 Intangible assets

Intangible assets represent purchased computer software and is initially recognised at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Amortisation is calculated to write-off software on a straight-line basis over the estimated useful life of 4 – 10 years.

3.7 Impairment of tangible and intangible assets

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to review the useful lives and determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated and an impairment loss is recognized in profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

3.8 Investment property

Investment property, which is property held to earn rentals, is stated at its fair value, at the reporting date as determined through its revaluation by external valuers on the basis of the highest and best use. Gains or losses arising from changes in fair value of the investment property are included in profit or loss in the year in which they arise.

3.9 Restricted cash and investments

The Group classifies all cash, cash equivalents and investments that are not available for general use by the Group, either due to regulatory requirements or through restrictions in specific agreements, as restricted in the accompanying statement of financial position.

Short-term restricted cash and investments

As required by the Capital Markets (Derivatives Markets) Regulations, 2015, the Group is required to maintain a minimum liquid net-worth capital requirement equal to one half of the total estimated operating costs for the next twelve (12) months period. At 31 December 2023, this amount was Sh 317 million (2022: Sh 296 million). The amounts are reflected as short-term restricted cash and investments (note 23).

Long-term restricted cash and investments

The NSE has contributed Sh 20 million, Sh 100 million and Sh 10 million as seed capital to the subsidiary, NSE Clear Limited, and the structured entities, NSE Derivatives Settlement Guarantee Fund and NSE Derivatives Investor Protection Fund respectively. These amounts could be used in the event of a clearing/trading member's default where the amount of the defaulting clearing/trading member's initial, variation and additional margins and guarantee fund deposits are insufficient. These amounts together with related earned interest are held in bank deposits that have been classified as restricted (note 19).

3.10 Financial instruments

(i) Equity instruments

Equity instruments are instruments that meet the definition of equity from the issuer's perspective; that is, instruments that do not contain a contractual obligation to pay and that evidence a residual interest in the issuer's net assets e.g. basic ordinary shares.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.10 Financial instruments (Continued)

(i) Equity instruments (Continued)

The Group management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income (FVOCI) when those investments are held for purposes other than to generate investment returns.

Dividends, when representing a return on such investments, continue to be recognised in profit or loss as other income when the Group's right to receive payment is established.

(ii) Debt instruments

a) Recognition and subsequent measurement

Financial instruments are recognised when, and only when, the Group becomes party to the contractual provisions of the instrument. All financial assets are recognised initially using the trade date accounting which is the date the Group commits itself to the purchase or sale.

At initial recognition, financial assets are measured at fair value, and are classified and subsequently measured at fair value through profit or loss (FVTPL), fair value through other comprehensive income (FVTOCI) or amortized cost based on:

» the Group's business model for managing the financial assets; and

» the cash flow characteristics of the asset.

Based on these factors, the Group classifies its financial assets into one of the following three measurement categories:

» **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/ (losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss.

» **FVTOCI:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVTOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/ (losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/ (losses) and impairment expenses are presented as separate line item in the statement of profit or loss.

» **FVTPL:** Assets that do not meet the criteria for amortised cost or FVTOCI are measured at FVTPL. A gain or loss on a debt investment that is subsequently measured at FVTPL is recognised in profit or loss and presented net within other gains/ (losses) in the period in which it arises.

» **Business model:** the business model reflects how the Group manages the assets in order to generate cash flows i.e. whether the Group's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets. If neither of these is applicable (e.g. financial assets held for trading purposes), then the financial assets are classified as part of 'other' business model and measured at FVTPL. Factors considered by the Group in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel and how risks are assessed and managed.

» **SPPI:** Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group assesses whether the financial instruments' cash flows represent solely payments of principal and interest ('SPPI test'). In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.10 Financial instruments (Continued)

(ii) Debt instruments (Continued)

a) Recognition and subsequent measurement (Continued)

fair value through profit or loss.

The Group reclassifies financial assets when and only when its business model for managing those assets changes.

b) Impairment

The Group recognises a loss allowance for expected credit losses (ECL) on financial assets that are measured at amortised cost or at fair value through other comprehensive income.

The loss allowance is measured at an amount equal to the lifetime expected credit losses for financial instruments for which: (a) the credit risk has increased significantly since initial recognition; or (b) there is observable evidence of impairment (a credit-impaired financial asset). If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses.

Lifetime expected credit losses represent the expected credit losses that result from all possible default events over the expected life of a financial instrument. 12-month expected credit losses represent the portion of lifetime expected credit losses that result from default events on a financial asset that are possible within 12 months after the reporting date.

Expected credit losses are measured in a way that reflects an unbiased and probability-weighted amount determined by evaluating a range of possible outcomes, the time value of money, and reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

In applying the IFRS 9 impairment requirements, the Group follows one of the approaches below:

» The general approach

» The simplified approach

The General Approach

Under the general approach, at each reporting date, the Group determines whether the financial asset is in one of the three stages below, to determine both the amount of ECL to recognise as well as how interest income should be recognised.

» **Stage 1** - where credit risk has not increased significantly since initial recognition. For financial assets in stage 1, the Group will recognise 12 month ECL and recognise interest income on a gross basis – this means that interest will be calculated on the gross carrying amount of the financial asset before adjusting for ECL.

» **Stage 2** - where credit risk has increased significantly since initial recognition. When a financial asset transfers to stage 2, the Group will recognise lifetime ECL but interest income will continue to be recognised on a gross basis.

» **Stage 3** - where the financial asset is credit impaired. This is effectively the point at which there has been an incurred loss event. For financial assets in stage 3, the Group will continue to recognise lifetime ECL but they will now recognise interest income on a net basis. As such, interest income will be calculated based on the gross carrying amount of the financial asset less ECL.

An asset is credit-impaired if one or more events have occurred that have a detrimental impact on the estimated future cash flows of the asset.

The changes in the loss allowance balance are recognised in profit or loss as an impairment gain or loss.

The Simplified approach

Under the simplified approach, the Group measures the loss allowance at an amount equal to lifetime expected credit losses.

Definition of default

The Group will consider a financial asset to be in default when:

» the counterparty or borrower is unlikely to pay their credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or

» the counterparty or borrower is more than 90 days past due on any material credit obligation to the Group. This will be consistent with the rebuttable

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.10 Financial instruments (Continued)

(ii) Debt instruments (Continued)

b) Impairment (Continued)

Definition of default (Continued)

criteria set out by IFRS 9 and existing practice of the Group; or

In assessing whether the counterparty or borrower is in default, the Group considers indicators that are:

» Qualitative: e.g. Breach of covenant and other indicators of financial distress;

» Quantitative: e.g. Overdue status and non-payment of another obligation of the same issuer to the Company; and

» Based on data developed internally and obtained from external sources.

» Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

Significant increase in credit risk (SIICR)

When determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on the Group's historical experience, expert credit assessment and forward-looking information.

The Group primarily identifies whether a significant increase in credit risk has occurred for an exposure by comparing:

» The remaining lifetime probability of default (PD) as at the reporting date; with

» The remaining lifetime PD for this point in time that was estimated on initial recognition of the exposure.

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

The Group monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

» the criteria are capable of identifying significant increases in credit risk before an exposure is in default;

» the criteria do not align with the point in time when an asset becomes 30 days past due;

» the average time between the identification of a significant increase in credit risk and default appears reasonable;

» exposures are not generally transferred from 12-month ECL measurement to credit-impaired; and

» there is no unwarranted volatility in loss allowance from transfers between 12-month and lifetime ECL measurements.

Measurement of ECL

The key inputs into the measurement of ECL are the term structures of the following variables:

» Probability of Default (PD)

» Loss given default (LGD) and

» Exposure at default (EAD)

To determine lifetime and 12-month PDs, the Group uses externally developed PD tables based on the default history of obligors with the same credit rating. The Group adopts the same approach for unrated investments by mapping external credit ratings. Changes in the rating for a counterparty or exposure lead to a change in the estimate of the associated PD.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset.

EAD represents the expected exposure in the event of a default. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract, including amortisation, and prepayments. The EAD of a financial asset is its gross carrying amount.

As described above, and subject to using a maximum

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.10 Financial instruments (Continued)

(ii) Debt instruments (Continued)

b) Impairment (Continued)

Measurement of ECL (Continued)

of a 12-month PD for financial assets for which credit risk has not significantly increased, the Group measures ECL considering the risk of default over the maximum contractual period over which it is exposed to credit risk, even if, for risk management purposes, the Group considers a longer period. Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, which include: instrument type; credit risk grading; collateral type; date of initial recognition; remaining term to maturity.

The groupings are subject to regular review to ensure that exposures within a group remain appropriately homogeneous.

When ECLs are measured using parameters based on collective modelling, a significant input into the measurement of ECL is the external benchmark information that the Group uses to derive the default rates of its portfolios. This includes the PDs provided by rating agencies.

Expected credit losses are computed as a product of the Probability of Default (PD), Loss Given Default (LGD) and the Exposure at Default (EAD).

ECL = PD x LGD x EAD

c) Modification of contracts

The Group rarely renegotiates or otherwise modifies the contractual cash flows of securities. When this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the counterparty is in financial difficulty
- Whether any substantial new terms are introduced that affect the risk profile of the instrument
- Significant extension of the contract term when the borrower is not in financial difficulty
- Significant change in interest rate
- Change in the currency the security is denominated in
- Inclusion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan

If the terms are substantially different, the Group derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a new EIR for the asset. The date of renegotiation is consequently considered the date of initial recognition for impairment calculation purposes, including the purpose of determining whether a SIICR has occurred.

If the terms are not substantially different and the renegotiation or modification does not result in derecognition, the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original EIR.

d) Write off policy

The Group writes off financial assets, in whole or in part when it has exhausted all practical recovery effort and has concluded that there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity; and (ii) the Group is foreclosing on collateral and the value of the collateral is such as there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery.

3.11 Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents include cash on hand and demand deposits and other short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances and interest earned but not received as at the reporting date.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.12 Taxation

Income tax expense represents the sum of the current income tax and deferred income tax.

Current income tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of profit or loss and other comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences are utilised.

Such deferred tax assets and liabilities are not recognised if the temporary difference arises from good will or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit. The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates that have been enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred income tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income.

3.13 Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the date of reporting.

3.14 Segmental reporting

The Group determines and presents operating segments based on the information that is internally provided to the Executive Committee. An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. Costs in the NSE are managed holistically across the Exchange and variances against budget are closely monitored.

3.15 Retirement benefit obligations

The Group operates a defined contribution provident scheme for all its employees. The scheme is administered by CPF Financial Services and is funded by contributions from both the Group and employees. The Group also contributes to a statutory contribution pension scheme, the National Social Security Fund (NSSF). The Group's obligations under the scheme are limited to specific contributions legislated from time to time. The Group's contributions to these schemes are charged to the profit or loss in the year in which they relate.

3.16 Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.17 Earnings per share

The Group presents earnings per share (EPS) data for its ordinary shareholders in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the NSE by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding adjusted for the effects of all potentially dilutive shares.

3.18 Share capital and share premium

The share capital and premium of the Company includes balances relating to the Company's ordinary equity shares and own shares held by the Employee Share Ownership Plan (ESOP).

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects, from the proceeds.

3.19 Employee Shares Ownership Plan (ESOP)

The Nairobi Securities Exchange Plc ESOP - Unit Trust (the "ESOP") was established by Nairobi Securities Exchange Plc, the sponsor, on 25 June 2019 to enable participation of its employees in the ownership of the Company. The ESOP was set up as a Unit Trust with the principal objective or acquiring and holding shares of the Company for the benefit of its employees as governed by the Trust Deed. The ESOP commenced operations on 24 May 2022.

Allocation of shares to the ESOP is subject to the Company's bonus scheme policy where part of the eligible employees' bonuses are used to purchase the shares at a discount to the prevailing market price of the shares with a discount of 20%. The shares so purchased are settled in the ESOP and corresponding units are created and allocated to the eligible employees. The units have a three year vesting period. Upon vesting, the unitholders are entitled the full economic benefits relating to the vested units and can take the following actions with respect to the shares corresponding to the units that have vested:

» Sell the shares in the open market;

» Transfer the shares from the ESOP to their respective Central Depository System (CDSC) account; or

» Leave the shares within the ESOP and enjoy the economic benefits of those shares as any other shareholder.

When the Company issues new shares to the ESOP to satisfy vesting of specific employee share schemes, the share capital of the Company is increased by the par value of these own shares. These shares may be issued at a subscription price above par value, reflecting the premium payable by the participant in the ESOP. The subscription price is the quoted closing market price of the NSE share on the day of issuing the shares. In such instances, the share capital of the Company is increased by the par value of these own shares and the difference between the subscription price and the par value of the own share is recorded in share premium. The total value of the shares issued at subscription price is purchased by employees using bonus and is therefore included in expenses.

3.20 Minimum liquid net worth requirement

The Capital Markets (Derivatives Market) Regulations, 2015 clause 15 (1) and 15 (2) require that a futures exchange have and maintain a minimum liquid net-worth equal to one half of the estimated gross operating costs of the futures exchange for the next twelve (12) month period or such other liquid net-worth amount as may be prescribed by the Authority. The requirement is met as per Note 38.

3.21 Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in the presentation in the current year.

In particular, changes in presentation of the comparative figures have been made to statement of cashflows to remove any non-cash items. The table below shows the line items affected by the change in presentation.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3 MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.21 Comparatives (Continued)

	Group			Company		
	2022 as previously presented	2022 current presentation	Change	2022 as previously presented	2022 current presentation	Change
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
Cash flows from operating activities						
Adjustments for non-cash items	9,589	12,112	(2,523)	(2,916)	(557)	(2,359)
Working capital changes	19,586	13,482	6,104	17,214	13,575	3,639
Cash (used in)/generated from operations	66,974	63,393	3,581	75,410	74,130	1,280
Net cash used in operating activities	(30,388)	(33,969)	3,581	(19,173)	(20,453)	1,280
Cash flows from investing activities						
Investment in long term restricted investments	(981)	1,160	(2,141)	-	-	-
Cash generated from investing activities	(88,455)	(86,314)	(2,141)	(110,419)	(110,419)	-
Increase/(decrease) in cash and cash equivalents	(362,808)	(364,248)	1,440	(372,931)	(374,211)	1,280
Cash and cash equivalents at the end of year	251,674	250,234	1,440	229,968	228,688	1,280

4 ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINITY

In the process of applying the Group's accounting policies, management makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key areas of judgment and estimation in applying the entities accounting policies are dealt with below:

Valuation of land and building

The fair value model has been applied in accounting for land and building. The Group commissioned external, independent and professionally qualified real estate valuers that hold recognised relevant professional qualification and have recent experience in the location and type of property valued to determine the fair value of the property as at 31 December 2023 and 2022 on the basis of net income approach. The current use of the portion of the land and building accounted for as investment property equates to the highest and best use. The valuation of the land and building is based on the net income approach. The Group's land and building are valued by reference to a level 3 fair value measurement.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

5 OPERATING SEGMENTS

The Group entities are all domiciled in Kenya. The Group has two main business segments based at Group level and company:

» Cash equities and interest rate market segment comprises the equities and bond trading business. This includes other income comprising broker back office income, rental income, data fees and other incomes; and

» Derivatives market segment comprises of the futures trading business.

Each business segment offers different products and services and is managed separately because each requires different technology and a different marketing strategy. The accounting policies of the reportable segments are the same as the Group's accounting policies described in note 3. Segment profit represents the profit earned by each segment without allocation of the share of profits of associate and income tax expense.

The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the Executive Committee and the Board for the purpose of resource allocation and assessment of segment performance. The segment results were as follows:

Statement of financial position

	Cash equities and interest rate market	Derivatives market	Total
	Sh'000	Sh'000	Sh'000
2023			
ASSETS			
Property and equipment, investment property and intangible assets	512,705	-	512,705
Government securities	443,297	-	443,297
Long-term restricted investments	-	143,382	143,382
Short-term restricted cash and investments	317,171	-	317,171
Cash, cash equivalents and fixed deposits	89,088	823	89,911
Other assets	513,151	8,447	521,598
	1,875,412	152,652	2,028,064
LIABILITIES			
Settlement Guarantee Fund members contribution	-	11,750	11,750
Trade and other payables	70,603	4,344	74,947
Dividends payable	60,221	-	60,221
Tenant deposits	2,215	-	2,215
Trading members' contributions	-	2,200	2,200
	133,039	18,294	151,333

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

5 OPERATING SEGMENTS (CONTINUED)

Statement of financial position (Continued)

	Cash equities and interest rate market	Derivatives market	Total
	Sh'000	Sh'000	Sh'000
2022			
ASSETS			
Property and equipment, investment property and intangible assets	555,988	-	555,988
Government securities	458,990	-	458,990
Long-term restricted investments	-	145,314	145,314
Short-term restricted cash and investments	296,470	-	296,470
Cash, cash equivalents and fixed deposits	78,784	13	78,797
Other assets	490,111	8,019	498,130
	1,880,343	153,346	2,033,689
LIABILITIES			
Settlement Guarantee Fund members contribution	-	11,750	11,750
Trade and other payables	59,210	4,363	63,573
Dividends payable	57,109	-	57,109
Tenant deposits	2,215	-	2,215
Trading members' contributions	-	2,000	2,000
	118,534	18,113	136,647
2023			
Reductions to non-current assets	(39,944)	(1,936)	(41,880)
Non-current assets	1,024,196	143,383	1,167,579
2022			
Additions to non-current assets	141,356	986	142,342
Non-current assets	1,064,140	145,319	1,209,459

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

5 OPERATING SEGMENTS (CONTINUED)

Statement of profit or loss and other comprehensive income

	Cash equities and interest rate market	Derivatives market	Total
	Sh'000	Sh'000	Sh'000
2023			
Revenue (Note 6)	492,279	-	492,279
Interest income	104,272	16,678	120,950
Other income	49,051	41	49,092
Total income	645,602	16,719	662,321
Administrative expenses	554,913	7,933	562,846
Depreciation and amortisation	37,720	-	37,720
Share of loss of associate	19,429	-	19,429
Profit before income tax	33,540	8,786	42,326
2022			
Revenue (Note 6)	506,754	-	506,754
Interest income	92,248	12,128	104,376
Other income	31,538	96	31,634
Total income	630,540	12,224	642,764
Administrative expenses	506,103	3,806	509,909
Depreciation and amortisation	48,512	-	48,512
Share of loss of associate	46,544	-	46,544
Profit before income tax	29,381	8,418	37,799

All revenues are earned in Kenya. There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
6 REVENUE				
Revenue recognized at a point in time				
Transaction levy - equity	211,094	225,838	211,094	225,838
Transaction levy - bond	64,395	79,380	64,395	79,380
Initial listing fees	5,000	5,175	3,500	5,175
Application and additional listing fees	300	1,505	300	1,505
Unquoted securities platform fees	2,439	6,463	-	-
	283,228	318,361	279,289	311,898
Revenue recognized over time				
Annual listing fees	64,538	64,495	64,538	64,495
Broker back-office subscription	27,944	29,656	27,944	29,656
Market access fees	-	694	-	694
Data vending income	116,569	93,548	116,569	93,548
	209,051	188,393	209,051	188,393
	492,279	506,754	488,340	500,291
7 PROFIT BEFORE INCOME TAX				
The profit before income tax is arrived at after charging/(crediting):				
Employee benefits (note 8)	176,452	177,359	176,452	177,359
Depreciation of property and equipment (note 12)	17,547	26,214	17,340	26,213
Amortisation of intangible assets (note 14)	20,173	22,298	20,173	22,298
Directors' emoluments:				
- Executive (note 33 (a))	31,749	31,475	31,749	31,475
- Non–executive (note 33 (a))	16,173	15,814	15,916	15,557
Auditor's remuneration	5,578	4,914	4,279	3,866
(Gain)/loss on disposal of equipment	(6)	644	(6)	644
Employee staff ownership plan expenses	1,819	1,811	1,819	1,811
(Decrease)/increase in impairment of financial assets measured at amortised cost (note 36 (b) (iii))	(5,145)	62	(4,334)	929

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
8 (a) STAFF COSTS				
Salaries and wages	154,657	151,514	154,657	151,514
Bonus	774	7,508	774	7,508
Leave pay expense	4,931	4,661	4,931	4,661
Provident fund contribution	14,356	13,575	14,356	13,575
Other staff costs	1,734	101	1,734	101
	176,452	177,359	176,452	177,359

The staff numbers as at 31 December 2023 were 45 (2022 - 44).

	Group 2023	Group 2022	Company 2023	Company 2022
(b) OTHER EXPENSES				
Data marketing expenses	21,861	10,925	21,861	10,925
Insurance expenses	18,476	17,197	18,476	17,197
Communication and connectivity expenses	13,183	11,528	13,183	11,528
Professional and consultancy expenses	13,692	10,595	11,095	7,999
System licenses and cyber security costs	30,565	21,252	30,565	21,252
Market and business development costs	37,416	46,208	37,416	45,943
Other expenses	67,490	43,708	63,068	38,603
	202,683	161,413	195,664	153,447
9 INTEREST INCOME				
Interest on term deposits	59,804	46,666	40,416	32,590
Interest on treasury bonds	59,008	56,828	59,008	56,828
Interest on staff loans and advances	2,138	882	2,138	882
	120,950	104,376	101,562	90,300

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
10 OTHER INCOME				
Rental income	6,481	6,337	6,481	6,337
Miscellaneous income	2,758	1,376	2,758	1,376
Training fees	9,632	6,580	9,632	6,580
Private transfer fee	984	1,146	984	1,146
Nomad fees	350	350	350	350
Gain on disposal of equipment	6	-	6	-
Annual members fees	3,550	4,450	3,550	4,450
Ibuka fees	53	50	53	50
Surplus distributed by SGF	-	-	6,868	5,691
Management fees	967	2,005	3,280	3,293
IPF levy	12	25	-	-
Margin interest	29	71	-	-
Exchange gain	16,228	3,134	16,228	3,134
Derivatives fees	29	63	29	63
Dividend from AKS Nominees Ltd	-	-	16,467	-
	41,079	25,587	66,686	32,470

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
11 TAXATION				
(a) Taxation charge				
Current income tax				
Current year expense	23,731	35,572	20,295	32,986
Prior year tax under provision	-	78	-	957
	23,731	35,650	20,295	33,943
Deferred income tax (note 21)				
Current year charge/(credit)	191	(11,969)	187	(12,152)
Potential deferred tax asset not recognized	(791)	680	-	-
Prior year deferred tax under provision	791	(286)	-	-
	191	(11,575)	187	(12,152)
	23,922	24,075	20,482	21,791
(b) Reconciliation of taxation charge to the expected tax based on accounting profit				
Profit before income tax	42,326	37,799	64,928	61,112
Tax calculated at a tax rate of 30% (2022: 30%)	12,698	11,340	19,478	18,334
Expenses not deductible for tax purposes	26,552	18,756	23,926	13,074
Net tax effects on items not deductible for tax	(15,407)	(11,783)	(22,922)	(10,574)
Potential deferred tax asset not recognized	(112)	5,970	-	-
Prior year deferred tax under provision	191	(286)	-	-
Prior year tax under provision	-	78	-	957
Income tax expense	23,922	24,075	20,482	21,791
(c) Tax recoverable				
At start of year	(94,135)	(32,423)	(87,888)	(27,248)
Charge to profit or loss (note 11 (a))	23,731	35,650	20,295	33,943
Tax paid	(27,905)	(97,362)	(23,044)	(94,583)
Tax paid by NSE LLP and recovered against NSE	-	-	(116)	-
At end of year	(98,309)	(94,135)	(90,753)	(87,888)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

12 PROPERTY AND EQUIPMENT – GROUP

	Building	Motor vehicles	Furniture & fittings	Office equipment	Computer equipment	WIP	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
COST OR VALUATION							
At 1 January 2022	126,900	12,772	89,399	40,891	71,175	3,661	344,798
Additions	-	-	82	1,561	5,921	-	7,564
Disposals	-	-	(2,298)	(1,647)	(1,482)	-	(5,427)
Transfer from WIP	-	-	-	-	3,661	(3,661)	-
Revaluation loss	(12,691)	-	-	-	-	-	(12,691)
At 1 January 2023	114,209	12,772	87,183	40,805	79,275	-	334,244
Additions	-	-	-	1,782	294	-	2,076
Disposals	-	-	-	-	(99)	-	(99)
Revaluation loss	(12,690)	-	-	-	-	-	(12,690)
Adjustment	-	-	-	136	(136)	-	-
At 31 December 2023	101,519	12,772	87,183	42,723	79,334	-	323,531
Comprising:							
At valuation	101,519	-	-	-	-	-	101,519
At cost	-	12,772	87,183	42,723	79,334	-	222,012
Cost or valuation	**101,519**	**12,772**	**87,183**	**42,723**	**79,334**	-	**323,531**
DEPRECIATION							
At 1 January 2022	-	9,047	80,042	31,349	52,978	-	173,416
Charge for the year	2,778	3,193	2,561	6,473	11,209	-	26,214
Eliminated on disposal	-	-	(2,298)	(705)	(1,442)	-	(4,445)
Reversal on revaluation	(2,778)	-	-	-	-	-	(2,778)
At 1 January 2023	-	12,240	80,305	37,117	62,745	-	192,407
Charge for the year	2,500	532	2,487	2,701	9,327	-	17,547
Eliminated on disposal	-	-	-	-	(99)	-	(99)
Reversal on revaluation	(2,500)	-	-	-	-	-	(2,500)
At 31 December 2023	-	12,772	82,792	39,818	71,973	-	207,355
NET BOOK VALUE							
At 31 December 2023	101,519	-	4,391	2,905	7,361	-	116,176
At 31 December 2022	114,209	532	6,878	3,688	16,530	-	141,837

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

12 PROPERTY AND EQUIPMENT (CONTINUED) – Company

	Building	Motor vehicles	Furniture& fittings	Office equipment	Computer equipment	WIP	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
COST OR VALUATION							
At 1 January 2022	126,900	12,772	89,399	40,887	71,175	3,661	344,794
Additions	-	-	82	1,561	5,921	-	7,564
Disposals	-	-	(2,298)	(1,647)	(1,482)	-	(5,427)
Transfer from WIP	-	-	-	-	3,661	(3,661)	-
Revaluation loss	(12,691)	-	-	-	-	-	(12,691)
At 1 January 2023	114,209	12,772	87,183	40,801	79,275	-	334,240
Additions	-	-	-	793	294	-	1,087
Disposals	-	-	-	-	(99)	-	(99)
Revaluation loss	(12,690)	-	-	-	-	-	(12,690)
Adjustment	-	-	-	136	(136)	-	-
At 31 December 2023	101,519	12,772	87,183	41,730	79,334	-	322,538
Comprising:							
At valuation	101,519	-	-	-	-	-	101,519
At cost	-	12,772	87,183	41,730	79,334	-	221,019
Cost or valuation	101,519	12,772	87,183	41,730	79,334	-	322,538
DEPRECIATION							
At 1 January 2022	-	9,047	80,042	31,347	52,978	-	173,414
Charge for the year	2,778	3,193	2,561	6,472	11,209	-	26,213
Eliminated on disposal	-	-	(2,298)	(705)	(1,442)	-	(4,445)
Reversal on revaluation	(2,778)	-	-	-	-	-	(2,778)
At 1 January 2023	-	12,240	80,305	37,114	62,745	-	192,404
Charge for the year	2,500	532	2,487	2,494	9,327	-	17,340
Eliminated on disposal	-	-	-	-	(99)	-	(99)
Reversal on revaluation	(2,500)	-	-	-	-	-	(2,500)
At 31 December 2023	-	12,772	82,792	39,608	71,973	-	207,145
NET BOOK VALUE							
At 31 December 2023	101,519	-	4,391	2,122	7,361	-	115,393
At 31 December 2022	114,209	532	6,878	3,687	16,530	-	141,836

Property, plant and equipment with a cost of Sh 117.5 million (2022: Sh 112.6 million) at the reporting date were fully depreciated.

The building has been stated at its revalued amount, being the fair value at 31 December 2023 less any subsequent depreciation. The revaluation was done on the basis of net income approach reflecting the highest and best use by Kenstate Valuers Limited, an independent registered valuer.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

13 INVESTMENT PROPERTY - GROUP AND COMPANY

	2023	2022
	Sh'000	Sh'000
VALUATION		
At 1 January	305,791	313,100
Revaluation loss	(17,310)	(7,309)
At 31 December	288,481	305,791

The fair value of the Group's investment property at 31 December 2023 and 31 December 2022 has been arrived at on the basis of a valuation carried out at 31 December 2023 and 31 December 2022 by Kenstate Valuers Limited and Tysons Limited respectively, both independent registered valuers. The fair value was adjusted for in the books of the Group and Company. The fair value was determined based on the net income approach. In estimating the fair value of the properties, the highest and best use of the properties is their current use. The group applies capitalisation rate and rental income as the unobservable inputs in the valuation of its properties. There were no transfers between any levels in the fair valuation hierarchy during the year.

The following table gives information about how the fair values of these non-financial assets are determined (in particular, the valuation technique(s) and inputs used).

	Sh'000	Fair value hierarchy	Valuation technique(s) and key inputs	Significant unobservable inputs	Relationship of unobservable inputs to fair value
At 31 December 2023					
Buildings	101,519	Level 3	Income capitalization method - Highest and best use	Capitalisation rate, taking into account the capitalisation of rental income potential, nature of the property, and prevailing market condition, of 8%	A slight increase in the capitalisation rate used would result in a significant decrease in fair value, and vice versa
Investment property	288,481	Level 3			
Total	**390,000**				
At 31 December 2022					
Buildings	114,209	Level 3	Income capitalization method - Highest and best use	Capitalisation rate, taking into account the capitalisation of rental income potential, nature of the property, and prevailing market condition, of 8%	A slight increase in the capitalisation rate used would result in a significant decrease in fair value, and vice versa
Investment property	305,791	Level 3			
Total	**420,000**				

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

14 INTANGIBLE ASSETS - GROUP AND COMPANY

	Automated trading system software	Other software	Broker back office software	Bond software license	Derivatives software	WIP	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
COST							
At 1 January 2022	80,079	37,078	77,951	38,191	54,338	315	287,952
Additions	211	2,910	-	-	-	2,080	5,201
Disposals	-	(1,257)	-	-	-	-	(1,257)
At 1 January 2023	80,290	38,731	77,951	38,191	54,338	2,395	291,896
Additions	-	16,027	-	-	-	3,834	19,861
Transfer from WIP	-	2,395	-	-	-	(2,395)	-
At 31 December 2023	80,290	57,153	77,951	38,191	54,338	3,834	311,757
AMORTISATION							
At 1 January 2022	17,333	26,614	66,163	38,191	13,434	-	161,735
Amortisation for the year	8,027	4,466	4,371	-	5,434	-	22,298
Eliminated on disposal	-	(497)	-	-	-	-	(497)
At 1 January 2023	25,360	30,583	70,534	38,191	18,868	-	183,536
Amortisation for the year	8,029	5,029	1,681	-	5,434	-	20,173
At 31 December 2023	33,389	35,612	72,215	38,191	24,302	-	203,709
NET BOOK VALUE							
At 31 December 2023	46,901	21,541	5,736	-	30,036	3,834	108,048
At 31 December 2022	54,930	8,148	7,417	-	35,470	2,395	108,360

Intangible assets with a cost of Sh 120.6 million (2022: Sh 53.9 million) at the reporting date were fully amortised.

The WIP at the end of the year comprises work done on BBO enhancement of Sh 3.834 million.

Key intangibles not fully amortised in the year includes: Automated Trading System (ATS) costs of Sh 46.9 million (remaining useful life of 5.7 years), other software costs of Sh 2.4 million (remaining useful life of 4.8 years), Broker Back Office (BBO) software costs of Sh 5.7 million (remaining useful life of 2.5 years) and derivatives software cost of Sh 30 million (remaining useful life of 5.5 years).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15 INVESTMENT IN ASSOCIATE

The investment in associate represents an investment in Central Depository and Settlement Corporation Limited (CDSC). The Group held an ownership percentage of 40.5% at 31 December 2023 (2022: 40.5%). The proportion of the voting rights in the associate held by the Company does not differ from the proportion of ordinary shares held.

a) Details of the associate at the end of the reporting period are as follows:

	Country of incorporation and operation	Number of shares held by NSE @ Sh 100 per share		Proportion of ownership interest and voting power held by NSE	
		2023	2022	2023	2022
	Group				
CDSC	Kenya	708,750	708,750	40.5%	40.5%
	Company				
CDSC	Kenya	393,750	393,750	22.5%	22.5%

The principal activity of the associate is provision of automated clearing, delivery and settlement facilities in respect of transactions carried out at the Nairobi Securities Exchange PLC.

The Group's shareholding in AKS Nominees Ltd is 94.3% (2022: 88.8%) as disclosed in note 16. AKS Nominees holds an 18% shareholding in the ordinary shares of the CDSC in 2023 (2022: 18%).

b) The movement in the balance is as follows:

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
At start of year	188,275	236,752	85,739	112,619
Share of loss for the year (note 15 (e))	(19,429)	(46,544)	(10,794)	(25,806)
Share of other comprehensive loss for the year (note 15(e))	(2,695)	(1,933)	(1,497)	(1,074)
At end of year	166,151	188,275	73,448	85,739

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15 INVESTMENT IN ASSOCIATE (CONTINUED)

c) Summarised financial information in respect of the associate is set out below:

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
Non current assets	305,133	344,738	305,133	344,738
Current assets	148,975	146,822	148,975	146,822
Total assets	454,108	491,560	454,108	491,560
Non current labilities	(42,065)	(53,207)	(42,065)	(53,207)
Current liabilities	(85,608)	(57,290)	(85,608)	(57,290)
Total liabilities	(127,673)	(110,497)	(127,673)	(110,497)
Net assets	326,435	381,063	326,435	381,063
Group's share of net assets of associate (note 15 (d))	132,207	154,331	73,448	85,739
Total revenue for the year	207,524	241,422	207,524	241,422
Other comprehensive loss for the year	(6,654)	(108,083)	(6,654)	(108,083)
Total comprehensive loss for the year	(54,627)	(112,855)	(54,627)	(112,855)

d) Reconciliation of share of net assets of associate to investment in associate

	Group 2023	Group 2022	Company 2023	Company 2022
Share of net assets (note 15(c))	132,207	154,331	73,448	85,739
Goodwill on acquisition of AKS Nominees	33,944	33,944	-	-
Balance on statement of financial position	166,151	188,275	73,448	85,739

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15 INVESTMENT IN ASSOCIATE (CONTINUED)

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
e) Share of loss of associate:				
Company				
Being the direct shareholding at 22.5% (2022 – 22.5%)				
Share of loss of associate	(10,794)	(24,202)	(10,794)	(24,202)
Adjustment of share of gain to associate on sale of subsidiary	-	(1,604)	-	(1,604)
Share of other comprehensive loss	(1,497)	(1,074)	(1,497)	(1,074)
	(12,291)	(26,880)	(12,291)	(26,880)
Group				
Being the direct shareholding at 22.5% (2022: 22.5%) (as computed for Company above) and the indirect shareholding at 18% from the acquisition date (2022 – 18%)				
Indirect shareholding at 18% (2022 – 18%)				
Share of loss of associate	(8,635)	(19,455)	-	-
Adjustment of share of gain to associate on sale of subsidiary	-	(1,283)	-	-
Share of other comprehensive loss	(1,198)	(859)	-	-
	(9,833)	(21,597)	-	-
Total group share of loss and OCI at 40.5% (2022 – 40.5%)				
Total share of loss of associate	(19,429)	(46,544)	(10,794)	(25,806)
Total share of other comprehensive loss	(2,695)	(1,933)	(1,497)	(1,074)
	(22,124)	(48,477)	(12,291)	(26,880)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

16 INVESTMENT IN SUBSIDIARIES AND STRUCTURED ENTITIES - COMPANY

	Principal activity	Holding 2023	Holding 2022	2023	2022
				Sh'000	Sh'000
Investment in subsidiaries					
Investment in NSE Clear Limited (note a)	Clearing house	100%	100%	20,000	20,000
Investment in AKS Nominees Ltd (note b)	Investment	94.3%	88.8%	118,899	111,899
				138,899	131,899
Investment in structured entities (note c):					
NSE Derivatives Settlement Guarantee Fund	Settlement guarantee fund			100,000	100,000
NSE Derivatives Investor Protection Fund	Investor protection fund			10,000	10,000
				110,000	110,000
				248,899	241,899

a) Investment in subsidiary – NSE Clear Limited

NSE Clear Limited was incorporated as a limited liability company on 4 February 2014 under the Companies Act (Cap. 486) with a share capital of Kenya Shillings One Hundred Thousand (Sh 100,000) divided into One Hundred (100) ordinary shares of Kenya Shillings One Thousand (Sh 1,000) each. It is a wholly owned subsidiary of the Nairobi Securities Exchange PLC. The subsidiary is domiciled in Kenya.

The principal objectives of the subsidiary are to carry on the business of a clearing house and as such, to provide clearing and settlement services for transactions in derivative securities whether carried out on or off a securities exchange, to act as a central counterparty in derivative securities transactions and to carry out all activities that pertain to a clearing house.

b) Investment in subsidiary – AKS Nominees Ltd

The Group shareholding in AKS Nominees Ltd (AKS) is 94.3% (2022: 88.8%) for a total consideration paid to date of Sh 119 million (2022 – Sh 112 million). AKS holds an 18% shareholding in the ordinary shares of the CDSC in 2023 (2022 – 18%).

The principal activity of the subsidiary is holding equity shares in CDSC in trust for its members who are authorised to operate as stockbrokers and investment banks in the Nairobi Securities Exchange (NSE).

c) Investment in structured entities

The NSE Derivatives Settlement Guarantee Fund (SGF) was established on 17 July 2015 as an irrevocable trust under the Trustee Act (Cap. 167) pursuant to the Capital Markets (Derivatives Markets) Regulations, 2015 and the Nairobi Securities Exchange (NSE) Derivatives Rules. The main purpose of the Settlement Guarantee Fund is to settle specified claims by derivatives members arising out of transactions in derivative securities.

The NSE Derivatives Investor Protection Fund (IPF) was established on 17 July 2015 as an irrevocable trust under the Trustee Act (Cap167) pursuant to the Capital Markets (Derivatives Markets) Regulations, 2015, the NSE Investor Protection Fund Rules and the Nairobi Securities Exchange PLC (NSE) Compensation Rules and Procedures. The main purpose for the Investor Protection Fund is to satisfy specified claims by the investing public arising out of non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of trading members.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

16 INVESTMENT IN SUBSIDIARIES AND STRUCTURED ENTITIES - COMPANY (CONTINUED)

d) Non-controlling interest (NCI)

The total NCI at 31 December 2023 is Sh 6,860,000 (2022: Sh 17,366,000) all of which relates to AKS Nominees Limited at 6% shareholding (2022: 11%).

The following table summarises the financial information relating to the Group's company that has significant non-controlling interest.

	2023	2022
	Sh'000	**Sh'000**
Total assets	158,232	158,714
Total liabilities	(18,152)	(1,202)
Net assets	140,080	157,512
Revenue	1,872	1,567
Profit before tax	581	(889)
Taxation	(562)	(470)
Total comprehensive income	19	(1,359)
Reconciliation of NCI		
Movement in the non-controlling interest is as follows:		
At start of the year	17,366	17,518
NCI's share of profit	1	(152)
Reduction in NCI on increase in shareholding	(9,523)	-
2023 dividend declared	(984)	-
At end of the year	6,860	17,366

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

17 INVESTMENT IN NSE LLP

The NSE Limited Liability Partnership (NSE LLP) was established under the Kenyan Limited Liability Partnerships Act, 2011 on 22 September 2020. The principal activity is to run the recently launched Unquoted Securities Platform. The Partnership has a management committee that oversees its day-to-day activities. The management committee of the Partnership reports to the Board of Directors of Nairobi Securities Exchange Plc. As per the Partnership Deed, Nairobi Securities Exchange Plc shall contribute 100% of the capital of the NSE Limited Liability Partnership.

The following table summarises the financial information relating to the NSE LLP:

	2023	2022
	Sh'000	**Sh'000**
Total assets	10,040	7,374
Total liabilities	(2,598)	(1,532)
Net assets	7,442	5,842
Revenue	4,777	6,845
Profit for the year	1,716	4,029
Partners' account		
Movement in the partners' account is as follows:		
At start of the year	5,842	-
Profit for the year	1,716	4,029
Profit for the 16 months to 31 December 2021	-	3,125
	1,716	7,154
Withdrawals*	(116)	(1,312)
At end of the year	7,442	5,842

*Withdrawals relate to the tax paid on instalment taxes by NSE LLP or withholding tax deducted directly at source on interest income earned by NSE LLP. Since tax on the NSE LLP profit is charged to and paid by the Partners, then this amount is deducted against the Partners' accounts.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

18 FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME - QUOTED EQUITY INSTRUMENTS – GROUP AND COMPANY

	2023	2022
	Sh'000	Sh'000
At start of year	106,829	75,333
Fair value gain through other comprehensive income	26,292	31,496
At end of year	133,121	106,829

Quoted ordinary shares at fair value through other comprehensive income are classified as non-current assets. At the year end, these are valued at the closing market share price at the Dar-Es-Salaam stock exchange on the last day of trading of the year.

19 LONG-TERM RESTRICTED INVESTMENTS – GROUP

Fixed deposit and interest capitalized held with the Co-operative Bank of Kenya Limited and maturing within 180 days in the name of:

	2023	2022
	Sh'000	Sh'000
NSE Clear Limited	20,026	20,011
NSE Derivatives Settlement Guarantee Fund	112,239	113,954
NSE Derivatives Investor Protection Fund	11,123	11,389
	143,388	145,354
Less: Expected Credit Losses (note 36 (b)(ii))	(6)	(40)
	143,382	145,314

The restricted investments relate to the seed capital contributions by the NSE on 19 August 2015 to the NSE Clear Limited, the NSE Derivatives Settlement Guarantee Fund (SGF) and the NSE Derivatives Investor Protection Fund (IPF) of Sh 20 million, Sh 100 million and Sh 10 million respectively towards their operations. The funds are invested in a fixed deposit on a rolling basis.

20 GOVERNMENT SECURITIES – GROUP AND COMPANY

	2023	2022
	Sh'000	Sh'000
a) At amortised cost – maturing over one year		
Treasury bonds held at amortised cost	201,431	201,431
Less: Expected Credit Losses (note 36 (b)(ii))	(3,163)	(2,753)
Unamortised balance	3,705	3,937
	201,973	202,615

The weighted average effective interest rate on the treasury bonds at amortised cost for the year ended 31 December 2023 was 13.7% (2022: 13.7%).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

20 GOVERNMENT SECURITIES - GROUP AND COMPANY (CONTINUED)

	2023	2022
	Sh'000	Sh'000
b) At fair value through profit or loss – maturing over one year		
Treasury bonds held for trading	247,883	265,971
Less: Expected Credit Losses (note 36 (b)(ii))	-	(3,562)
Fair value provisions	(6,559)	(6,034)
	241,324	256,375

The weighted average effective interest rate on the treasury bonds at fair value through profit or loss for the year ended 31 December 2023 was 11.7% (2022: 8.2%).

21 DEFERRED TAX

Deferred income tax is calculated on all temporary differences under the liability method using a principal tax rate of 30% (2022: 30%) The net deferred tax asset is attributable to the following items:

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
Accelerated capital allowances	3,875	2,982	3,875	2,982
Straight-lined rental income	(414)	(660)	(414)	(660)
Unrealized foreign exchange gain	(326)	782	(326)	782
Leave provision	1,306	798	1,306	798
Tax losses	5,855	5,968	-	-
Provision for expected credit losses	2,926	4,232	2,925	4,225
Fair value loss on bond instruments at FVTPL	2,237	2,306	2,237	2,306
Potential deferred tax asset not recognized	(5,855)	(5,970)	-	-
Treasury bond amortization	643	-	643	-
	10,247	10,438	10,246	10,433
The movement in the deferred income tax asset is as follows:				
At start of year	10,438	(1,137)	10,433	(1,719)
(Charge)/credit to profit or loss (note 11 (a))	(191)	11,969	(187)	12,152
Potential deferred tax asset not recognized (note 11 (a))	(791)	(680)	-	-
Prior year deferred tax under provision (note 11 (a))	791	286	-	-
At end of year	10,247	10,438	10,246	10,433

The deferred tax asset has been recognised in the year as it is probable that taxable profit will be available against which the deductible temporary differences can be utilised. There are no tax laws which restrict the sources of taxable profits against which the Group may make deductions on the reversal of that deductible temporary difference.

The potential deferred tax asset not recognized relates to the tax losses incurred by the subsidiaries and Funds as it is not probable that taxable profit will be available in the short term against which the unused tax losses or unused tax credits can be utilized.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

22 TRADE AND OTHER RECEIVABLES

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
a) Trade and other receivables				
Trade receivables	21,722	26,201	21,722	26,201
Prepayments and deposits	40,236	29,582	40,236	29,582
Staff loans and advances	17,625	12,374	17,625	12,374
Due from African Securities Exchange Association	11,524	1,130	11,524	1,130
Other receivables*	14,958	11,711	14,958	10,946
Due from trading member on the market making fund	6,233	8,026	6,233	8,026
Amount due from associate (note 33 (e))	6,794	7,140	6,794	7,140
Clearing balances	758	1,550	-	-
	119,850	97,714	119,092	95,399
Less: Expected Credit Losses (note (b))	(6,080)	(6,225)	(6,080)	(5,468)
	113,770	91,489	113,012	89,931
b) Expected Credit Losses				
Movements in Expected Credit				
Losses were as follows:				
At start of the year	6,225	2,868	5,468	2,868
Charge in the year	612	3,357	612	2,600
Recovered in the year	(757)	-	-	-
At end of year (note (a)) and note (36 (b)(ii))	6,080	6,225	6,080	5,468

* Other receivable includes reverse VAT on imported services of Sh 6.48 million and balances due from data vendors.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

23 CASH AND CASH EQUIVALENTS AND SHORT-TERM RESTRICTED CASH & INVESTMENTS

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
Call deposits	64,439	83,138	42,683	83,138
Fixed deposits	337,127	290,695	330,348	262,749
Total short-term deposits (note 24)	401,566	373,833	373,031	345,887
Bank and cash balances	6,024	10,720	4,407	9,976
Total bank and cash balances and deposits	407,590	384,553	377,438	355,863
Less: Expected Credit Losses (note 36 (b)(ii)):				
Call and fixed deposits (note 24)	(469)	(2,193)	(469)	(2,175)
Bank balances	(39)	(129)	(39)	(127)
	407,082	382,231	376,930	353,561
Split into:				
Short-term restricted investments (note 38)	317,171	296,470	317,171	296,470
Cash and cash equivalents	89,911	78,797	59,759	57,091
Fixed deposits – maturity of three months to six months	-	6,964	-	-
	407,082	382,231	376,930	353,561
For purposes of statement of cashflows, cash and cash equivalents is made up as follows:				
Total cash and bank balances and short term restricted cash and investments	407,082	382,231	376,930	353,561
Less: fixed deposit – maturity over three months (note 24)	(80,576)	(130,557)	(80,576)	(123,593)
Less interest earned not received	(7,700)	(1,440)	(7,041)	(1,280)
	318,806	250,234	289,313	228,688

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

24 SHORT TERM DEPOSITS

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
Maturing within three months:				
Fixed deposits	256,289	158,166	249,510	137,189
Call deposits	64,439	83,138	42,683	83,138
	320,728	241,304	292,193	220,327
Less: Expected Credit Losses	(207)	(221)	(207)	(208)
	320,521	241,083	291,986	220,119
Maturing after three months to six months:				
Fixed deposits	80,838	132,529	80,838	125,560
Less: Expected Credit Losses	(262)	(1,972)	(262)	(1,967)
	80,576	130,557	80,576	123,593
Gross total - call and fixed deposits (note 23)	401,566	373,833	373,031	345,887
Total Expected Credit Losses (note 23)	(469)	(2,193)	(469)	(2,175)
Net total - call and fixed deposits	401,097	371,640	372,562	343,712

The deposits are classified and measured at amortised cost. The weighted average effective interest rate on the deposits as at 31 December 2023 was 9.8% (2022: 8.1%).

25 SHARE CAPITAL

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
Authorised share capital:				
At start and end of year:				
375,000,000 ordinary shares of Sh 4 each	1,500,000	1,500,000	1,500,000	1,500,000
Issued and fully paid up:				
At start of the year:				
260,391,721 ordinary shares (2022 – 260,004,320 ordinary shares) of Sh 4 each	1,041,567	1,040,017	1,041,567	1,040,017
Issue of 60,680 shares to the employees share ownership plan (2022 – 387,401 shares) of Sh 4.00 each (note 27)	243	1,550	243	1,550
At end of year				
260,452,401 ordinary shares (2022 - 260,391,721 ordinary shares) of Sh 4 each	1,041,810	1,041,567	1,041,810	1,041,567

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

26 SHARE PREMIUM

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
At start of the year:	279,459	278,579	279,459	278,579
Issue of shares at a premium to the employees share ownership plan (note 27):	30	880	30	880
At end of year	279,489	279,459	279,489	279,459

The Board approved the allotment and issue of 60,680 ordinary shares (2022 – 387,401) at a market price of Sh 4.49 (2022 - Sh 6.27) to the Employee Share Ownership Plan (ESOP). A share premium of Sh 30,000 (2022 - Sh 880,000) has been recognised in share premium in the year in respect of these shares.

27 EMPLOYEE SHARE OWNERSHIP PLAN (ESOP)

During the year ended 31 December 2023, the activities in the ESOP were as follows:

	Group		Company	
	2023	2022	2023	2022
Number of units				
Units in the ESOP – at start of year	830,075	503,529	830,075	503,529
Units granted during the year	60,680	387,401	60,680	387,401
Vested units sold during the year	-	(31,715)	-	(31,715)
Vested units transferred to unitholder	-	(29,140)	-	(29,140)
	890,755	830,075	890,755	830,075
Total units vested in the year	223,026	127,854	223,026	127,854
Market price of units at date of grant - Sh	5.62	7.84	5.62	7.84
Purchase price – Sh	4.49	6.27	4.49	6.27
Issue of units to ESOP at par – Sh'000 (note 25)	243	1,550	243	1,550
Issue of units to ESOP at premium – Sh'000 (note 26)	30	880	30	880
	273	2,430	273	2,430

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

28 SETTLEMENT GUARANTEE FUND -MEMBER'S CONTRIBUTIONS

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
Co-operative Bank of Kenya Limited	11,750	11,750	-	-

The contribution was received in cash in 2019. This is a refundable contribution made by clearing members to the Settlement Guarantee Fund to cover any claims arising from non-settlement of margins. Each clearing member's contribution is currently at Sh 23.5 million. The balance of Co-operative Bank of Kenya Limited contributions of Sh 11.75 million was provided through a bank guarantee of the same amount issued by KCB Bank Kenya Limited on 24th July 2023.

29 TRADE AND OTHER PAYABLES

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
a) Non-current portion				
Tenant deposits	2,215	2,215	2,215	2,215
b) Current portion				
Accrued expenses	44,286	27,974	36,238	22,468
Trade payables	6,531	12,849	6,531	12,849
Other payables*	12,525	14,126	12,525	14,126
Staff leave provision	4,352	2,660	4,352	2,660
Amount payable to Capital Markets Authority	4,471	2,249	4,471	2,249
Amount payable to associate (note 33(e))	-	95	-	95
Annual listing fees paid in advance	1,500	1,500	1,500	1,500
Clearing balances	682	1,520	-	-
Contributions due to former trading members	600	600	-	-
	74,947	63,573	65,617	55,947

* Other payables includes amounts paid in advance on broker back office fees, salary deductions and other miscellaneous payables due.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

30 DIVIDENDS PAYABLE

The dividends payable represent the first and final dividend for the year ended 31 December 2011 up to 31 December 2023 not paid at year end for former brokers now under statutory management. The movement in dividends payable during the year was as follows: -

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
At start of year	57,109	67,070	57,109	66,444
Declared amount for prior years	52,078	130,002	52,078	130,002
2023 dividend declared by AKS Nominees Limited	984	-	-	-
Special dividend declared in the year	-	104,002	-	104,002
Paid during the year	(49,950)	(243,965)	(49,950)	(243,339)
At end of year	60,221	57,109	59,237	57,109

31 CASH FLOWS FROM OPERATING ACTIVITIES

	Group		Company	
	2023	2022	2023	2022
	Sh'000	Sh'000	Sh'000	Sh'000
Profit before income tax	42,326	37,799	64,928	61,112
Adjustments for:				
Depreciation of property, plant and equipment (note 12)	17,547	26,214	17,340	26,213
Amortisation of intangible assets (note 14)	20,173	22,298	20,173	22,298
Share of loss of associate (note 15 (b))	19,429	46,544	10,794	25,806
Interest income (note 9)	(120,950)	(104,376)	(101,562)	(90,300)
Interest earned not received	2,016	2,523	2,018	2,359
(Gain)/loss on disposal of equipment	(6)	644	(6)	644
Change in net assets of NSE LLP (note 17)	-	-	(1,716)	(5,842)
Issue of ESOP shares (note 27)	273	2,430	273	2,430
Effect of foreign exchange rate changes	(4,486)	(1,387)	(4,486)	(1,387)
Revaluation loss on property (note 12 and 13)	27,500	17,222	27,500	17,222
	(38,504)	12,112	(29,672)	(557)
Working capital changes:				
(Increase)/decrease in trade and other receivables	(22,281)	904	(23,081)	(522)
Increase in trade and other payables	11,373	18,483	9,670	17,662
Decrease in tenant deposits	-	(1)	-	(1)
Movement in related party balances	-	-	(17,263)	75
Increase in trading members contributions	-	200	-	-
Movement in ECL and other provisions	(6,461)	(6,104)	(4,100)	(3,639)
	(17,369)	13,482	(34,774)	13,575
Cash (used in)/generated from operations	(13,547)	63,393	482	74,130

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

32 EARNINGS PER SHARE - BASIC AND DILUTED

Basic earnings per share has been calculated by dividing the net profit per year to owners of the Group by the weighted average number of ordinary shares in issue during the year.

	Group		Company	
	2023	2022	2023	2022
Net profit attributable to owners of the Group (Sh'000)	18,403	13,876	44,446	39,321
Number of shares at 31 December (in thousands)	260,452	260,391	260,452	260,391
Basic and diluted earnings per share – Sh	0.07	0.05	0.17	0.15

33 RELATED PARTY TRANSACTIONS

The following transactions were carried out by the Group and Company with related parties at market rates.

	Group		Company	
	2023	2022	2023	2022
	Sh'000	**Sh'000**	**Sh'000**	**Sh'000**
a) Directors' emoluments				
Non – executive				
Directors fees and sitting allowances (including committees)	16,173	15,814	15,916	15,557
Executive	31,749	31,475	31,749	31,475
Total directors' remuneration	47,922	47,289	47,665	47,032

	Group and Company	
	2023	2022
	Sh'000	**Sh'000**
b) Key management compensation		
Salaries and other short-term employment benefits	71,659	71,993
Other long term benefits	6,575	6,571
	78,234	78,564

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

33 RELATED PARTY TRANSACTIONS (CONTINUED)

c) Transactions with shareholders

The Group and Company are related to various parties by virtue of common shareholding. The shareholders exercise significant influence over the operations of the exchange. As at 31 December 2023, the Group had 9 stockbrokers (2022: 9) and 6 licensed investment banks (2022: 6) who are shareholders. The transactions carried out during the year with the brokers and investment banks who are related parties by virtue of shareholding are disclosed below:

The Group charges investors, through the brokers, a transaction levy of 0.12% (31 December 2022: 0.12%) of the value of equity securities traded at the Exchange. During the 12 months period ended 31 December 2023, the total turnover was Sh 57,094 million (31 December 2022: Sh 89,758 million) resulting in a transaction levy of Sh 69 million (31 December 2022: Sh 108 million). NSE also charges investors, through brokers, a transaction levy of 0.0035% (31 December 2022 – 0.0035%) of the value of fixed income securities traded at the Exchange. The turnover for fixed income securities for the 12 months period ended 31 December 2023 was Sh 810 billion (31 December 2022: Sh 979 billion), resulting in transaction levy of Sh 28 million (31 December 2022: Sh 34 million).

	Group		Company	
	2023	**2022**	**2023**	**2022**
	Sh'000	**Sh'000**	**Sh'000**	**Sh'000**
Transaction levy on - equity securities	68,513	107,710	68,513	107,710
Transaction levy on - fixed income securities	28,367	34,272	28,367	34,272
Broker back office subscriptions	17,280	15,840	17,280	15,840
Data fee	1,917	1,778	1,917	1,778
Training	385	626	385	626
NOMAD fee	150	150	150	150
Annual membership fee	1,100	1,800	1,100	1,800
Ibuka	-	40	-	40
	117,712	162,216	117,712	162,216

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

33 RELATED PARTY TRANSACTIONS (CONTINUED)

d) Transactions with companies related to directors

The Company's memorandum and articles of association requires that trading participants and listed companies to have two representatives each on the Board. The transactions listed below were carried out during the period with companies who the aforementioned representatives are directors.

	Group and Company	
	2023	2022
	Sh'000	Sh'000
i) Stockbrokers and investment bank representatives		
Transaction levy on - equity securities	18,861	31,343
Transaction levy on - fixed income securities	11,117	7,717
Broker back office subscriptions	2,880	2,880
Training	40	40
NOMAD fees	50	50
Annual fee	100	400
	33,048	42,430
ii) Listed companies related to directors		
Annual listing fees	-	4,500
Purchase of data	-	213
Training	-	210
	-	4,923
e) Transactions with associate		
During the year, transactions with CDSC Ltd were as follows:-		
Transaction levy on fixed income securities	20,096	27,451
Net amounts receivable from associate (note 22 (a))	6,794	7,140
Net amounts payable to associate (note 29 (b))	-	(95)
f) Transactions with subsidiary and structured entities		
i) Due from related party		
NSE Clear Limited (note 33 (f) (ii))	9,442	9,290
NSE Derivatives Settlement Guarantee Fund (note 33 (f) (iv))	4,260	3,623
NSE Derivatives Investor Protection Fund (note 33 (f) (iii))	98	-
AKS Nominees Limited (note 33 (f) (vi))	16,467	-
	30,267	12,913
Due to NSE LLP (note 33 (f) (v))	166	75

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group and Company	
	2023	2022
	Sh'000	Sh'000
33 RELATED PARTY TRANSACTIONS (CONTINUED)		
f) Transactions with subsidiary and structured entities (Continued)		
ii) During the year, transactions with NSE Clear Limited were as follows:		
Expenses paid by the Company relating to:		
Audit and tax fees	886	836
Board allowances	314	314
Income tax	-	389
CMA fees	500	500
Management fees	366	198
Other expenses	43	121
	2,109	2,358
Amounts due from NSE Clear Limited	9,442	9,290
iii) During the year, transactions with NSE Derivatives Investor Protection Fund (IPF) were as follows:		
Expenses paid by the Company relating to:		
Trustee allowances	314	314
Audit and tax fees	474	445
Income tax	-	265
Management fees	214	112
CMA fees	500	500
Other expenses	17	77
	1,519	1,713
IPF contributions received by the company	-	400
Amounts due to NSE Derivatives Investor Protection Fund	98	-
iv) During the period, transactions with NSE Derivatives Settlement Guarantee Fund (SGF) were as follows:		
Expenses paid by the Company relating to:		
Income tax	1,233	968
Trustee allowances	314	314
Audit and tax fees	474	445
CMA fees	500	500
Other expenses	15	160
	2,536	2,387
Management fees	2,103	1,184
Distribution of surplus to NSE	6,867	5,691
Amounts due from the NSE Derivatives SGF	4,260	3,623

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group and Company	
	2023	2022
	Sh'000	Sh'000
33 RELATED PARTY TRANSACTIONS (CONTINUED)		
f) Transactions with subsidiary and structured entities (Continued)		
v) During the period, transactions with NSE LLP were as follows:		
Expenses paid by the Company relating to:		
Income tax	-	263
Share of USP fees	258	2,912
Audit and tax fees	366	372
Consultancy fees	1,058	-
Purchasing of franking machine	989	-
Other expenses	15	248
	2,686	3,795
Surplus for the year to the NSE	1,716	4,029
Amounts due to the NSE LLP	166	75
vi) During the period, transactions with AKS Nominees Limited were as follows:		
Dividend income declared in the year	16,467	-
Amounts due from AKS Nominees Limited	16,467	-
g) Loans and advances to Executive Director		
At start of year	4,953	3,155
Advances made in the year	2,193	1,509
Loan made in the year	3,796	5,992
Repayments in the year	(9,885)	(5,703)
At end of year	1,057	4,953
Interest income earned on loan	306	348

The balances are included in note 22 (a) under staff loans and advances. The repayment period for the loans and advances are one year and three months respectively. Interest on the loans was at 15% p.a (2022 – 9% p.a). All terms are as per company policy.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

34 OPERATING LEASE COMMITMENTS (GROUP AND COMPANY)

The Group and Company as a lessor:

Lease rental income earned during the year was Sh 6.5 million (2022: Sh 6.3 million). At the end of the reporting period the Group and Company had existing contracts with tenants for the following minimum lease payments:

	2023	2022
	Sh'000	Sh'000
Receivable within 1 year	9,402	7,438
Receivable after 1 year but within 5 years	18,056	18,488
	27,458	25,926

Rental income receivable relates to the lease rent receivable on the leased areas on the investment property.

35 CAPITAL COMMITMENTS - GROUP AND COMPANY

Commitments at the end of the reporting period for which no provision had been made in these financial statements:

	2023	2022
	Sh'000	Sh'000
Authorised but not yet contracted for	233,510	102,240

The capital commitments relate mainly to system infrastructure and support on the expected upgrade of the Automated Trading System, Broker Back Office system and related hardware.

36 RISK MANAGEMENT OBJECTIVES AND POLICIES

The main business risks faced by the Group and the Company in respect of its principal non-derivative financial instruments are market risk including interest rate risk and foreign currency risk, credit risk and liquidity risk. The directors review and determine policies for managing these risks.

(a) Market risk

The Group and the Company maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the Group and the Company do not speculate or trade in derivative financial instruments.

(i) Interest rate risk (Group and Company)

The Group and Company's investment in interest earning investments are both at amortised cost and fair value through profit or loss. These comprise of treasury bonds and bank deposits which are at fixed interest rates hence not exposed to interest rate risk.

The fixed deposits are short-term in nature and the fair value risk is considered minimal. Treasury bonds held at fair value through profit and loss carry a fair value risk as these are long term.

The Group and Company's investments are at fixed interest rates and are therefore not exposed to interest rate risk for both 2023 and 2022.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(a) Market risk (Continued)

(ii) Foreign currency exchange risk (Group and Company)

The Group and Company undertake certain transactions denominated in foreign currencies. Therefore, exposures to exchange rate fluctuations arise. Exchange rate exposures are however minimal as these only relate to income from data and interest income.

At 31 December, the carrying amounts of foreign currency denominated monetary assets and liabilities which were all held in US Dollar currency are as follows:

	2023	2022
	Sh'000	**Sh'000**
Assets		
Cash and bank balances	826	1,246
Other receivables	629	2,523
Fixed deposit	69,467	42,472
	70,922	46,241
Liabilities		
Accrued expenses	(7,759)	(6,521)
Net position	63,163	39,720

At 31 December 2023, if the Shilling had weakened/strengthened by 10% against the US Dollar with all other variables held constant, the impact on pretax profit for the period would have been Sh 6,316,000 (2022: Sh 3,972,000) higher/lower mainly as a result of translation of US dollar denominated balances.

(iii) Price risk (Group and Company)

The Group and Company hold investments that would be subject to price risk.

At 31 December, the fair value of the investments that are subject to price risk are as follows:

	2023	2022
	Sh'000	**Sh'000**
Quoted equity instrument	133,121	106,829

At 31 December 2023, if the price had weakened/strengthened by 10% against the market share price, the impact on other comprehensive income through revaluation reserve would have been Sh 13,312,000 (2022 – Sh 10,683,000).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Credit risk (Group and Company)

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss. Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. Credit risk mainly arises from financial assets and is managed on a Group-wide basis.

Credit risk on financial assets with banking institutions is managed by dealing with institutions with good credit ratings and placing limits on deposits that can be held in one institution.

Credit risk on trade receivables is managed by ensuring that credit is extended to customers with an established credit history. The credit history is determined by taking into account the financial position, past experience and other relevant factors. Credit is managed by setting a credit limit and credit period for each customer. The utilization of the credit limits and the credit period is monitored by management on a monthly basis.

In assessing whether the credit risk on a financial asset has increased significantly, the Group compares the risk of default occurring on the financial asset as at the reporting date with the risk of default occurring on that financial asset as at the date of initial recognition. In doing so, the Group considers reasonable and supportable information that is indicative of significant increases in credit risk since initial recognition and that is available without undue cost or effort. There is a rebuttable assumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due.

For this purpose, default is defined as having occurred if the debtor is in breach of contractual obligations, or if information is available internally or externally that suggests that the debtor is unlikely to be able to meet its obligations. However, there is a rebuttable assumption that that default does not occur later than when a financial asset is 90 days past due.

The Group and Company do not hold collateral or security to mitigate credit risk.

The amount that best represents the Group and Company's maximum exposure to credit risk as at 31 December 2023 and 2022 is made up as follows:

i) The gross carrying amount of financial assets with exposure to credit risk at balance sheet date was as follows:

	12 – month expected credit losses	Lifetime expected credit losses (a)	(b)	Total
	Sh'000	Sh'000	Sh'000	Sh'000
Group				
At 31 December 2023				
Government securities	446,460	-	-	446,460
Long-term restricted investments	143,388	-	-	143,388
Trade receivables	19,887	1,835	-	21,722
Other receivables	54,501	3,391	-	57,892
Short-term restricted cash and investments	317,171	-	-	317,171
Cash, cash equivalents and fixed deposits	90,419	-	-	90,419
Gross carrying amount	1,071,826	5,226	-	1,077,052
Loss allowance	(4,531)	(5,226)	-	(9,757)
Exposure to credit risk	1,067,295	-	-	1,067,295

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Credit risk (Group and Company) (Continued)

i) The gross carrying amount of financial assets with exposure to credit risk at balance sheet date was as follows (Continued):

	12 – month expected credit losses	Lifetime expected credit losses (a)	(b)	Total
	Sh'000	Sh'000	Sh'000	Sh'000
Group				
At 31 December 2022				
Government securities	465,305	-	-	465,305
Long-term restricted investments	145,354	-	-	145,354
Trade receivables	24,772	1,462	-	26,234
Other receivables	37,984	3,947	-	41,931
Short-term restricted cash and investments	296,470	-	-	296,470
Cash, cash equivalents and fixed deposits	88,083		-	88,083
Gross carrying amount	1,057,968	5,409	-	1,063,377
Loss allowance	(9,493)	(5,409)	-	(14,902)
Exposure to credit risk	1,048,475	-	-	1,048,475
Company				
At 31 December 2023				
Government securities	446,460	-	-	446,460
Trade receivables	19,887	1,835	-	21,722
Other receivables	53,743	3,391	-	57,134
Short-term restricted cash and investments	317,171	-	-	317,171
Cash, cash equivalents and fixed deposits	60,267	-	-	60,267
Gross carrying amount	897,528	5,226	-	902,754
Loss allowance	(4,525)	(5,226)	-	(9,751)
Exposure to credit risk	893,003	-	-	893,003
At 31 December 2022				
Government securities	465,305	-	-	465,305
Trade receivables	24,739	1,462	-	26,201
Other receivables	36,426	3,190	-	39,616
Short-term restricted cash and investments	296,470	-	-	296,470
Cash, cash equivalents and fixed deposits	59,393	-	-	59,393
Gross carrying amount	882,333	4,652	-	886,985
Loss allowance	(9,433)	(4,652)	-	(14,085)
Exposure to credit risk	872,900	-	-	872,900

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Credit risk (Group and Company) (Continued)

Financial assets for which the loss allowance has been measured at an amount equal to lifetime expected credit losses have been analysed above based on their credit risk ratings as follows:

» financial assets for which credit risk has increased significantly since initial recognition but that are not credit impaired

» financial assets that are credit impaired at the balance sheet date

The above represents the worst-case scenario of credit exposure for both years.

ii) The loss allowance at end of each year relates to the following:

	12-month expected credit losses	Lifetime expected credit losses (a)	(b)	Total
	Sh'000	Sh'000	Sh'000	Sh'000
Group				
At 31 December 2023				
Government securities (note 20)	3,163	-	-	3,163
Long-term restricted investments (note 19)	6	-	-	6
Trade receivables (note 22 (b))	114	1,835	-	1,949
Other receivables (note 22 (b))	740	3,391	-	4,131
Cash, cash equivalents and fixed deposits (note 23)	508	-	-	508
Total	4,531	5,226	-	9,757
At 31 December 2022				
Government securities (note 20)	6,315	-	-	6,315
Long-term restricted investments (note 19)	40	-	-	40
Trade receivables (note 22 (b))	116	1,462	-	1,578
Other receivables (note 22 (b))	700	3,947	-	4,647
Cash, cash equivalents and fixed deposits (note 23)	2,322	-	-	2,322
Total	9,493	5,409	-	14,902
Company				
At 31 December 2023				
Government securities (note 20)	3,163	-	-	3,163
Trade receivables (note 22 (b))	114	1,835	-	1,949
Other receivables (note 22 (b)))	740	3,391	-	4,131
Cash, cash equivalents and fixed deposits (note 23)	508	-	-	508
Total	4,525	5,226	-	9,751

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Credit risk (Group and Company) (Continued)

ii) The loss allowance at end of each year relates to the following (Continued):

	12-month expected credit losses	Lifetime expected credit losses (a)	Lifetime expected credit losses (b)	Total
	Sh'000	Sh'000	Sh'000	Sh'000
Company				
At 31 December 2022				
Government securities (note 20)	6,315	-	-	6,315
Trade receivables (note 22 (b))	116	1,462	-	1,578
Other receivables (note 22 (b))	700	3,190	-	3,890
Cash, cash equivalents and fixed deposits (note 23)	2,302	-	-	2,302
Total	9,433	4,652	-	14,085

iii) The changes in the loss allowance during the year were as follows:

	12-month expected credit losses	Lifetime expected credit losses (a)	Lifetime expected credit losses (b)	Total
	Sh'000	Sh'000	Sh'000	Sh'000
Group				
Year ended 31 December 2023				
At start of year	9,493	5,409	-	14,902
Reversals in the year (note 7)	(4,962)	(183)	-	(5,145)
At end of year	4,531	5,226	-	9,757
Year ended 31 December 2022				
At start of year	12,483	2,357	-	14,840
(Reversals)/additions in the year (note 7)	(2,990)	3,052	-	62
At end of year	9,493	5,409	-	14,902
Company				
Year ended 31 December 2023				
At start of year	9,433	4,652	-	14,085
(Reversals)/additions in the year (note 7)	(4,908)	574	-	(4,334)
At end of year	4,525	5,226	-	9,751
Year ended 31 December 2022				
At start of year	10,799	2,357	-	13,156
(Reversals)/additions in the year (note 7)	(1,366)	2,295	-	929
At end of year	9,433	4,652	-	14,085

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(c) Liquidity risk – Group and Company

Prudent liquidity risk management includes maintaining sufficient cash to meet the Group and Company's obligations. The Group and Company manage this risk by maintaining adequate cash balances in the bank, banking facilities and by continuously monitoring forecast and actual cash flows.

The table below analyses the Group and Company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Up to 1 year	1 – 5 years	Total
	Sh'000	**Sh'000**	**Sh'000**
Group			
At 31 December 2023			
Financial liabilities			
Tenant deposits	-	2,215	2,215
Trade and other payables	74,947	-	74,947
Dividends payable	60,221	-	60,221
Trading members' contributions	2,200	-	2,200
Settlement Guarantee Fund members contributions	-	11,750	11,750
	137,368	13,965	151,333
At 31 December 2022			
Financial liabilities			
Tenant deposits	-	2,215	2,215
Trade and other payables	63,573	-	63,573
Dividends payable	57,109	-	57,109
Trading members' contributions	2,000	-	2,000
Settlement Guarantee Fund members contributions	-	11,750	11,750
	122,682	13,965	136,647

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(c) Liquidity risk – Group and Company (Continued)

	Up to 1 year	1 – 5 years	Total
	Sh'000	Sh'000	Sh'000
Company			
At 31 December 2023			
Financial liabilities			
Tenant deposits	-	2,215	2,215
Trade and other payables	65,617	-	65,617
Dividends payable	59,237	-	59,237
Due to NSE LLP	166	-	166
	125,020	2,215	127,235
At 31 December 2022			
Financial liabilities			
Tenant deposits	-	2,215	2,215
Trade and other payables	55,947	-	55,947
Dividends payable	57,109	-	57,109
Due to NSE LLP	75	-	75
	113,131	2,215	115,346

(d) Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

i. Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active trading markets for identical assets or liabilities.
ii. Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices). Input data for this category is sourced mainly from the Nairobi Securities Exchange.
iii. Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs). The external valuation of buildings and investment property has been performed using the net income approach.

The table below shows an analysis of the fair value of financial instruments that are carried at fair value by level of the fair value hierarchy.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

36 RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(d) Fair value of financial assets and liabilities (Continued)

	2023	2022
	Sh'000	Sh'000
Group and Company		
Level 1 Financial assets		
Quoted equity instrument	133,121	106,829
Level 2 Financial assets		
Government securities	241,324	256,375

There were no transfers between levels 1, 2 and 3 in the period and for level 3, there was no movement.

i. Level 1 – We have determined the fair value using quoted prices (unadjusted) from the Dar Es Salaam Stock Exchange.
ii. Level 2 – We have determined the fair value using the implied yield curve for the bond published by the Nairobi Securities Exchange. The fair value for the investment property is based on a valuation report.

37 CAPITAL MANAGEMENT

The Group and Company manage its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

At 31 December 2023 and 31 December 2022, the Group and Company did not have any borrowings.

38 MINIMUM LIQUID NET-WORTH REQUIREMENTS (COMPANY)

	2023	2022
	Sh'000	Sh'000
Estimated twelve months operating costs	634,342	592,940
Required minimum liquid net-worth at one half of estimated operating costs	317,171	296,470
Cash and cash equivalents and fixed deposits	317,171	296,470

To ensure that there is no significant risk that liabilities may not be met as they fall due, the Capital Markets (Derivatives Markets) Regulations, 2015 requires a futures exchange to maintain minimum liquid net-worth requirements equal to one half of the estimated gross operating costs of the futures exchange for the next twelve (12) month period or such other liquid net-worth amount as may be prescribed by the Authority. This has been met based on the above.

39 CONTINGENT LIABILITY

a. There was a suit against the NSE that was filed in July 2022 by 7 of the former employees of the NSE who were declared redundant following the restructuring process. The Claimants alleged wrongful termination of their employment contracts. The suit was for Sh 40,256,024 plus general damages to be assessed by the Court. The judgement was delivered in April 2023 with damages of Sh 6,329,320 together with cost and interest. The judgement was settled in 2023 and expensed in the financial statements.
b. Two of the appellants in the case under (a) above appealed the judgement seeking further compensation of Sh 12,251,984 plus general damages. The matter is pending in the Court of Appeal and has not been provided for in these financial statements.

NOTICE OF THE 70TH ANNUAL GENERAL MEETING

NOTICE is hereby given that the **70th Annual General Meeting** of the Nairobi Securities Exchange Plc will be held by **electronic communication,** on **Wednesday 29th May 2024** at **11.00 a.m. East Africa Time (EAT),** to transact the following business:

ORDINARY BUSINESS

1. To read the notice convening the meeting, table the proxies received and confirm the presence of a quorum.
2. To confirm and adopt the Minutes of the Annual General Meeting held on 30th May 2023.
3. To receive the Chairman's Statement and the Chief Executive's Report.
4. To receive, consider and, if thought fit, adopt the Audited Financial Statements for the year ended 31st December 2023 together with the reports of the Directors and Auditors thereon.
5. To approve a final dividend of Kshs. 0.16 per ordinary share, in respect of the Financial Year ended 31st December 2023 and to approve the closure of the Register of Members at the close of business on 30th May 2024 for one day for the purpose of determining the qualifying members entitled to dividends.
6. To approve the Remuneration Report of the Board as detailed in the Annual Report for the Financial Year ended 31st December 2023 and to authorize the Directors to fix their remuneration.
7. Election of Directors:
   (a) In accordance with Articles 94 and 95 of the Company's Articles of Association, Mr. Michael Turner (an Independent, Non-Executive director), having completed his nine-year term as a Director, will retire from the Board at the Annual General Meeting and hence a vacancy arises in this regard;
   (b) In accordance with Articles 94 and 95 of the Company's Articles of Association, Mr. Stephen Chege (a Non-Executive Director representing listed companies) retires by rotation, and, being eligible, offers himself for re-election; and
   (c) In accordance with Articles 94 and 95 of the Company's Articles of Association, Mr. Donald Wangunyu (a Non-Executive Director representing Trading Participants) retires by rotation, and, being eligible, offers himself for re-election.
8. In accordance with the provisions of Section 769 of the Companies Act, 2015, the following directors, being members of the Board Audit, Risk and Compliance Committee, be appointed individually to continue to serve as members of the said Committee:
   (a) Mr. John Niepold;
   (b) Ms. Risper Alaro-Mukoto; and
   (c) Ms. Isis Nyong'o Madison.
9. To reappoint Messrs Deloitte & Touche LLP as the Auditors of the Company, in accordance with the provisions of Section 721(4) of the Companies Act, 2015 and to authorize the Directors to fix their remuneration for the ensuing Financial Year in accordance with the provisions of Section 724 of the Companies Act, 2015.

ANY OTHER BUSINESS

10. To consider any other business of which due notice has been received.

BY ORDER OF THE BOARD

KURIA K. WAITHAKA
COMPANY SECRETARY & CHIEF LEGAL OFFICER
DATE: 6th May 2024

NOTICE OF THE 70TH ANNUAL GENERAL MEETING (CONTINUED)

In the case of a corporate body, the Proxy Form must be executed under its common seal or under the hand of a duly authorised officer or an attorney of such corporation. Any person appointed as a proxy should submit his/her mobile telephone number to the Company no later than forty-eight (48) hours before the time fixed for the meeting. Any proxy registration that is rejected will be communicated to the shareholder concerned no later than twenty four (24) hours after receipt to allow time to address any issues.

8. In accordance with the provisions of Article 96 of the Articles of Association of the Company, a person seeking election as a Director at the Annual General Meeting should deliver to the Company Secretary, through the Company's physical, postal or email address ceoffice@nse.co.ke (copy to kwaithaka@nse.co.ke), by **Tuesday 21st May 2024 at 1.00 p.m.,** a notice in writing signed by a Shareholder duly qualified to attend and vote at the meeting, of his intention to propose such person for election and notice in writing signed by the person to be proposed of his willingness to be elected as per the nomination papers which may be accessed on the Company's website www.nse.co.ke. The person so nominated will be required to send a Consent in the format also available on the Company's website.
9. The AGM will be streamed live via a link which shall be provided to all shareholders who will have registered to participate in the general meeting. Duly registered shareholders and proxies will receive a short message service (SMS/USSD) prompt on their registered mobile numbers, twenty four (24) hours prior to the AGM acting as a reminder of the AGM. A second SMS/USSD prompt shall be sent one hour ahead of the AGM, reminding duly registered shareholders and proxies that the AGM will begin in an hours' time and providing a link to the live stream.
10. Duly registered shareholders and proxies may follow the proceedings of the AGM using the live stream platform and may access the agenda. Duly registered shareholders and proxies may vote (when prompted by the chairman) via the USSD prompts.
11. For shareholders residing outside Kenya and wishing to participate in the AGM, the following procedure shall apply:
    (a) The Shareholder domiciled outside of Kenya will send an e-mail to Image Registrars NSEAgm@image.co.ke providing their details i.e. Name, National Identity Card/Passport Number, and Mobile telephone number requesting to be registered.
    (b) Image Registrars shall register the shareholder and send them an email notification once registered.
    (c) A notification (email and SMS) shall be sent to them as well as all shareholders an hour before the AGM notifying them about the AGM. This notification will also include the link to stream the proceedings.
    (d) For voting, the shareholder will receive a verification Code via the Mobile telephone number provided.
    (e) The link shared to stream the meeting contains a voting tab. Once the shareholder selects to vote, he/she shall key in the code received via SMS and proceed to follow the prompts.
    (f) A shareholder may also ask questions via the Questions Tab.
12. Results of the AGM shall be published within twenty-four (24) hours following conclusion of the AGM.

Should any changes be necessitated by any laws, regulations, Shareholders will be updated through the registered contact details and through the Company's website www.nse.co.ke.

PROXY FORM

I/We, ..., of ...., being a shareholder/shareholders of the above-named Company, hereby appoint ...., of ...., or failing him/her .... of .... as my/our proxy to attend and vote for me/us/on my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Wednesday 29th May 2024 and at any adjournment thereof.

As witness my/our hand this .... day of .... 2024.

SIGNED ....

SIGNED ....

This Form is to be used in for or against any resolutions here below. Please mark as appropriate. Unless otherwise instructed, the proxy shall vote as he thinks fit.

AGENDA ITEM	RESOLUTION	FOR	AGAINST
	ORDINARY BUSINESS		
4.	To adopt the audited Financial Statements for the Financial Year ended 31st December 2023	☐	☐
5.	To approve a final dividend of Kshs. 0.16 per share and to approve the closure of the Register of Members at the close of business on 30th May 2024 for one day for the purpose of determining the qualifying members entitled to dividends.	☐	☐
6.	To approve the Remuneration Report of the Board in respect of the Financial Year ended 31st December 2023 and to authorize the Directors to fix their remuneration.	☐	☐
7 (b)	To re-elect Mr. Stephen Chege (a Non-Executive Director representing listed companies) in accordance with Articles 94 and 95.	☐	☐
7 (c)	To re-elect Mr. Donald Wangunyu (a Non-Executive Director representing Trading Participants) in accordance with Articles 94 and 95.	☐	☐
8 (a)	To appoint Mr. John Niepold to continue serving as a member of the Board Audit, Risk and Compliance Committee.	☐	☐
8 (b)	To appoint Ms. Risper Alaro to continue serving as a member of the Board Audit, Risk and Compliance Committee.	☐	☐
8 (c)	To appoint Ms. Isis Nyongo - Madison to continue serving as a member of the Board Audit, Risk and Compliance Committee.	☐	☐
9.	To reappoint Deloitte & Touche LLP as the auditors for the Company for the Financial Year ending 31st December 2024 and to authorize the Directors to fix their remuneration.	☐	☐

Note: Further communication on the director vacancy arising with the retirement of Mr. Michael Turner from the Board, will be made to shareholders ahead of the Annual General Meeting.

nairobi securities exchange
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PROXY FORM (CONTINUED)

ELECTRONIC COMMUNICATIONS CONSENT FORM

Please complete in **BLOCK CAPITALS**

Full name of Proxy(ies):

Address:

Mobile Number

Date:

Signature:

Please tick ONE of the boxes below and return to: Image Registrars, 5th Floor, Barclays Plaza, Loita Street, Nairobi

Approval of Registration I/We approve to register to participate in the virtual AGM to be held on 29th May 2024.	☐
Consent for use of the Mobile Number provided I/We would give my/our consent for the use of the mobile number provided for purposes of voting at the virtual AGM.	☐

Notes:

1) If a member is unable to attend personally, this Proxy Form should be completed and returned (together with a power of attorney or other authority (if any) under which it is assigned or a notarized certified copy of such power or authority) to Image Registrars, 5th Floor, Barclays Plaza, Loita Street, Nairobi, or through their email address NSEAgm@image.co.ke, to arrive not later than **11.00 a.m. (EAT)** on **27th May 2024** i.e. 48 hours before the meeting or any adjournment thereof.
2) As a shareholder you are entitled to appoint one or more proxies to exercise all or any of your shareholder rights to attend and to speak and vote on your behalf at the meeting. A proxy need not to be a shareholder of the Company.
3) In case of a member being a corporate body, the Proxy Form must be signed under the hand of an officer or duly authorized attorney of such corporate body.

CONSENT FORM FOR NON-EXECUTIVE DIRECTOR

CONSENT TO ACT AS A NON-EXECUTIVE DIRECTOR REPRESENTING TRADING PARTICIPANTS

I .... of P. O. Box .... being the person in respect of whom .... of P.O. Box .... has given notice of intention to propose me as a candidate to be elected as a Non-Executive Director (representing Trading Participants) of the Nairobi Securities Exchange Plc at the Annual General Meeting to be held on Wednesday 29th May 2024, do hereby notify you of my willingness to be so elected.

SIGNED this .... day of .... 2024.

....

SIGNATURE

PLEASE NOTE:

1) Article 96 of the Articles of Association of Nairobi Securities Exchange Plc provides as follows:

   "No person, other than a Director retiring at a meeting, shall be eligible for appointment as a Director at any General Meeting, unless not less than seven (7) nor more than twenty one (21) days before the day appointed for the meeting, there shall have been delivered to the Secretary of the Company notice in writing signed by a shareholder duly qualified to attend and vote at the meeting for which the notice has been given, of his intention to propose such person for election, and notice in writing, signed by the person to be proposed of his willingness to be elected."

2) To be valid, this Consent Form must be received by the Company Secretary; **E-mail:** kwaithaka@nse.co.ke **(copy to** ceoffice@nse.coke**)** by **1.00 p.m. East Africa Time, on Tuesday, 21st May 2024.**

CONSENT FORM FOR NON-EXECUTIVE DIRECTOR

CONSENT TO ACT AS A NON-EXECUTIVE DIRECTOR REPRESENTING LISTED COMPANIES

I .... of P. O. Box .... being the person in respect of whom .... of P.O. Box .... has given notice of intention to propose me as a candidate to be elected as a Non-Executive Director (representing listed companies) of the Nairobi Securities Exchange Plc at the Annual General Meeting to be held on Wednesday 29th May 2024, do hereby notify you of my willingness to be so elected.

SIGNED this .... day of .... 2024.

....

SIGNATURE

PLEASE NOTE:

1) Article 96 of the Articles of Association of Nairobi Securities Exchange Plc provides as follows:

   "No person, other than a Director retiring at a meeting, shall be eligible for appointment as a Director at any General Meeting, unless not less than seven (7) nor more than twenty one (21) days before the day appointed for the meeting, there shall have been delivered to the Secretary of the Company notice in writing signed by a shareholder duly qualified to attend and vote at the meeting for which the notice has been given, of his intention to propose such person for election, and notice in writing, signed by the person to be proposed of his willingness to be elected."

2) To be valid, this Consent Form must be received by the Company Secretary; **E-mail:** kwaithaka@nse.co.ke **(copy to** ceoffice@nse.co.ke) by **1.00 p.m. East Africa Time, on Tuesday, 21st May 2024.**

CONSENT FORM FOR INDEPENDENT NON-EXECUTIVE DIRECTOR

CONSENT TO ACT AS AN INDEPENDENT NON-EXECUTIVE DIRECTOR

I .... of P. O. Box .... being the person in respect of whom .... of P.O. Box .... has given notice of intention to propose me as a candidate to be elected as an Independent , Non-Executive Director of the Nairobi Securities Exchange Plc at the Annual General Meeting to be held on Wednesday 29th May 2024, do hereby notify you of my willingness to be so elected.

SIGNED this .... day of .... 2024.

....

SIGNATURE

PLEASE NOTE:

1) Article 96 of the Articles of Association of Nairobi Securities Exchange Plc provides as follows:

   "No person, other than a Director retiring at a meeting, shall be eligible for appointment as a Director at any General Meeting, unless not less than seven (7) nor more than twenty one (21) days before the day appointed for the meeting, there shall have been delivered to the Secretary of the Company notice in writing signed by a shareholder duly qualified to attend and vote at the meeting for which the notice has been given, of his intention to propose such person for election, and notice in writing, signed by the person to be proposed of his willingness to be elected."

2) To be valid, this Consent Form must be received by the Company Secretary; **E-mail:** kwaithaka@nse.co.ke **(copy to** ceoffice@nse.co.ke**)** by **1.00 p.m. East Africa Time, on Tuesday 21st May 2024.**

NOMINATION FORM FOR NON-EXECUTIVE DIRECTOR

NOTICE OF INTENTION TO PROPOSE A CANDIDATE FOR ELECTION AS A NON-EXECUTIVE DIRECTOR REPRESENTING LISTED COMPANIES

I/We .... of P.O. Box .... being a shareholder/shareholders of the Nairobi Securities Exchange Plc and duly qualified to attend and vote at the Company's Annual General Meeting to be held on Wednesday 29th May 2024, do hereby give notice of my/our intention to propose .... of P.O. Box .... for election as a Non-Executive Director (*representing listed companies*) of the Company at the meeting.

SIGNED this .... day of .... 2024.

SIGNED BY:

NAME ....

SIGNATURE(S) ....

PLEASE NOTE:

1) The Articles of Association of Nairobi Securities Exchange Plc define a "Non-Executive Director" as a Director who is not an Executive Director;
2) To be valid, this Nomination Form must be received by the Company Secretary; **E-mail:** kwaithaka@nse.co.ke **(copy to** ceoffice@nse.co.ke**)** by **1.00 p.m. East Africa Time, on Tuesday, 21st May 2024.**

NOMINATION FORM FOR NON-EXECUTIVE DIRECTOR

NOTICE OF INTENTION TO PROPOSE A CANDIDATE FOR ELECTION AS A NON-EXECUTIVE DIRECTOR REPRESENTING TRADING PARTICIPANTS

I/We .... of P.O. Box .... being a shareholder/shareholders of the Nairobi Securities Exchange Plc and duly qualified to attend and vote at the Company's Annual General Meeting to be held on Wednesday 29th May 2024, do hereby give notice of my/our intention to propose .... of P.O. Box .... for election as a Non-Executive Director (representing Trading Participants) of the Company at the meeting.

SIGNED this .... day of .... 2024.

SIGNED BY:

NAME ....

SIGNATURE(S) ....

PLEASE NOTE:

1) The Articles of Association of Nairobi Securities Exchange Plc define a "Non-Executive Director" as a Director who is not an Executive Director;
2) To be valid, this Nomination Form must be received by the Company Secretary; E-mail: kwaithaka@nse.co.ke (copy to ceoffice@nse.co.ke) by **1.00 p.m. East Africa Time, on Tuesday, 21st May 2024.**

NOMINATION FORM FOR INDEPENDENT NON-EXECUTIVE DIRECTOR

NOTICE OF INTENTION TO PROPOSE A CANDIDATE FOR ELECTION AS AN INDEPENDENT NON-EXECUTIVE DIRECTOR

I/We .... of P.O. Box .... being a shareholder/shareholders of the Nairobi Securities Exchange Plc and duly qualified to attend and vote at the Company's Annual General Meeting to be held on Wednesday 29th May 2024, do hereby give notice of my/our intention to propose .... of P.O. Box .... for election as an Independent Non-Executive Director of the Company at the meeting.

SIGNED this .... day of .... 2024.

SIGNED BY:

NAME ....

SIGNATURE(S) ....

PLEASE NOTE:

1) The Articles of Association of Nairobi Securities Exchange Plc define an "Independent Non-Executive Director" as a Non-Executive Director who, for the last 5 years, has not been employed by the Company in an executive capacity; has not been a director of a Trading Participant; has not been employed by a Trading Participant in an executive capacity; has no personal service contract(s) with a Trading Participant; is not a director or a member of the senior management of a company listed on the Company's securities exchange; and does not own or hold shares in a Trading Participant.
2) To be valid, this Nomination Form must be received by the Company Secretary; **E-mail:** kwaithaka@nse.co.ke **(copy to** ceoffice@nse.co.ke**)** by **1.00 p.m. East Africa Time, on Tuesday, 21st May 2024.**

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